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CHIEF INVESTMENT OFFICE

Capital Market Outlook

March 9, 2026

All data, projections and opinions are as of the date of this report and subject to change.

IN THIS ISSUE

Macro Strategy—*Markets Shaken, Not Stirred:* Despite a year marked by tariffs, geopolitical tensions, and less abundant liquidity conditions, the U.S. macro and earnings backdrop have remained positive, with risk assets broadly well supported. Federal Reserve (Fed) rate cuts, resilient household and corporate balance sheets, and strong Artificial Intelligence (AI)-related investment continue to support growth, while a softer dollar and improving global activity help broaden the industrial recovery. At the same time, inflation pressures may ease again, if energy prices remain in check and cooling Institute for Supply Management (ISM) services price indicators/strong productivity growth are any indication. However, with excess bank reserves drained and liquidity less abundant at the margin, markets may experience more volatility and greater performance dispersion despite continued economic expansion, as earnings and liquidity become more important drivers of asset prices.

Market View—*Staying the Course: Taking Stock of the Current Market Environment:* Amid the swirl of market uncertainty, we thought it would be a good time to level set and provide some answers to frequently asked questions in our inbox. First, has recent turmoil changed our constructive outlook for the markets this year? No—the economy remains on firm footing given resilient consumption, strong investment, and stimulative fiscal and monetary policy. We expect broader Equity performance to continue and favor adding exposure to Small-caps and Emerging Markets (EM). Second, how could recent events in the Middle East impact the U.S. economy and markets? The key is the length and breadth of the conflict. The U.S. isn't immune to higher global energy prices but is better positioned than most as a net energy exporter. Third, outside of geopolitics, what are other risks on our radar screen? We expect AI to be disruptive but fade apocalyptic narratives in favor of the belief that the AI revolution will create a more productive, innovation-led U.S. economy. Finally, in a world of heightened uncertainty, what are our high-conviction themes? Given AI innovation and geopolitical pressure points, think biotechnology and life sciences, grid and industrial infrastructure, aerospace and defense, and the ecosystem in and around the military-industrial complex (critical minerals, cybersecurity, semiconductors, etc.).

Thought of the Week—*More Signs of a Manufacturing Upcycle*. The manufacturing economy looks to be breaking out of its slump, with back-to-back expansionary manufacturing activity readings strengthening the case for an early upcycle rather than a one-off bounce. Signs of a more sustained manufacturing cycle are also showing up in Equity leadership, especially with Small-caps outperforming their larger counterpart. Historical patterns during manufacturing upcycles suggest this leadership could persist. Earnings breadth is also improving, following strong Q4 2025 earnings reports and amid expectations for broader earnings growth ahead. Overall, while geopolitical risks and temporary price spikes bear monitoring, they are emerging against a backdrop of improving industrial activity. If that momentum holds, it could further reinforce the recent broadening in equity market leadership into a more durable trend.

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Portfolio Considerations

We see equity market pullbacks driven by headline noise as potential opportunities, supported by improving growth, clearer interest-rate visibility, favorable dollar dynamics, strong earnings prospects, and limited impact from geopolitical risks. Diversification beyond U.S. mega-caps is increasingly important as market leadership broadens, with added exposure to Small-caps, EMs, and selective sector shifts, including our recent move to neutral on Materials and a slight underweight to Communication Services.

We remain constructive on Fixed Income but underweight it to fund Equities, expecting tariffs to have a marginal economic impact and yields to stay range-bound amid sticky inflation and gross domestic product (GDP) near or above 2%.

MACRO STRATEGY

Markets Shaken, Not Stirred

Chief Investment Office, Macro Strategy Team

U.S. equity markets have confronted a barrage of challenges over the past year, from higher tariffs to a military conflict involving Iran and other jolts in between. Yet despite bouts of volatility and risk aversion, benchmarks have broadly remained in an uptrend and near record highs into mid-March, as policy interventions and firm underlying fundamentals helped limit downside risks.

Major market dips typically occur when recession risks rise decisively, which has not been the case given the still-expansionary macro and earnings backdrop. For example, Fed rate cuts alongside elevated government spending have supported demand while workarounds softened the economic impact of tariffs, helping keep labor markets relatively stable. Growth drivers have broadened as booming AI-related capital spending and an inventory cycle support industrial production and corporate earnings. A roughly 10% depreciation in the trade-weighted dollar from its peak a year ago has improved export competitiveness, as reflected in strengthening manufacturing export orders in the February ISM survey.

Expansionary readings for the February ISM manufacturing survey's new orders and production components reinforce our constructive view of the Industrial sector. Given the sector's high multiplier effect on the broader economy, its rebound would provide meaningful support for ongoing expansion. Moreover, the February ISM services survey significantly surprised to the upside, with both activity and new orders strengthening. The manufacturing and non-manufacturing ISM composite index reached its highest level since 2022 and moved above its 25-year average for the first time in four years.

Globally, economic momentum also improved going into the Iran conflict. BofA Global Research's Global Wave indicator turned higher in February, amid firmer global industrial confidence, supportive credit conditions and a strengthening earnings-revisions ratio consistent with a broadening cyclical upturn. With strong earnings and Fed measures to stabilize bank reserves after the late-2025 liquidity squeeze, credit markets have continued to function normally overall. Real interest rates have also eased toward levels broadly consistent with continued growth and earnings expansion, helping equity benchmarks remain resilient despite widening performance dispersion across stocks, industries and sectors.

While incoming data, the policy backdrop and earnings expectations remain constructive, geopolitical and energy supply risks have clouded the outlook. By reducing spending power, higher gasoline prices tend to be growth-negative, while a sustained equity market decline caused by risk aversion could weigh on economic activity through negative wealth effects. For now, however, household and corporate balance sheets remain healthy in aggregate, and productivity gains have offset cost pressures, helping contain inflation (Exhibit 1A) and sustain consumer spending.

While growth and inflation have remained broadly favorable for risk assets, liquidity conditions have become somewhat less supportive as excess bank reserves have been drained by quantitative tightening (QT). Reserves have fallen notably since mid-2025, hovering near their lowest level since the pandemic over the past five months. Although the Fed doesn't have predetermined reserve requirements, post-2008 regulations have raised banks' structural demand for high-quality liquid assets, including reserves.[1] Thus, a shift from "abundant" to merely "ample" reserves since around October (Exhibit 1B) creates an environment of more cautious credit intermediation in the overnight market. This tends to reduce leverage and risk-taking at the margin, which can temper risk asset prices. Less liquidity reduces the market's shock absorption capacity, likely amplifying volatility around geopolitical conflicts and AI concerns. When liquidity becomes less abundant, investors may also be forced to raise cash to reduce risk exposures, potentially amplifying market volatility through technical rather than fundamental forces. Less abundant liquidity can tighten financial conditions, even if policy rates remain relatively low.

Demand for reserves fluctuates, however, so the same level of reserves may feel tight or comfortable at different times. For example, evidence of tightening liquidity conditions

Portfolio Considerations

Current environment consistent with maintaining a balanced exposure to Equities while emphasizing earnings resilience and long-term fundamentals. Cyclical and industrial sectors may continue to benefit from improving manufacturing activity and global growth, while strong cash-flow generators and companies with durable pricing power may provide stability if financial conditions tighten further.

[1] Stricter leverage ratios and capital requirements have also contributed to the surge in non-bank lending, especially by Private Credit funds.

associated with heavy Treasury issuance, the government shutdown and related funding pressures in late 2025 prompted the Fed to end QT and begin reserve management purchases of roughly $40 billion/month in Treasury bills starting in mid-December to maintain an ample-reserves framework and stabilize funding markets.

Despite these purchases, reserves have remained near the lower end of their post-pandemic range—at around $2.9 trillion—as other factors simultaneously drained reserves (including increases in currency in circulation and flows into the Treasury General Account). Still, the Fed has been comfortable with this level of reserves, though not because that number is optimal but because market functioning has remained orderly once the Fed stabilized reserves and the late-2025 surge in liquidity demand subsided. The key test is thus not the absolute level of reserves but whether short-term funding markets function smoothly. Regulatory recalibration expected in April 2026 aims to increase banks' capacity to hold more Treasurys and intermediate funding markets, improving market liquidity at a given level of reserves.

As long as the financial plumbing remains functional and economic fundamentals stay firm, episodes of market volatility are more likely to create risk asset potential buying opportunities. Some indicators suggest tightening liquidity at the margin, though (Exhibit 1B), and the upcoming change in Fed leadership raises questions about the threshold for future Fed intervention as a lender of last resort. Chair-nominee Kevin Warsh has expressed a preference for a smaller central bank footprint, suggesting debate over the appropriate size of the Fed's balance sheet may intensify.

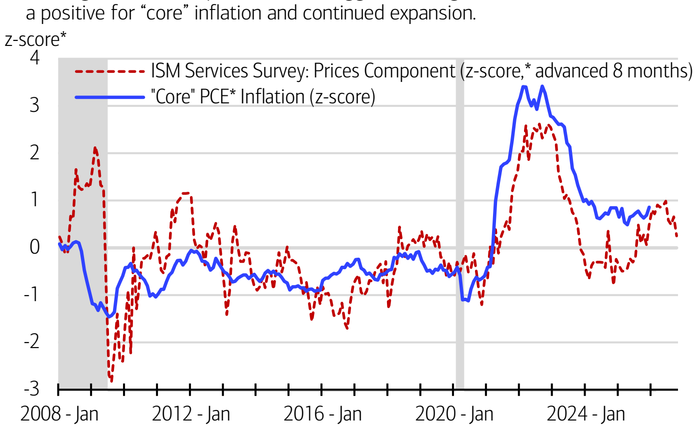
Indeed, a very large Fed balance sheet and abundant liquidity can ease financial conditions more than intended or optimal, potentially complicating inflation control. Therefore, the Fed aims to maintain ample reserves—enough for smooth market functioning and interest rate control—while avoiding an unnecessarily large balance sheet, especially with large fiscal deficits and concerns about Fed independence.

At the same time, balance sheet reduction must account for regulatory constraints and structural demand for reserves. Shrinking it too much, too soon could push the system toward reserve scarcity, unnecessarily tightening financial conditions and risking financial and economic disruptions. Shifting expectations about how well government debt will be absorbed by markets may help explain why long-term Treasury yields have remained relatively firm despite the Iran conflict.

Whether recent financial market jitters—such as somewhat wider credit spreads, firmer overnight lending rates, stagnating equity benchmarks, and higher volatility following the January 30, 2026, nomination of a new Fed Chair—have in part reflected anticipation of a more restrictive policy stance is unclear. Still, with heavy Treasury issuance, evolving central bank policy, and regulatory recalibration, liquidity conditions are likely to remain an important driver of market conditions and asset price returns.

Exhibit 1: Growth And Inflation Data Have Been Favorable For Risk Asset Performance, While Liquidity Conditions Have Tightened At The Margin.

A) Cooling ISM services price inflation suggests easing service sector inflation ahead, a positive for "core" inflation and continued expansion.



B) Higher market volatility and reduced risk-taking at the margin in part likely reflecting less abundant liquidity.

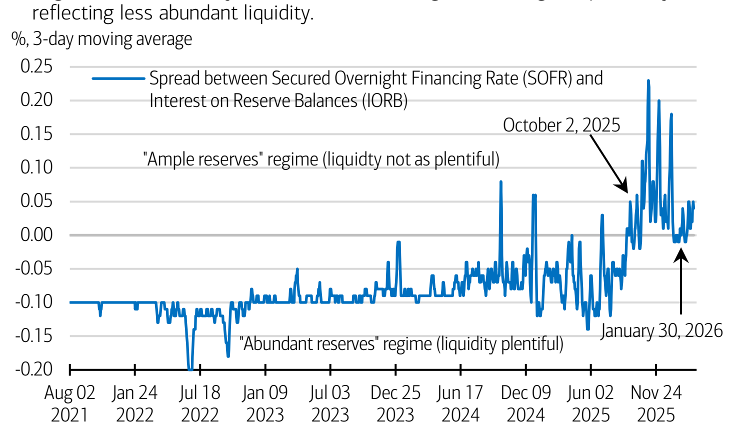


Exhibit 1A) *z-score = number of standard deviations from the average of a data set. **Personal Consumption Expenditures Source: ISM; Bureau of Economic Analysis/Haver Analytics. Data as of March 5, 2026. Exhibit 1B) Source: Federal Reserve Board/Haver Analytics. Data as of March 5, 2026.

MARKET VIEW

Staying the Course: Taking Stock of the Current Market Environment

Joseph P. Quinlan, Managing Director and Head of CIO Market Strategy

Amid the swirl of market uncertainty, we thought it would be a good time to level set or take stock of the unsettled market climate. Below we provide some responses to frequently asked questions in our inbox.

Has recent turmoil changed our constructive outlook for the markets this year? No. Notwithstanding some stiff headwinds to the market and economy—geopolitics, Private Credit stress, tariff uncertainty and concerns over the disruptive effects of AI—the economy remains on firm footing. Our base case is that U.S. consumers keep consuming. Companies keep investing. A softer U.S. dollar-cum-acceleration in global growth supports U.S. exports and foreign earnings. Stimulative fiscal and monetary policies add more fuel to the fire. The upshot: S&P 500 earnings growth of 14% this year, following a solid rise of 13% last year.

But it's not all smooth sailing from here. It never is—markets and economies don't move linearly, but rather in fits and starts. Market volatility has increased along with the spike in oil prices—how long oil prices stay at current elevated levels will determine asset prices in the near-term.

Against this backdrop, diversification remains key. We believe the broadening performance across sectors, styles and regions will likely continue this year (Exhibit 2A). We remain overweight Financials, Utilities, Consumer Discretionary and Industrials. This month we upgraded Materials to neutral from slightly underweight and downgraded Communication Services to slightly underweight from neutral. We favor diversified exposure across the capitalization spectrum. Regionally speaking, EMs remain a high-conviction idea given strong aggregate earnings trends and should benefit from the eventual de-escalation in the Middle East given their net energy importer status. Finally, as we have repeated many times, we view periods of weakness in Equity markets, particularly those driven by a lot of headline noise, as potential opportunities to rebalance over and underexposures.

How could recent events in the Middle East impact the U.S. economy and markets? The effects—thus far—have been nominal and marginal. The key is the length and breadth of the conflict. The longer and broader the war, the greater the potential for elevated consumer prices, slower growth or stagflation, and more risk-off market momentum. That's not our base case, but one potential scenario we are watching carefully.

The first order effects were in the Energy sector. Since the conflict started, Brent crude prices have jumped by more than 27%. The U.S. is not immune to higher global energy prices, but as Exhibit 2B highlights, the U.S.—unlike Japan, China and Europe—is a net energy exporter. Net oil importers have experienced the most market downside since the conflict started. In the end, geopolitical events typically spark immediate or near-term market selloffs, before resetting and rebounding on fading concerns of lasting effects.

Outside of geopolitics, what are other risks on our radar screen? 2026 has hardly been boring. Geopolitics have collided with the Supreme Court's decision to reject the President's use of IEEPA[2] to impose tariffs; the failure of a small U.K. mortgage provider that stoked more worries over the financial health of Private Credit and potential for credit contagion; and the narrative that AI is about to eat everything in its path, leaving workers without work and companies as shells.

From our vantage point, AI poses a more persistent source of market anxiety than developments in the Middle East. But the doomsday narrative that has slammed industries ranging from information technology services to real estate management to consumer payment companies is overdone, in our opinion. The S&P 500 Software and Services industry group is now nearly 25% off its late-October high, while more traditionally cyclical, "old-economy" industries like metals and mining, machinery, freight and logistics, and chemicals have outperformed year-to-date. Like in prior technology cycles, we don't expect AI to disrupt industries equally, and identifying AI leaders and laggards will ultimately take time. Meanwhile, as far as potential disruption to the labor market goes, the question is not "if" but "how" and "when." So far, AI adoption has increased gradually

Portfolio Considerations

Against a backdrop of solid fundamentals, recent movement in Small-caps and EMs may be an opportunity to add exposure for investors who are underweight. Potential AI disruption calls for diversified exposure in portfolios across sectors, styles and regions, overlayed with high-conviction themes including biotechnology and life sciences, grid and industrial infrastructure, and the broader defense and military-industrial complex.

[2] International Emergency Economic Powers Act.

rather than exponentially (Exhibit 2C). How much AI will affect Private Credit given its sector tilt toward legacy software remains high on our radar screen.

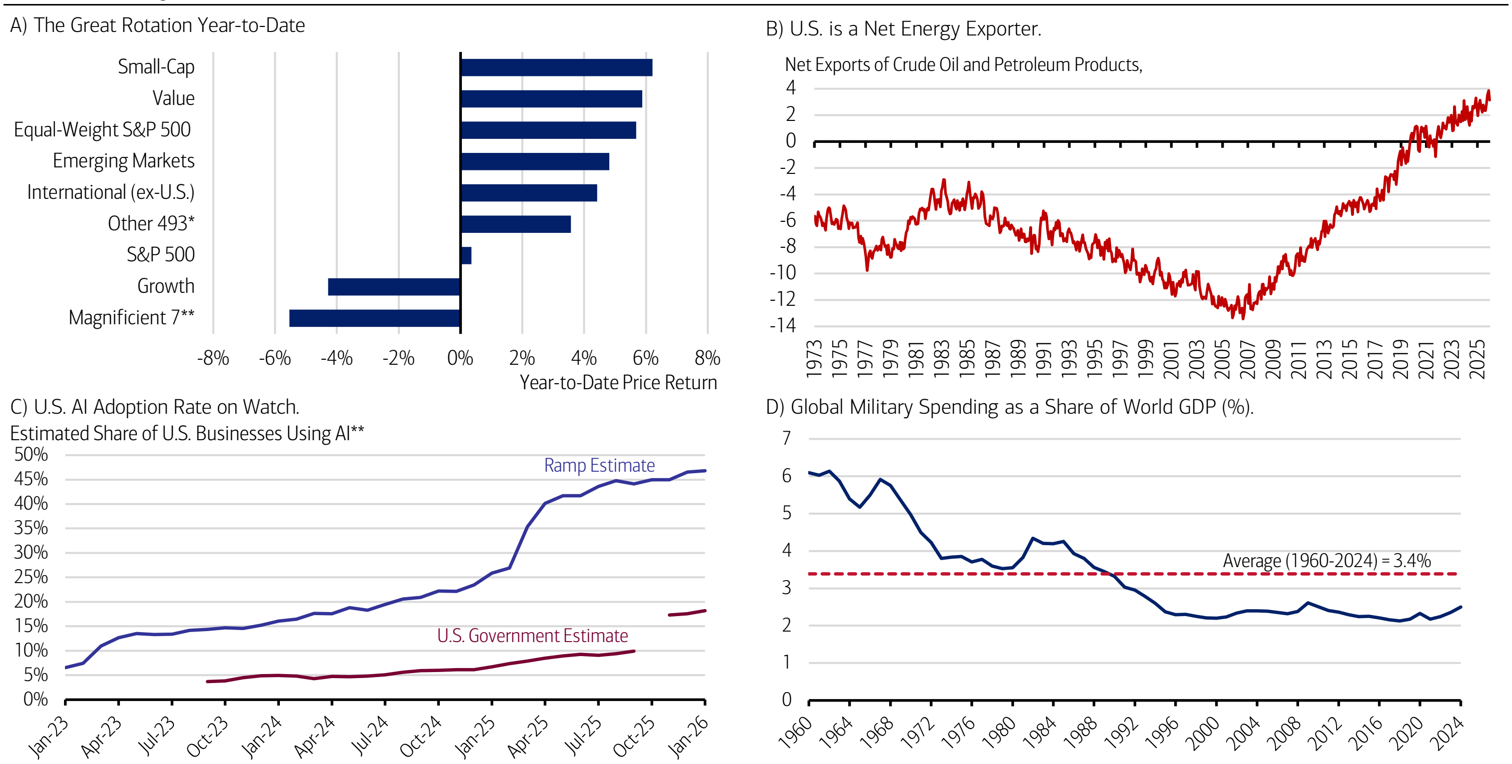
The bottom line: Investors should lean away from the apocalyptic narrative of AI laying waste to modern capitalism and rather lean towards the idea that over time, the AI revolution could result in a more productive and innovative-led U.S. economy that should generate elevated market returns. That is our base case.

In a world of heightened uncertainty, what are our high conviction themes? Thematic investing has never been more important given the tectonic shifts in the global economy—shifts that create potential opportunities for investors with an eye for the long term. Start with AI: We expect biotechnology and life sciences to be a major beneficiary of AI applications. Ditto for the buildout and modernization of the U.S. grid and industrial infrastructure. Water management, transportation, financial services and retail should benefit from the productivity-enhancing effects of AI as well.

And in a world fraught with geopolitical pressure points—where might makes right and geographic boundaries seem more fungible—we continue to expect aerospace and defense to be among the largest receivers of investment capital in the years ahead. Among our high-conviction themes: defense and the entire ecosystem in and around a military-industrial complex. Think rising demand for critical minerals and strategic metals (key inputs to defense technology), the broader supply chain (modern ammunition, cybersecurity, grid security, etc.) and technology (semiconductors, sensors, etc.) which are positioned to benefit after decades of underinvestment.

And speaking of underinvesting, as Exhibit 2D highlights, notwithstanding all the geostrategic pressures points of today, global military spending as a percentage of global GDP remains historically low. In 2024, global defense outlays as a percent of world GDP were just 2.5%, below the long-term annual average of 3.4%. We expect this gap to narrow in the years ahead.

Exhibit 2: Key Charts on Our Radar Screen.



*Other 493 is the S&P 500 minus the Magnificent 7. **Apple, Amazon, Alphabet, Nvidia, Meta, Microsoft, and Tesla. Exhibit 2A) Indexes referenced: Russell 2000 Index (Small-Cap); Russell 1000 Value Index (Value); MSCI EM Index (Emerging Markets); MSCI ACWI ex-U.S. Index (International); Russell 1000 Growth (Growth). Source: Bloomberg. Data as of March 5, 2026. Exhibit 2B) Source: Energy Information Administration. Data as of March 2, 2026. Exhibit 2C) **Ramp estimate reflects share of U.S. businesses with paid subscriptions to AI models, platforms and tools. U.S. government estimate reflects share of businesses using AI in the last two weeks. Note: Beginning in late 2025, the Census Bureau adjusted its survey to capture utilization of AI in "any business function" rather than "in producing goods and services." Source: Ramp AI Index, U.S. Census Bureau. Data as of March 2026. Exhibit 2D) Source: The Stockholm International Peace Research Institute (SIPRI). Data through 2024, as of March 2026. **Past performance is no guarantee of future results**. Please refer to index definitions at the end of this report. It is not possible to invest directly in an index.

RETURN TO FIRST PAGE

THOUGHT OF THE WEEK

More Signs of a Manufacturing Upcycle

Kirsten Cabacungan, Vice President and Investment Strategist

The manufacturing economy looks to be breaking out of its slump, and that turn could give real staying power to the equity market broadening trend. U.S. factory activity expanded for the second straight month in February, with the ISM manufacturing purchasing managers' index (PMI) rising above 50 for only the third time in 40 months and marking the first back-to-back expansionary readings since September 2022. The unexpected jump in January had raised questions about whether the improvement was merely a one-off, but February's print, slightly lower yet still signaling growth, strengthens the case that this could be the early stage of a manufacturing upcycle.

Importantly, demand side components helped drive the recent improvement. New orders and production remained firmly in growth territory, while rising order backlogs and persistently low customer inventories continue to point to future production needs, reinforcing supportive underlying demand dynamics. This strengthening in the ISM also aligns with a broader turn higher across other manufacturing surveys since last summer.

Signs of a more sustained manufacturing cycle are also showing up in Equity leadership. Small-caps have dominated this year, with the Russell 2000 Index outperforming the S&P 500 by roughly three percentage points year-to-date, after lagging for much of the past several years, and a rising share of index constituents trading above their 200-day moving averages (Exhibit 3A). The absence of a manufacturing recovery had been a key risk for the size segment, given its sensitivity to domestic demand and ISM's strong historical correlation with Small- versus Large-cap relative performance. Historically, the Russell 2000 has been up a median 14% in the 12 months after the ISM first crossed above 50—most of it in the initial six months—and has outperformed Large-caps 70% of the time over the next six- and 12-month periods, according to BofA Global Research.

Breadth is also proving fundamental, not just technical. Q4 S&P 500 earnings rose 14% year-over-year, marking the fifth straight quarter of double-digit growth and a solid 7% beat. All sectors except Consumer Discretionary delivered positive earnings growth. While mega-cap technology stocks continued to lead, the earnings growth gap with the rest of the index is expected to narrow in 2026 as manufacturing upcycles tend to translate into broader earnings momentum. Early signs of a wider earnings contribution are already visible, with upward versus downward earnings revisions improving meaningfully from depressed levels last year (Exhibit 3B).

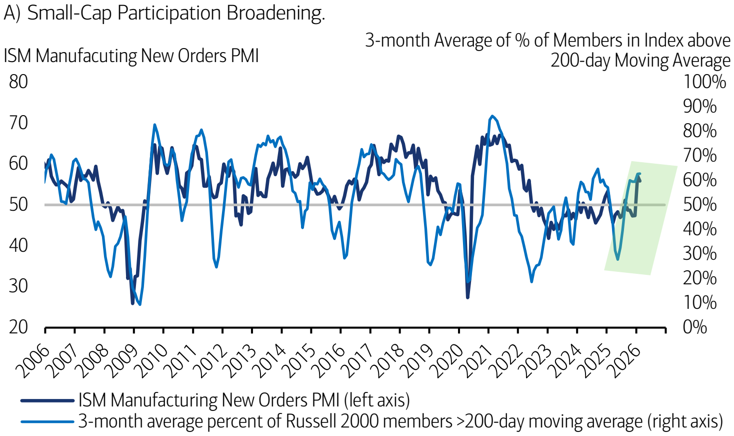
Easier monetary policy and a strong fiscal impulse should help underpin economic momentum ahead. While geopolitical risks bear monitoring, they are emerging against a backdrop of improving industrial activity. If that momentum holds, it could further reinforce the recent broadening in equity market leadership into a more durable trend.

Portfolio Considerations

As the manufacturing cycle turns up and market breadth expands, portfolios concentrated in mega-caps may benefit from diversifying across and within Equities, including increasing exposure to Small-caps and emerging cyclical leadership. We would leverage market weaknesses and excessive strength to rebalance tactical exposures in the coming months.

Exhibit 3: A Manufacturing Rebound Should Help Support Wider Market Breadth And Earnings Momentum.

A) Small-Cap Participation Broadening.



B) Net Earnings Revisions Trend Improving.

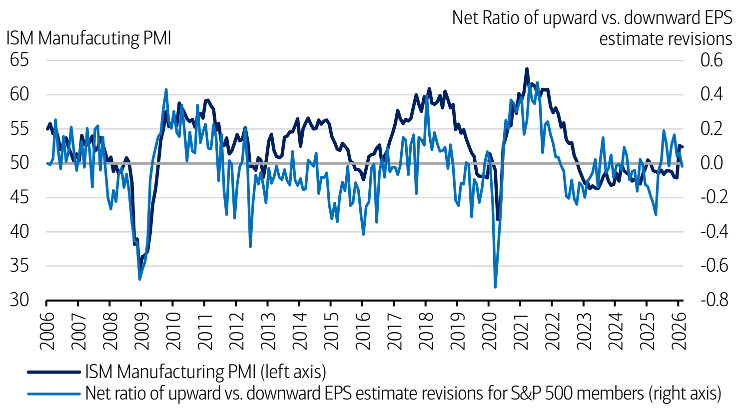


Exhibit 3A) Green shading represents an improving trend. Sources: Institute for Supply Management; Bloomberg. Data as of March 4, 2026. Exhibit 3B) Sources: ISM; Bloomberg. Data as of March 4, 2026. **Past performance is no guarantee of future results.** Please refer to index definitions at the end of this report. It is not possible to invest directly in an index.

MARKETS IN REVIEW

Asset Class Weightings (as of 3/4/2026)

Asset Class	CIO View / Underweight		Neutral	Overweight	
Global Equities				●	
U.S. Large-cap Growth				●	
U.S. Large-cap Value				●	
U.S. Small-cap Growth				●	
U.S. Small-cap Value				●	
International Developed		●			
Emerging Markets				●	
Global Fixed Income		●			
U.S. Governments		●			
U.S. Mortgages		●			
U.S. Corporates		●			
International Fixed Income		●			
High Yield		●			
U.S. Investment-grade Tax Exempt		●			
U.S. High Yield Tax Exempt		●			
Alternative Investments*					
Hedge Strategies			●		
Private Equity			●		
Private Credit			●		
Real Assets			●		
Cash					

CIO Equity Sector Views

Sector	CIO View / Underweight		Neutral	Overweight	
Financials					●
Utilities				●	
Consumer Discretionary				●	
Industrials				●	
Information Technology			●		
Healthcare			●		
Materials		►	●		
Real Estate		●			
Consumer Staples		●			
Communication Services		●	◄		
Energy	●				

*Many products that pursue Alternative Investment strategies, specifically Private Equity and Hedge Funds, are available only to qualified investors. CIO asset class views are relative to the CIO Strategic Asset Allocation (SAA) of a multi-asset portfolio. Source: Chief Investment Office as of March 4, 2026. All sector and asset allocation recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

Economic Forecasts (as of 3/6/2026)

	Q4 2025A	2025A	Q1 2026E	Q2 2026E	Q3 2026E	Q4 2026E	2026E
Real global GDP (% y/y annualized)	-	3.5*	-	-	-	-	3.6
Real U.S. GDP (% q/q annualized)	1.4	2.2*	3.3	3.0	2.0	2.0	2.8
CPI inflation (% y/y)	2.7	2.7*	2.7	3.1	2.8	2.7	2.8
Core CPI inflation (% y/y)	2.7	2.9*	2.6	2.8	2.6	2.7	2.7
Unemployment rate (%)	4.5	4.3*	4.5	4.5	4.4	4.3	4.4
Fed funds rate, end period (%)	3.63	3.63	3.63	3.38	3.13	3.13	3.13

The forecasts in the table above are the base line view from BofA Global Research. The Global Wealth & Investment Management (GWIM) Investment Strategy Committee (ISC) may make adjustments to this view over the course of the year and can express upside/downside to these forecasts. Historical data is sourced from Bloomberg, FactSet, and Haver Analytics. **There can be no assurance that the forecasts will be achieved. Economic or financial forecasts are inherently limited and should not be relied on as indicators of future investment performance.**
A = Actual. E/* = Estimate. Data as of March 6, 2026.
Sources: BofA Global Research; GWIM ISC as of March 6, 2026.

Equities

	Total Return in USD (%)			
	Current	WTD	MTD	YTD
DJIA	47,501.55	-2.9	-2.9	-0.9
NASDAQ	22,387.68	-1.2	-1.2	-3.6
S&P 500	6,740.02	-2.0	-2.0	-1.3
S&P 400 Mid Cap	3,410.32	-4.6	-4.6	3.4
Russell 2000	2,525.30	-4.0	-4.0	1.9
MSCI World	4,407.04	-3.3	-3.3	-0.4
MSCI EAFE	2,964.26	-6.7	-6.7	2.7
MSCI Emerging Markets	1,499.72	-6.9	-6.9	6.9

Commodities & Currencies

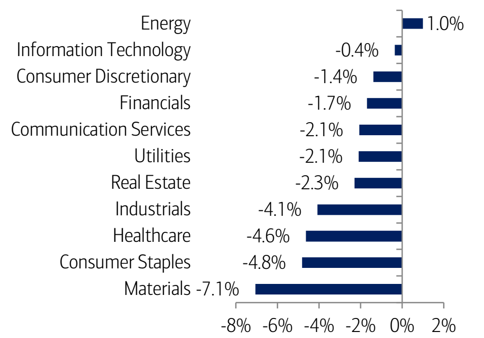
	Total Return in USD (%)			
Commodities	Current	WTD	MTD	YTD
Bloomberg Commodity	333.30	8.1	8.1	20.7
WTI Crude \$/Barrel††	90.90	35.6	35.6	58.3
Gold Spot \$/Ounce††	5171.74	-2.0	-2.0	19.7

	Total Return in USD (%)			
Currencies	Current	Prior Week End	Prior Month End	2024 Year End
EUR/USD	1.16	1.18	1.18	1.17
USD/JPY	157.78	156.05	156.05	156.71
USD/CNH	6.90	6.86	6.86	6.98

Fixed Income†

	Total Return in USD (%)			
	Current	WTD	MTD	YTD
Corporate & Government	4.27	-0.95	-0.95	0.67
Agencies	4.00	-0.53	-0.53	0.69
Municipals	3.44	-0.77	-0.77	1.41
U.S. Investment-Grade Credit	4.36	-0.96	-0.96	0.77
International	4.90	-0.95	-0.95	0.51
High Yield	6.95	-0.44	-0.44	0.26
90 Day Yield	3.66	3.66	3.66	3.63
2 Year Yield	3.56	3.37	3.37	3.47
10 Year Yield	4.14	3.94	3.94	4.17
30 Year Yield	4.76	4.61	4.61	4.84

S&P Sector Returns



Sources: Bloomberg, Factset. Total Returns from the period of 3/2/2026 to 3/6/2026. †Bloomberg Barclays Indices. ††Spot price returns. All data as of the 3/6/2026 close. Data would differ if a different time period was displayed. Short-term performance shown to illustrate more recent trend. **Past performance is no guarantee of future results.**

Index Definitions

Securities indexes assume reinvestment of all distributions and interest payments. Indexes are unmanaged and do not take into account fees or expenses. It is not possible to invest directly in an index. Indexes are all based in U.S. dollars.

S&P 500 Index is a stock market index tracking the stock performance of 500 leading companies listed on stock exchanges in the United States.

Institute for Supply Management Manufacturing and Non-manufacturing Composite Index measures the economic condition and performance of manufacturing- and service-based companies

Small-caps/ Russell 2000 Index is a premier stock market benchmark that tracks the performance of approximately 2,000 small-cap U.S. companies, acting as a key indicator of the domestic economy.

Value/Russell 1000 Value Index measures the performance of the large-cap segment of the US equity universe.

Emerging Markets/MSCI Emerging Markets Index is a benchmark index designed to measure the equity market performance of large and mid-cap companies across 24-27 developing economies.

International/MSCI All-Country World Index ex-U.S. captures large and mid cap representation across 22 of 23 Developed Markets (DM) countries (excluding the US) and 24 Emerging Markets.

Growth/Russell 1000 Growth Index measures the performance of the large- cap growth segment of the US equity universe.

Ramp AI Index measures the adoption rate of artificial intelligence products and services among American businesses.

Institute for Supply Management Manufacturing Purchasing Managers' Index is based on monthly surveys of carefully selected companies representing major and developing economies worldwide.

Institute for Supply Management Manufacturing PMI New Orders Index shows the number of new orders from customers of manufacturing firms reported by survey respondents compared to the previous month.

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RETURN TO FIRST PAGE

CHIEF INVESTMENT OFFICE

Capital Market Outlook

March 2, 2026

All data, projections and opinions are as of the date of this report and subject to change.

IN THIS ISSUE

Macro Strategy—*Beyond Goods—The Expected Boom in China's Knowledge-Intensive Exports:* China's trade is shifting from goods toward high-value, knowledge-intensive services such as information and communication technology (ICT), research & development (R&D), and Artificial Intelligence (AI), a transition that supports a positive outlook for China's technology leaders.

Market View—*In Times of Uncertainty, Choose Fundamentals Over Fear:* Despite negative headlines and elevated uncertainty, market and economic fundamentals remain strong, countering fears around market breadth, tariffs, consumer health, and foreign investment. The key takeaway is to prioritize fundamentals over fear when navigating volatile markets.

Thought of the Week—*The Sentiment-Spending Disconnect*: Despite weak consumer sentiment, resilient spending, supportive hard data, and expected 2026 tailwinds point to a more constructive consumer and Equity outlook than surveys alone suggest.

From the CIO—*Market Update: A Snapshot of Middle East Uncertainties and Market Effects*: The aftershocks from the war in the Middle East will dictate price movements for multi-assets in the near-term. The duration of the conflict, and how broad, are key factors to monitor. Per the accompanying table, geopolitical events are headline-grabbing but not market-moving over the medium-term. We continue to emphasize the highest level of diversification in portfolios.

Major geopolitical events and subsequent S&P 500 price returns.

Event	Date	1 day	1-month	3-month	6-month	12-month
Cuban Missile Crisis	16-Oct-62	-0.3%	5.4%	13.3%	21.1%	27.8%
JFK Assassination	22-Nov-63	4.0%	6.7%	11.5%	16.0%	23.9%
Six-Day War	5-Jun-67	2.0%	3.3%	6.5%	7.7%	13.0%
Bretton Woods Collapse	15-Aug-71	3.2%	4.6%	-3.7%	9.8%	17.0%
Arab Oil Embargo	19-Oct-73	-1.0%	-8.6%	-13.3%	-14.9%	-34.4%
Iranian Shah Overthrown	11-Feb-79	0.3%	1.7%	1.6%	7.8%	20.5%
Fall of Berlin Wall	9-Nov-89	0.8%	3.6%	-0.9%	1.9%	-6.8%
Start of Gulf War	17-Jan-91	1.3%	12.5%	19.1%	16.2%	27.7%
9/11 Terrorist Attacks	11-Sep-01	-4.9%	-1.1%	4.3%	6.6%	-16.7%
Fukushima Nuclear Disaster	11-Mar-11	-0.6%	1.5%	-2.6%	-11.5%	5.1%
Russia Annexes Crimea	20-Feb-14	-0.2%	1.8%	1.8%	8.0%	14.7%
Brexit Vote	23-Jun-16	-3.6%	2.9%	2.4%	7.1%	15.4%
Russia-Ukraine Conflict	24-Feb-22	2.2%	5.4%	-8.1%	-3.4%	-7.4%
Israel-Hamas War	7-Oct-23	0.6%	1.3%	9.0%	20.8%	33.5%
12-Day War	13-Jun-25	0.9%	4.7%	10.2%	14.2%	--
Average		*0.3%*	*3.1%*	*3.4%*	*7.2%*	*9.5%*

Source: Bloomberg. Data as of March 1, 2026. If the market was closed on the event date, the date of the previous market close was referenced. The one-day return for the 9/11 attacks after reopening of the market was on 9/17/2001. The one-day return for the JFK assassination after the reopening of the market was on 11/26/1963. **FOR INFORMATIONAL PURPOSES ONLY**. Indexes are unmanaged and do not take into account fees or expenses. **Past performance is no guarantee of future results.** Please refer to important disclosures at the end of this report.

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MACRO STRATEGY ▶

MARKET VIEW ▶

THOUGHT OF THE WEEK ▶

MARKETS IN REVIEW ▶

Portfolio Considerations

With new highs expected for Equities ahead, investors should consider portfolio adjustments such as increasing exposure to Small-caps and Emerging Markets as well as diversified sector exposures where underweight, leveraging Fixed Income as a ballast while maintaining an Equity overweight, and adding to growth themes and Alternative Assets, for qualified investors, where appropriate.

We are constructive on Fixed Income overall but underweight in order to fund our Equity overweight. We continue to project range-bound yields given sticky inflation and real gross domestic product remaining near or above 2% for the next few years. However, we recognize potentially high volatility in either direction, especially given the expected change in Federal Reserve leadership later this year.

MACRO STRATEGY

Beyond Goods—The Expected Boom in China's Knowledge-Intensive Exports

Joseph P. Quinlan, Managing Director and Head of CIO Market Strategy

Ariana Chiu, Assistant Vice President and Investment Strategist

No nation in the world exports as much merchandise as China. But having conquered global trade in goods, China is now rapidly moving up the global ranks as a leading exporter of knowledge-intensive services. This dynamic is one more reason why we remain constructive on China technology leaders for the long run. As we continue to emphasize to investors, the global race for technological supremacy is a two-horse race—between the U.S. and China. In terms of portfolio construction, own both—or technology leaders in the U.S. and China.

China's new trade paradigm rests on rising exports of services like ICT, construction management, engineering services, data analytics, R&D, and, to a lesser degree, financial services and intellectual property rights. Add up these services, and China already ranks as the world's sixth-largest exporter, up from 12th place in 2005 (Exhibit 1A).

The country now earns more from exports of ICT services ($100 billion in 2024) than traditional export staples like toys ($82 billion) and footwear ($51 billion). Exports of "other business services"—a combination of consulting services, R&D, and technical-related activities—totaled $113 billion in 2024, well ahead of exports of iron and steel ($71 billion) and apparel ($85 billion). And construction service exports in 2024 ($34 billion) were greater than exports of glassware ($25.5 billion) and pharmaceutical products ($12 billion), as depicted in Exhibit 1B.

Service exports like construction have soared due in large part to China's "One Belt, One Road" initiative. Since the program was announced in 2013, construction service exports have tripled, rising from $10.7 billion in 2013 to $33.6 billion in 2024. By ploughing billions of dollars into infrastructure projects around the world, China's mega-development strategy has not only supercharged China's exports of steel, cement, heavy equipment and other goods needed to build ports, highways, power plants and railways. It has also boosted service exports required to keep the ports, railways and power plants humming—think operations management contracts, digital monitoring systems, technical training, maintenance agreements, software upgrades, cloud computing capabilities and related service activities.

Similarly, when China's leading telecommunication leaders install a 4G or 5G network in Pakistan, or a China's technology giant builds a data center in Brazil, it's not one and done. What typically follows are multiyear-managed-service agreements that include software updates, technical support, network maintenance and related activities that lock in the business for years—and drive growth in services trade. Indeed, export services of telecommunication, computer and information services have quadrupled just in the past decade, rising from 2015 ($25.8 billion) to $100 billion in 2024.

In addition, as China has moved up the value-added curve in exports of electrical vehicles, robots, drones, solar panels, and wind turbines, the expansion in knowledge-intensive service exports have followed. Each one of these products are highly digitalized and are accompanied with an array of recurring service requirements that only strengthens and fortifies China's competitive position in various markets around the world.

Trade in hardware (goods) has led to more trade in software (services)—one pulls the other. In reality, this means that the export of electrical vehicles comes with software upgrades; the export of robots and drones comes with the export of cloud connectivity services and remote monitoring systems; and the export of solar panels and wind turbines comes with the exports of technical services and maintenance.

Services increasingly account for a rising value of China's manufacturing exports. This represents a new front in China's trade with the world—but it doesn't end there.

Enter AI and China's advances in open-source AI. More affordable and accessible to end users, DeepSeek's large language models (LLM) and other iterations from China are gaining traction around the world, notably in Africa, Russia, the Middle East and other emerging markets. Indeed, the number of cumulative global downloads of China's open-sourced AI models surpassed those of the U.S. last September, with the gap only widening since then (Exhibit 1C).

Portfolio Considerations

As China expands its knowledge-intensive exports and competes with the U.S.' AI capabilities, portfolios have the potential to benefit from being exposed to technology leaders both in the U.S. and in China. We remain overweight Emerging Markets (EM) which are heavily levered to technology companies in Asian markets.

And as an aside, open-source LLMs from China are not are not just surging in popularity in the emerging markets. They are also gaining popularity and adoption in the U.S. Cost-effective, high performing, and frequently updated—owing to these factors, 80% of U.S. AI startups rely on China's open-source models instead of U.S. models.[1] Rising AI adoption rates of China models means more AI-enabling activities and more demand for China's knowledge-intensive exports including ICT services, real-time data processing, predictive maintenance data analytics, systems integration and smart infrastructure management.

Given all the above, China's trade in knowledge-intensive services has swung from a perennial deficit over much of this century to a surplus beginning around 2015 (Exhibit 1D). The surplus in trade in "other services" topped $80 billion in 2024—and putting that number into perspective; when it comes to running a trade surplus in "other services" or construction and knowledge-intensive trade, China now ranks fourth in the world, trailing only the U.S., the U.K. and India. Within the category of "other services," construction trade posted a surplus of $25 billion in 2024; the trade surplus in ICT was a record $60 billion; and the surplus in "other business services" including R&D totaled $48 billion—also a record high.

More broadly, and for some context, China's total service exports remain second fiddle to China's trade in goods. In 2024, total service exports accounted for just 12.5% of goods exports in 2024. In addition, China still runs an overall deficit in total services owing to a large deficit in travel (visitors from China spending more overseas than foreign visitors spending in China) and a deficit in education receipts. It also runs a deficit in intellectual property royalites since the nation remains a net importer of intellectual property.

However, investors should see the big picture, which is this: China's trade has entered a new phase—think not only high-end goods like electrical vehicles, robots and drones but also construction services and knowledge-intensive services exports that range from telecommunication platforms to AI-embedded capabilities. Against this backdrop, we remain constructive on China technology.

Exhibit 1: China's New Trade Paradigm Rests on Services Exports.

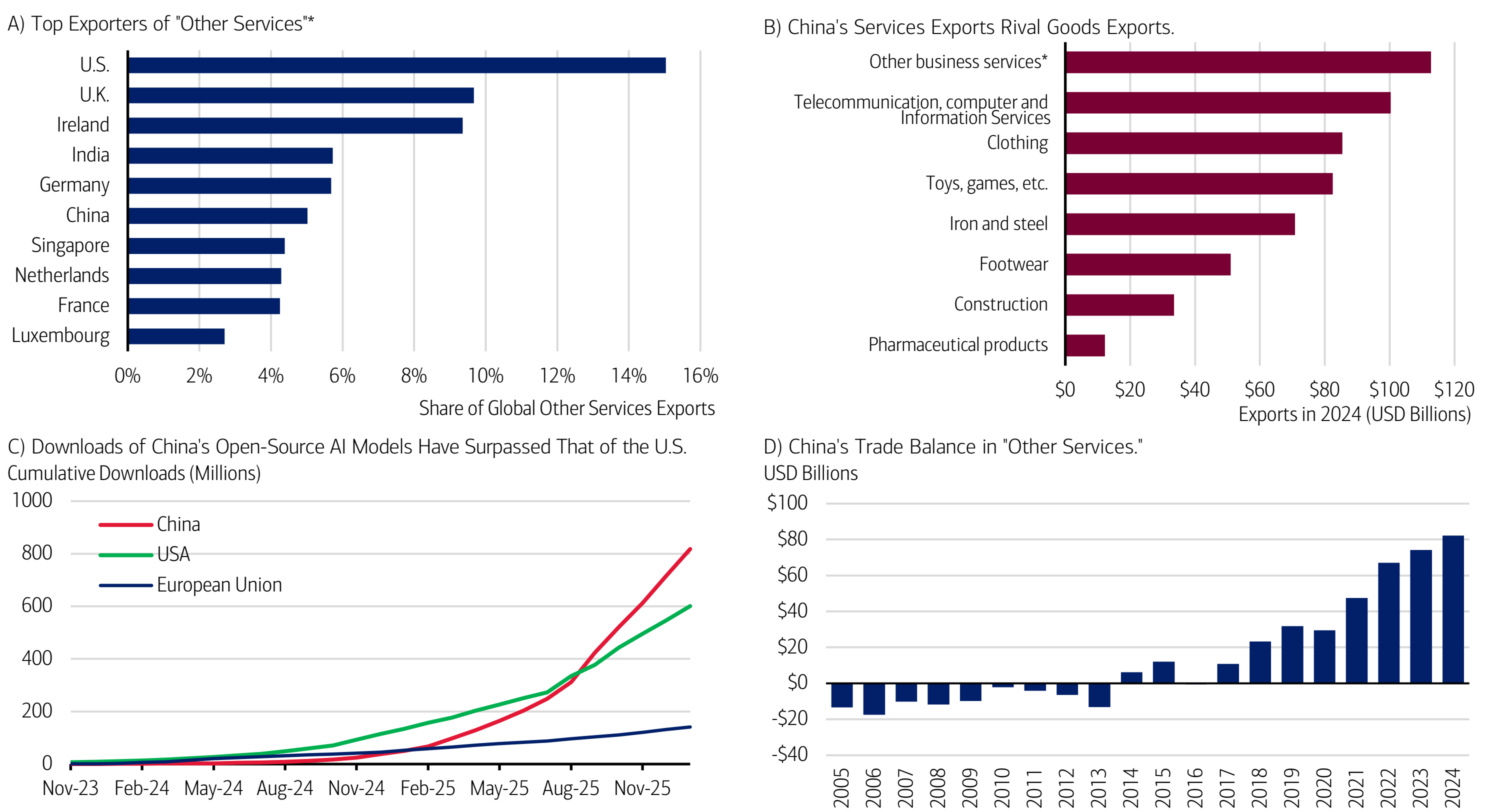


Exhibit 1A) *Includes construction, insurance and pension services, financial services, charges for use of intellectual property, telecommunication/computer/information services, other business services, recreational services, and government goods and services. Source: World Trade Organization (WTO). Data as of February 2026. Exhibit 1B) *Includes R&D, consulting services, and trade and technical-related services. Source: WTO; International Trade Centre. Data as of February 2026. Exhibit 1C) Source: The ATOM Project, Hugging Face. Data as of February 24, 2026. Exhibit 1D) Source: WTO. Data as of February 2026.

[1] "80% of AI start-ups applying for VC funding with Andreessen Horowitz are using Chinese Open-source AI.", European Central Station, 2025.

MARKET VIEW

In Times of Uncertainty, Choose Fundamentals Over Fear

Ariana Chiu, Assistant Vice President and Investment Strategist

In today's attention economy, it's easy to get distracted by the nonstop stream of (usually negative) headlines. But as investors, and especially in times of heightened uncertainty, it's important to remember that underlying fundamentals ultimately drive the economy and markets. While risks certainly remain, there's a lot to like about what's taking place in the global economy and markets. Fundamentals are still largely intact—a fact that doesn't tend to go viral or make front-page news. Below we address some common current fears and why fundamentals suggest otherwise.

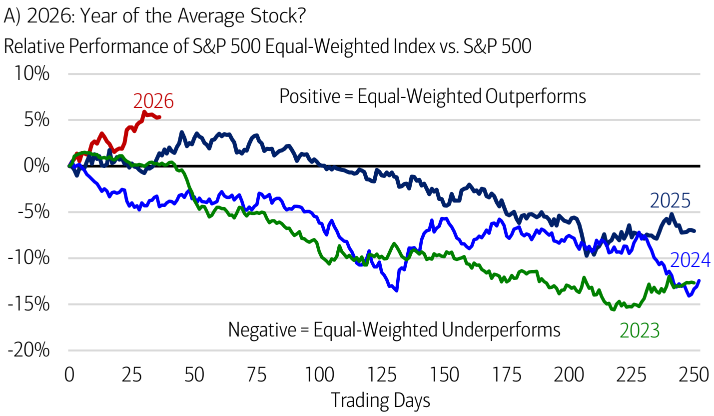
On fear that this bull market is too narrow to last… Concerns surrounding U.S. equity market concentration and the return on AI investment (or lack thereof) continue to swirl. As recent volatility suggests, AI now has a long list of fears attached to it, ranging from the belief that agentic AI will lead to mass white collar unemployment and a global recession to the fear that limited AI adoption will end in massive overinvestment and abandoned data centers.

The wall of worry is high, and yet the average stock in the S&P 500 has fared surprisingly well over the last few months. So far in 2026, the equal-weighted S&P 500 has outperformed its market cap-weighted counterpart by the widest margin since 1992,[2] a stark departure from three consecutive years of ultra-narrow performance (Exhibit 2A). Breadth is at record levels, as Exhibit 2B highlights, with more than 320 companies in the S&P 500 outperforming the broader index year-to-date (including none of the Magnificent 7[3]). Strength from areas of the market outside of technology have pulled their weight since last November—hence an S&P 500 just 1% to 2% off an all-time high despite industries like software in bear market territory. Internals still look good for the broader index, with 68% of stocks above their 200-day moving average. All of this is good news for the sustainability of this bull market.

Portfolio Considerations

With U.S. Equities churning under the surface, we urge investors to take advantage of broadening fundamentals in portfolios, increasing exposure to areas like Small-caps and EMs for those who are underweight and maintaining diversified exposure to Value and Growth. Demand for U.S. securities should remain robust this year, and a gradual weakening rather than disorderly downfall of the dollar is likely.

Exhibit 2: The Broadening is Finally Here.



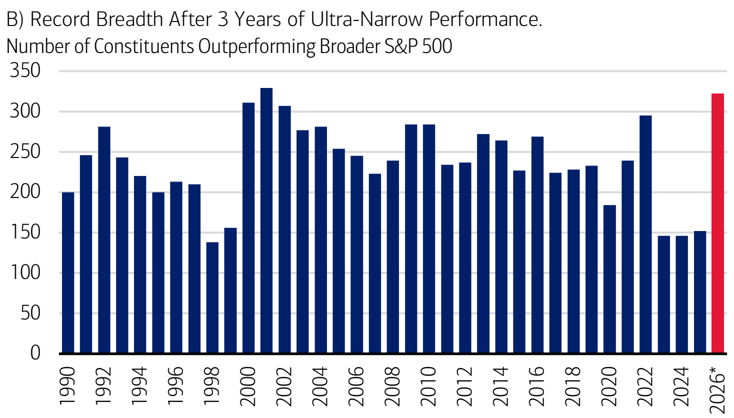


Exhibit 2A) Source: Bloomberg. Data as of February 24, 2026. Exhibit 2B) *Year-to-date. Source: Bloomberg. Data as of February 24, 2026. **Past performance is no guarantee of future results.** Please refer to index definitions at the end of this report. It is not possible to invest directly in an index.

On fear that renewed tariff uncertainty will cripple corporate America… With the Supreme Court's decision on February 20, IEEPA tariffs have been replaced with Section 122 tariffs for the next 150 days. While lower tariffs for countries like China and Brazil are good news in the near term for many companies, it's clear that tariff uncertainty will continue to be a feature of 2026. Alternative authorities to the International Emergency Economic Powers Act are likely to keep the effective tariff rate well above where it averaged prior to 2025 (around 2.2% over the prior 10 years[4]). Meanwhile, lengthy sector- and country-specific investigations will make tariff implementation more cumbersome.

With that said, it shouldn't be lost on investors that corporate America managed record profit margins and earnings growth through the Liberation Day (April 2) shakeout. Q4

[2] Refers to the first 36 trading days of the year. Bloomberg. Data as of February 24, 2026.

[3] Apple, Amazon, Alphabet, Nvidia, Meta, Microsoft, and Tesla

[4] U.S. International Trade Commission.

earnings growth for the S&P 500 is tracking at 14% year-over-year (YoY), marking the fifth straight quarter of double-digit earnings growth or its longest such streak since 2018. Well-diversified investors are also benefitting from a broadening in profits not only across sectors but also along the cap spectrum and to the rest of the world. Hence our preference in portfolios for Small-caps, EMs, and a balance of Value and Growth.

On fear that household balance sheets, particularly among lower-income consumers, are deteriorating... It's no secret that spending in the U.S. has been increasingly top-heavy, not only by income but also by education and age. Spending of college graduates has grown about 2.4% faster than that of nongraduates since 2023.[5] Meanwhile, those aged 55 and older now account for some 45% of overall U.S. consumption, up from less than 30% at the start of the century.[6] It's hardly an even playing field out there.

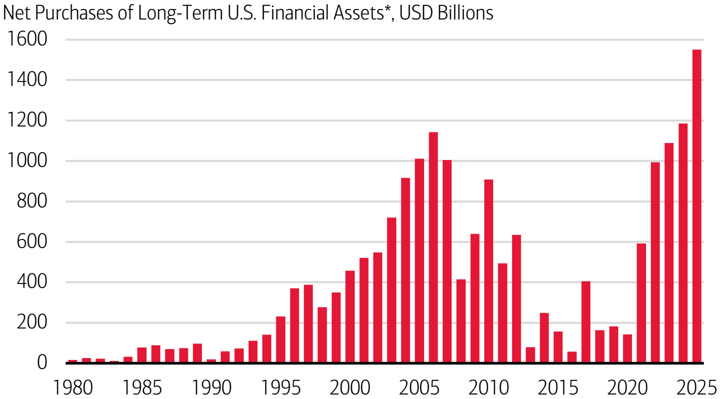
However, data from the Federal Reserve continues to suggest balance sheets are strong—not just in aggregate or among wealthier households but across income cohorts. To wit, debt as a share of household net worth among the bottom 20% of households by income currently stands at 16.1%, having gradually declined from 20% at the start of the decade and technically now at the lowest level since 1999. A similar pattern can be observed across income quintiles. In other words, though higher prices have weighed on lower-income households and while delinquency rates bear watching, consumer balance sheets across the income spectrum are still in historically solid shape.

And finally, on fear that foreign investors are bailing on the U.S.... Like in 2025, the narrative that foreign investors are abandoning U.S. assets on macro/geopolitical developments has gripped headlines this year. Yet there has been little evidence of this in the latest data from the Treasury Department, which showed that foreign investors purchased a record net $1.55 trillion of long-term U.S. financial assets in 2025—a stunning 31% increase from $1.18 trillion in 2024 (Exhibit 3A). Included were $720 billion of net equity purchases and $409 billion in Treasury notes and bonds. Foreign demand has proven strong to start the year too; 19% of January's note and bond auctions were allotted to foreign accounts, the highest share in three years.[7]

Indeed, the "sell America" trade has been more bark than bite. The decline in the dollar, now 8% below where it entered 2025 on a real trade-weighted basis, has primarily reflected foreign investors from Asia and Europe hedging their dollar exposure after a decade of robust U.S. returns. So far this year, the greenback has declined more than 1% in trade-weighted terms but remains overvalued (Exhibit 3B). We expect the dollar to strengthen in the near-term given conflict in the Middle East before resuming a slightly weaker path. Don't buy into the fear that foreigners have given up on U.S. assets.

Exhibit 3: Fade the Foreign Buyer Strike.

A) So Much for the "Sell America" Trade.
Net Purchases of Long-Term U.S. Financial Assets*, USD Billions



B) Dollar Remains Overvalued on a Historical Basis.
Real Trade-Weighted USD

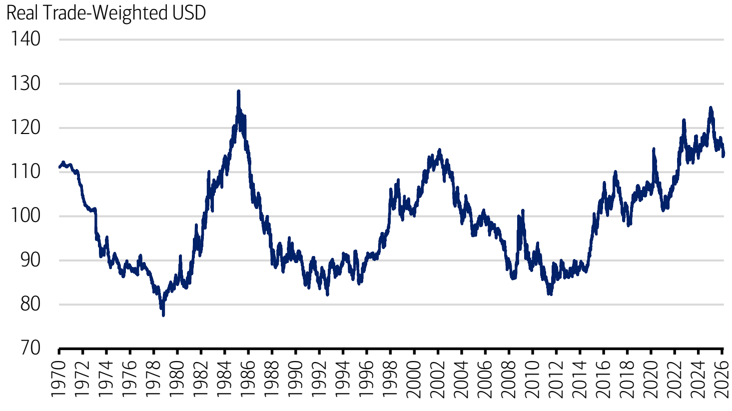


Exhibit 3A) *Includes Equities, Treasurys, Agencies, and Corporates. Source: U.S. Treasury. Data as of February 24, 2026. Exhibit 3B) Source: Bloomberg, Federal Reserve. Data as of February 24, 2026.

[5] Federal Reserve Bank of New York. Data through December 2025 as of February 3, 2026.

[6] Moody's Analytics. Q3 2025 data as of February 24, 2026.

[7] U.S. Treasury. Data as of February 24, 2026.

THOUGHT OF THE WEEK

The Sentiment-Spending Disconnect

Theadora Lamprecht, Assistant Vice President and Investment Strategist

The U.S. consumer backdrop is increasingly defined by a divergence between 'soft' data and 'hard' data: sentiment remains subdued, while spending continues to prove more resilient than expected.

Sentiment is cautious but may be nearing an inflection point for markets. Survey-based measures, such as the Conference Board Consumer Confidence Index and University of Michigan Consumer Sentiment Index, remain below pre-pandemic levels, reflecting persistent concerns about affordability. Households may be employed and earning but remain uneasy about real purchasing power.

Even so, there are emerging bright spots. The Conference Board's February reading came in above expectations at 91.2, up from the prior month's upwardly revised 89.0. Labor market perceptions remain constructive: a greater number of participants said that jobs were "plentiful" (28%) compared to "hard to get" (21%). For investors, periods of depressed sentiment have historically created favorable entry points for Equities. Across the past seven major peaks and troughs in the University of Michigan Index, average 12-month forward S&P 500 returns following a sentiment peak were roughly 4.3%, compared with a whopping 25.0% following a trough. In other words, when consumer confidence reaches extreme lows, subsequent equity market performance has tended to be meaningfully stronger (Exhibit 4).

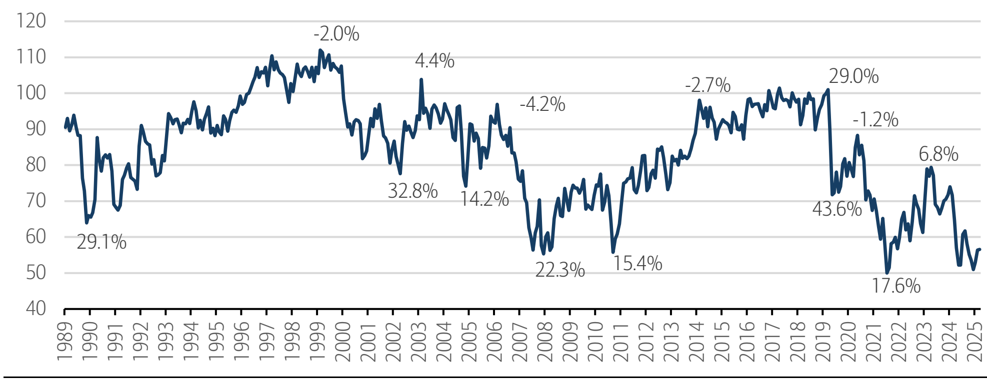
Spending remains strong. According to the Bureau of Economic Analysis, personal consumption expenditures continue to expand, with services spending providing notable support. Internal Bank of America Institute data tells a similar story: Total credit/debit card spending per household increased 2.6% YoY in January, the largest increase since February 2024. Additionally, consumption remains the largest contributor to GDP growth.

Positive after-tax wage growth and wealth effects have sustained higher-income discretionary spending. Wage growth dispersion between higher- and lower-income cohorts hasn't widened further from last fall's peak, and despite some uptick in credit-card delinquencies, median checking/savings balances remain above inflation-adjusted 2019 levels. Also, tax refunds are expected to be 26% higher compared to 2025, with over 36% of consumers[8] using refunds to pay down debts. This should shore up the consumer balance sheet and boost spending.

Looking ahead: The consumer outlook may prove more constructive than sentiment alone suggests. Historically, sentiment tends to lag underlying economic improvements, and we see many tailwinds for the consumer; the labor market remains stable, gas prices are around $3.00 per gallon, below their five-year average of $3.40, and a wave of fiscal stimulus is expected to hit accounts, all of which should broaden purchasing power across cohorts. These catalysts may allow perceptions to begin to catch-up with consumption.

Exhibit 4: Low Sentiment Leads to Positive 12-month Forward Returns.

University of Michigan Consumer Sentiment Index Peaks/Troughs and S&P 500 Index 12-month Forward Returns Percentage.



Source: Bloomberg; Fidelity Investments. Price returns used. Data as of February 28, 2026. **Past performance is no guarantee of future results.** Please refer to index definitions at the end of this report. It is not possible to invest directly in an index.

[8] Bank of America Institute. Survey conducted in early February 2026 of 1,007 individual owing more than two types of debt to gain insights into the types of debt owed and payment behavior, including how they prioritize debt payments.

Portfolio Considerations

With a resilient consumer base, a relatively solid job market, and additional fiscal stimulus expected in the first half of 2026, we remain slightly overweight the Consumer Discretionary sector. Households continue to adjust their budgets to prioritize experiences and essentials, with higher-income consumers further supported by wealth effects from rising home values and equity portfolios. Conversely, we maintain a slight underweight in Consumer Staples as ongoing trade-down behavior and rising preference for private-label products continue to pressure margins and profitability for branded manufacturers.

RETURN TO FIRST PAGE

MARKETS IN REVIEW

Asset Class Weightings (as of 2/3/2026)

	CIO View / Underweight		Neutral	Overweight	
Asset Class					
Global Equities				●	
U.S. Large-cap Growth				●	
U.S. Large-cap Value				●	
U.S. Small-cap Growth				●	
U.S. Small-cap Value				●	
International Developed		●			
Emerging Markets				●	
Global Fixed Income		●			
U.S. Governments		●			
U.S. Mortgages		●			
U.S. Corporates		●			
International Fixed Income		●			
High Yield		●			
U.S. Investment-grade Tax Exempt		●			
U.S. High Yield Tax Exempt		●			
Alternative Investments*					
Hedge Strategies			●		
Private Equity			●		
Private Credit			●		
Real Assets			●		
Cash					

CIO Equity Sector Views

	CIO View / Underweight		Neutral	Overweight	
Sector					
Financials					●
Utilities				●	
Consumer Discretionary				●	
Industrials				●	
Communication Services			●		
Information Technology			●		
Healthcare			●		
Real Estate		●			
Consumer Staples		●			
Materials		●			
Energy	●				

*Many products that pursue Alternative Investment strategies, specifically Private Equity and Hedge Funds, are available only to qualified investors. CIO asset class views are relative to the CIO Strategic Asset Allocation (SAA) of a multi-asset portfolio. Source: Chief Investment Office as of February 3, 2026. All sector and asset allocation recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

Economic Forecasts (as of 2/27/2026)

	Q4 2025A	2025A	Q1 2026E	Q2 2026E	Q3 2026E	Q4 2026E	2026E
Real global GDP (% y/y annualized)	-	3.6*	-	-	-	-	3.5
Real U.S. GDP (% q/q annualized)	1.4*	2.2*	2.6	3.0	2.0	2.0	2.8
CPI inflation (% y/y)	2.7	2.7*	2.5	3.0	2.7	2.6	2.7
Core CPI inflation (% y/y)	2.7	2.9*	2.6	2.8	2.6	2.7	2.7
Unemployment rate (%)	4.5	4.3*	4.5	4.5	4.4	4.3	4.4
Fed funds rate, end period (%)	3.63	3.63	3.63	3.38	3.13	3.13	3.13

The forecasts in the table above are the base line view from BofA Global Research. The Global Wealth & Investment Management (GWIM) Investment Strategy Committee (ISC) may make adjustments to this view over the course of the year and can express upside/downside to these forecasts. Historical data is sourced from Bloomberg, FactSet, and Haver Analytics. **There can be no assurance that the forecasts will be achieved. Economic or financial forecasts are inherently limited and should not be relied on as indicators of future investment performance.**

A = Actual. E/* = Estimate. Data as of February 27, 2026.

Sources: BofA Global Research; GWIM ISC as of February 27, 2026.

Equities

	Total Return in USD (%)			
	Current	WTD	MTD	YTD
DJIA	48,977.92	-1.3	0.3	2.1
NASDAQ	22,668.21	-0.9	-3.3	-2.4
S&P 500	6,878.88	-0.4	-0.8	0.7
S&P 400 Mid Cap	3,575.27	-0.9	4.1	8.3
Russell 2000	2,632.36	-1.2	0.8	6.2
MSCI World	4,556.79	0.1	0.7	3.0
MSCI EAFE	3,179.91	1.2	4.6	10.1
MSCI Emerging Markets	1,610.70	2.8	5.5	14.8

Commodities & Currencies

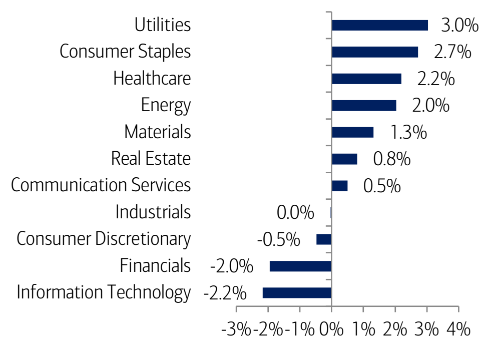
	Total Return in USD (%)			
Commodities	Current	WTD	MTD	YTD
Bloomberg Commodity	308.23	1.7	1.1	11.6
WTI Crude $/Barrel††	67.02	0.9	2.8	16.7
Gold Spot $/Ounce††	5278.93	3.4	7.9	22.2

	Total Return in USD (%)			
Currencies	Current	Prior Week End	Prior Month End	2024 Year End
EUR/USD	1.18	1.18	1.19	1.17
USD/JPY	156.05	155.05	154.78	156.71
USD/CNH	6.86	6.90	6.96	6.98

Fixed Income†

	Total Return in USD (%)			
	Current	WTD	MTD	YTD
Corporate & Government	4.09	0.52	1.64	1.64
Agencies	3.83	0.42	1.11	1.23
Municipals	3.29	0.33	1.25	2.20
U.S. Investment-Grade Credit	4.16	0.54	1.64	1.75
International	4.73	0.21	1.29	1.47
High Yield	6.71	-0.22	0.19	0.69
90 Day Yield	3.66	3.67	3.65	3.63
2 Year Yield	3.37	3.48	3.52	3.47
10 Year Yield	3.94	4.08	4.24	4.17
30 Year Yield	4.61	4.72	4.87	4.84

S&P Sector Returns



Sources: Bloomberg, Factset. Total Returns from the period of 2/23/2026 to 2/27/2026. †Bloomberg Barclays Indices. ††Spot price returns. All data as of the 2/27/2026 close. Data would differ if a different time period was displayed. Short-term performance shown to illustrate more recent trend. **Past performance is no guarantee of future results.**

Index Definitions

Securities indexes assume reinvestment of all distributions and interest payments. Indexes are unmanaged and do not take into account fees or expenses. It is not possible to invest directly in an index. Indexes are all based in U.S. dollars.

S&P 500/Market-cap Weighted Index is a stock market index tracking the stock performance of 500 leading companies listed on stock exchanges in the United States.

S&P 500 Equal Weighted Index is the equal-weight version of the widely-used S&P 500. The index includes the same constituents as the capitalization weighted S&P 500, but each company in the S&P 500 EWI is allocated a fixed weight - or 0.2% of the index total at each quarterly rebalance.

Conference Board Consumer Confidence Index is a barometer of the health of the U.S. economy from the perspective of the consumer. The index is based on consumers' perceptions of current business and employment conditions, as well as their expectations for six months hence regarding business conditions, employment, and income.

University of Michigan Consumer Sentiment Index is a monthly survey of consumer confidence levels in the United States conducted by the University of Michigan.

Important Disclosures

Investing involves risk, including the possible loss of principal. Past performance is no guarantee of future results.

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Investments have varying degrees of risk. Some of the risks involved with equity securities include the possibility that the value of the stocks may fluctuate in response to events specific to the companies or markets, as well as economic, political or social events in the U.S. or abroad. Small cap and mid cap companies pose special risks, including possible illiquidity and greater price volatility than funds consisting of larger, more established companies. Investing in fixed-income securities may involve certain risks, including the credit quality of individual issuers, possible prepayments, market or economic developments and yields and share price fluctuations due to changes in interest rates. When interest rates go up, bond prices typically drop, and vice versa. Investments in high-yield bonds (sometimes referred to as "junk bonds") offer the potential for high current income and attractive total return, but involves certain risks. Changes in economic conditions or other circumstances may adversely affect a junk bond issuer's ability to make principal and interest payments. Income from investing in municipal bonds is generally exempt from Federal and state taxes for residents of the issuing state. While the interest income is tax-exempt, any capital gains distributed are taxable to the investor. Income for some investors may be subject to the Federal Alternative Minimum Tax (AMT). Treasury bills are less volatile than longer-term fixed income securities and are guaranteed as to timely payment of principal and interest by the U.S. government. Bonds are subject to interest rate, inflation and credit risks. Investments in foreign securities (including ADRs) involve special risks, including foreign currency risk and the possibility of substantial volatility due to adverse political, economic or other developments. These risks are magnified for investments made in emerging markets. Investments in a certain industry or sector may pose additional risk due to lack of diversification and sector concentration. There are special risks associated with an investment in commodities, such as gold, including market price fluctuations, regulatory changes, interest rate changes, credit risk, economic changes and the impact of adverse political or financial factors.

Alternative Investments are speculative and involve a high degree of risk.

Alternative investments are intended for qualified investors only. Alternative Investments such as derivatives, hedge funds, private-credit, private equity funds, and funds of funds can result in higher return potential but also higher loss potential. Changes in economic conditions or other circumstances may adversely affect your investments. Before you invest in alternative investments, you should consider your overall financial situation, how much money you have to invest, your need for liquidity and your tolerance for risk.

Nonfinancial assets, such as closely-held businesses, real estate, fine art, oil, gas and mineral properties, and timber, farm and ranch land, are complex in nature and involve risks including total loss of value. Special risk considerations include natural events (for example, earthquakes or fires), complex tax considerations, and lack of liquidity. Nonfinancial assets are not in the best interest of all investors. Always consult with your independent attorney, tax advisor, investment manager, and insurance agent for final recommendations and before changing or implementing any financial, tax, or estate planning strategy.

RETURN TO FIRST PAGE

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Capital Market Outlook

March 2, 2026

All data, projections and opinions are as of the date of this report and subject to change.

IN THIS ISSUE

Macro Strategy—*Beyond Goods—The Expected Boom in China's Knowledge-Intensive Exports:* China's trade is shifting from goods toward high-value, knowledge-intensive services such as information and communication technology (ICT), research & development (R&D), and Artificial Intelligence (AI), a transition that supports a positive outlook for China's technology leaders.

Market View—*In Times of Uncertainty, Choose Fundamentals Over Fear:* Despite negative headlines and elevated uncertainty, market and economic fundamentals remain strong, countering fears around market breadth, tariffs, consumer health, and foreign investment. The key takeaway is to prioritize fundamentals over fear when navigating volatile markets.

Thought of the Week—*The Sentiment-Spending Disconnect*: Despite weak consumer sentiment, resilient spending, supportive hard data, and expected 2026 tailwinds point to a more constructive consumer and Equity outlook than surveys alone suggest.

From the CIO—*Market Update: A Snapshot of Middle East Uncertainties and Market Effects*: The aftershocks from the war in the Middle East will dictate price movements for multi-assets in the near-term. The duration of the conflict, and how broad, are key factors to monitor. Per the accompanying table, geopolitical events are headline-grabbing but not market-moving over the medium-term. We continue to emphasize the highest level of diversification in portfolios.

Major geopolitical events and subsequent S&P 500 price returns.

Event	Date	1 day	1-month	3-month	6-month	12-month
Cuban Missile Crisis	16-Oct-62	-0.3%	5.4%	13.3%	21.1%	27.8%
JFK Assassination	22-Nov-63	4.0%	6.7%	11.5%	16.0%	23.9%
Six-Day War	5-Jun-67	2.0%	3.3%	6.5%	7.7%	13.0%
Bretton Woods Collapse	15-Aug-71	3.2%	4.6%	-3.7%	9.8%	17.0%
Arab Oil Embargo	19-Oct-73	-1.0%	-8.6%	-13.3%	-14.9%	-34.4%
Iranian Shah Overthrown	11-Feb-79	0.3%	1.7%	1.6%	7.8%	20.5%
Fall of Berlin Wall	9-Nov-89	0.8%	3.6%	-0.9%	1.9%	-6.8%
Start of Gulf War	17-Jan-91	1.3%	12.5%	19.1%	16.2%	27.7%
9/11 Terrorist Attacks	11-Sep-01	-4.9%	-1.1%	4.3%	6.6%	-16.7%
Fukushima Nuclear Disaster	11-Mar-11	-0.6%	1.5%	-2.6%	-11.5%	5.1%
Russia Annexes Crimea	20-Feb-14	-0.2%	1.8%	1.8%	8.0%	14.7%
Brexit Vote	23-Jun-16	-3.6%	2.9%	2.4%	7.1%	15.4%
Russia-Ukraine Conflict	24-Feb-22	2.2%	5.4%	-8.1%	-3.4%	-7.4%
Israel-Hamas War	7-Oct-23	0.6%	1.3%	9.0%	20.8%	33.5%
12-Day War	13-Jun-25	0.9%	4.7%	10.2%	14.2%	--
Average		*0.3%*	*3.1%*	*3.4%*	*7.2%*	*9.5%*

Source: Bloomberg. Data as of March 1, 2026. If the market was closed on the event date, the date of the previous market close was referenced. The one-day return for the 9/11 attacks after reopening of the market was on 9/17/2001. The one-day return for the JFK assassination after the reopening of the market was on 11/26/1963. **FOR INFORMATIONAL PURPOSES ONLY**. Indexes are unmanaged and do not take into account fees or expenses. **Past performance is no guarantee of future results.** Please refer to important disclosures at the end of this report.

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MACRO STRATEGY ▶

MARKET VIEW ▶

THOUGHT OF THE WEEK ▶

MARKETS IN REVIEW ▶

Portfolio Considerations

With new highs expected for Equities ahead, investors should consider portfolio adjustments such as increasing exposure to Small-caps and Emerging Markets as well as diversified sector exposures where underweight, leveraging Fixed Income as a ballast while maintaining an Equity overweight, and adding to growth themes and Alternative Assets, for qualified investors, where appropriate.

We are constructive on Fixed Income overall but underweight in order to fund our Equity overweight. We continue to project range-bound yields given sticky inflation and real gross domestic product remaining near or above 2% for the next few years. However, we recognize potentially high volatility in either direction, especially given the expected change in Federal Reserve leadership later this year.

MACRO STRATEGY

Beyond Goods—The Expected Boom in China's Knowledge-Intensive Exports

Joseph P. Quinlan, Managing Director and Head of CIO Market Strategy

Ariana Chiu, Assistant Vice President and Investment Strategist

No nation in the world exports as much merchandise as China. But having conquered global trade in goods, China is now rapidly moving up the global ranks as a leading exporter of knowledge-intensive services. This dynamic is one more reason why we remain constructive on China technology leaders for the long run. As we continue to emphasize to investors, the global race for technological supremacy is a two-horse race—between the U.S. and China. In terms of portfolio construction, own both—or technology leaders in the U.S. and China.

China's new trade paradigm rests on rising exports of services like ICT, construction management, engineering services, data analytics, R&D, and, to a lesser degree, financial services and intellectual property rights. Add up these services, and China already ranks as the world's sixth-largest exporter, up from 12th place in 2005 (Exhibit 1A).

The country now earns more from exports of ICT services ($100 billion in 2024) than traditional export staples like toys ($82 billion) and footwear ($51 billion). Exports of "other business services"—a combination of consulting services, R&D, and technical-related activities—totaled $113 billion in 2024, well ahead of exports of iron and steel ($71 billion) and apparel ($85 billion). And construction service exports in 2024 ($34 billion) were greater than exports of glassware ($25.5 billion) and pharmaceutical products ($12 billion), as depicted in Exhibit 1B.

Service exports like construction have soared due in large part to China's "One Belt, One Road" initiative. Since the program was announced in 2013, construction service exports have tripled, rising from $10.7 billion in 2013 to $33.6 billion in 2024. By ploughing billions of dollars into infrastructure projects around the world, China's mega-development strategy has not only supercharged China's exports of steel, cement, heavy equipment and other goods needed to build ports, highways, power plants and railways. It has also boosted service exports required to keep the ports, railways and power plants humming—think operations management contracts, digital monitoring systems, technical training, maintenance agreements, software upgrades, cloud computing capabilities and related service activities.

Similarly, when China's leading telecommunication leaders install a 4G or 5G network in Pakistan, or a China's technology giant builds a data center in Brazil, it's not one and done. What typically follows are multiyear-managed-service agreements that include software updates, technical support, network maintenance and related activities that lock in the business for years—and drive growth in services trade. Indeed, export services of telecommunication, computer and information services have quadrupled just in the past decade, rising from 2015 ($25.8 billion) to $100 billion in 2024.

In addition, as China has moved up the value-added curve in exports of electrical vehicles, robots, drones, solar panels, and wind turbines, the expansion in knowledge-intensive service exports have followed. Each one of these products are highly digitalized and are accompanied with an array of recurring service requirements that only strengthens and fortifies China's competitive position in various markets around the world.

Trade in hardware (goods) has led to more trade in software (services)—one pulls the other. In reality, this means that the export of electrical vehicles comes with software upgrades; the export of robots and drones comes with the export of cloud connectivity services and remote monitoring systems; and the export of solar panels and wind turbines comes with the exports of technical services and maintenance.

Services increasingly account for a rising value of China's manufacturing exports. This represents a new front in China's trade with the world—but it doesn't end there.

Enter AI and China's advances in open-source AI. More affordable and accessible to end users, DeepSeek's large language models (LLM) and other iterations from China are gaining traction around the world, notably in Africa, Russia, the Middle East and other emerging markets. Indeed, the number of cumulative global downloads of China's open-sourced AI models surpassed those of the U.S. last September, with the gap only widening since then (Exhibit 1C).

Portfolio Considerations

As China expands its knowledge-intensive exports and competes with the U.S.' AI capabilities, portfolios have the potential to benefit from being exposed to technology leaders both in the U.S. and in China. We remain overweight Emerging Markets (EM) which are heavily levered to technology companies in Asian markets.

RETURN TO FIRST PAGE

And as an aside, open-source LLMs from China are not are not just surging in popularity in the emerging markets. They are also gaining popularity and adoption in the U.S. Cost-effective, high performing, and frequently updated—owing to these factors, 80% of U.S. AI startups rely on China's open-source models instead of U.S. models.[1] Rising AI adoption rates of China models means more AI-enabling activities and more demand for China's knowledge-intensive exports including ICT services, real-time data processing, predictive maintenance data analytics, systems integration and smart infrastructure management.

Given all the above, China's trade in knowledge-intensive services has swung from a perennial deficit over much of this century to a surplus beginning around 2015 (Exhibit 1D). The surplus in trade in "other services" topped $80 billion in 2024—and putting that number into perspective; when it comes to running a trade surplus in "other services" or construction and knowledge-intensive trade, China now ranks fourth in the world, trailing only the U.S., the U.K. and India. Within the category of "other services," construction trade posted a surplus of $25 billion in 2024; the trade surplus in ICT was a record $60 billion; and the surplus in "other business services" including R&D totaled $48 billion—also a record high.

More broadly, and for some context, China's total service exports remain second fiddle to China's trade in goods. In 2024, total service exports accounted for just 12.5% of goods exports in 2024. In addition, China still runs an overall deficit in total services owing to a large deficit in travel (visitors from China spending more overseas than foreign visitors spending in China) and a deficit in education receipts. It also runs a deficit in intellectual property royalites since the nation remains a net importer of intellectual property.

However, investors should see the big picture, which is this: China's trade has entered a new phase—think not only high-end goods like electrical vehicles, robots and drones but also construction services and knowledge-intensive services exports that range from telecommunication platforms to AI-embedded capabilities. Against this backdrop, we remain constructive on China technology.

Exhibit 1: China's New Trade Paradigm Rests on Services Exports.

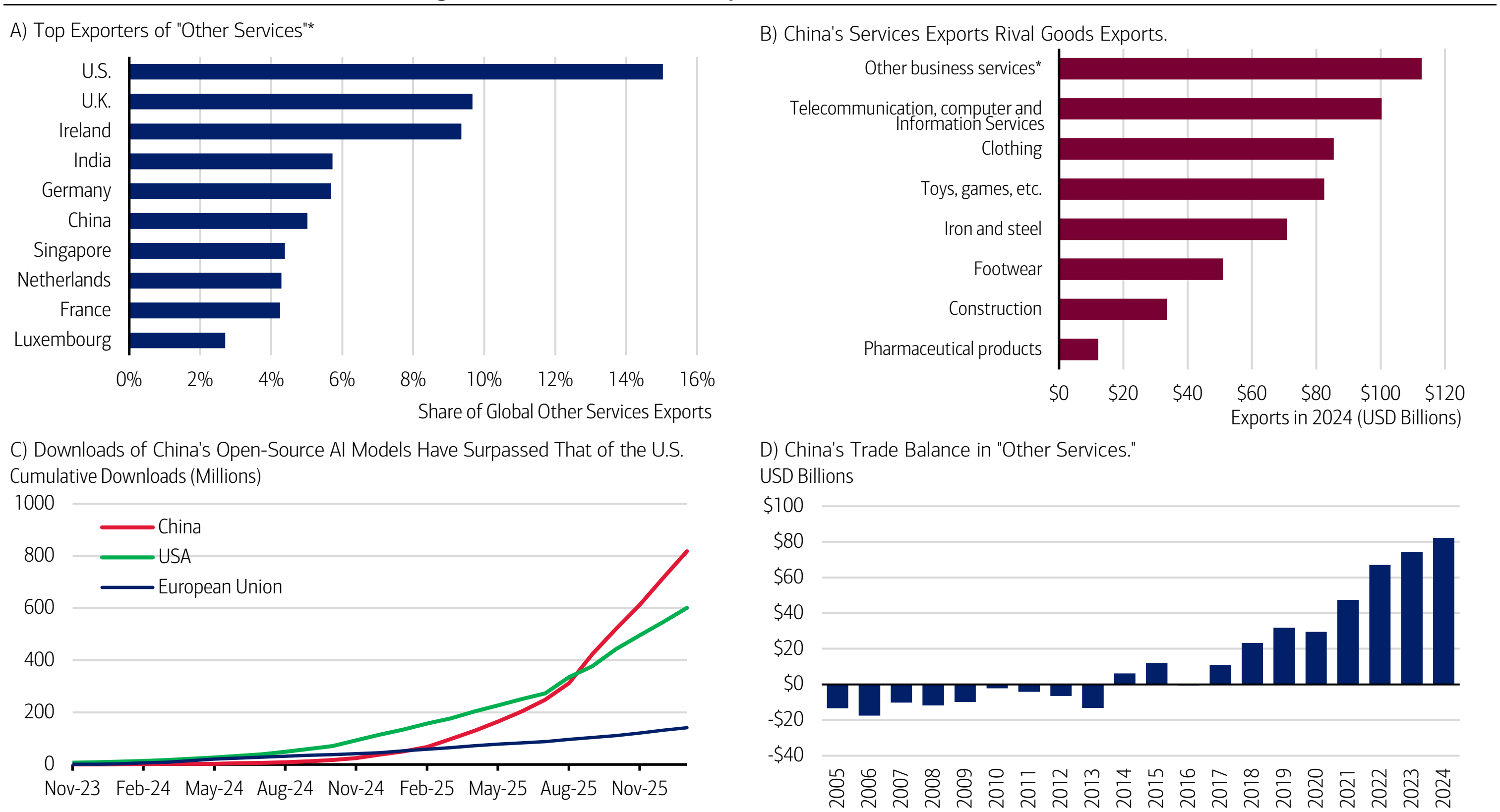


Exhibit 1A) *Includes construction, insurance and pension services, financial services, charges for use of intellectual property, telecommunication/computer/information services, other business services, recreational services, and government goods and services. Source: World Trade Organization (WTO). Data as of February 2026. Exhibit 1B) *Includes R&D, consulting services, and trade and technical-related services. Source: WTO; International Trade Centre. Data as of February 2026. Exhibit 1C) Source: The ATOM Project, Hugging Face. Data as of February 24, 2026. Exhibit 1D) Source: WTO. Data as of February 2026.

[1] "80% of AI start-ups applying for VC funding with Andreessen Horowitz are using Chinese Open-source AI.", European Central Station, 2025.

In Times of Uncertainty, Choose Fundamentals Over Fear

Ariana Chiu, Assistant Vice President and Investment Strategist

In today's attention economy, it's easy to get distracted by the nonstop stream of (usually negative) headlines. But as investors, and especially in times of heightened uncertainty, it's important to remember that underlying fundamentals ultimately drive the economy and markets. While risks certainly remain, there's a lot to like about what's taking place in the global economy and markets. Fundamentals are still largely intact—a fact that doesn't tend to go viral or make front-page news. Below we address some common current fears and why fundamentals suggest otherwise.

On fear that this bull market is too narrow to last... Concerns surrounding U.S. equity market concentration and the return on AI investment (or lack thereof) continue to swirl. As recent volatility suggests, AI now has a long list of fears attached to it, ranging from the belief that agentic AI will lead to mass white collar unemployment and a global recession to the fear that limited AI adoption will end in massive overinvestment and abandoned data centers.

The wall of worry is high, and yet the average stock in the S&P 500 has fared surprisingly well over the last few months. So far in 2026, the equal-weighted S&P 500 has outperformed its market cap-weighted counterpart by the widest margin since 1992,[2] a stark departure from three consecutive years of ultra-narrow performance (Exhibit 2A). Breadth is at record levels, as Exhibit 2B highlights, with more than 320 companies in the S&P 500 outperforming the broader index year-to-date (including none of the Magnificent 7[3]). Strength from areas of the market outside of technology have pulled their weight since last November—hence an S&P 500 just 1% to 2% off an all-time high despite industries like software in bear market territory. Internals still look good for the broader index, with 68% of stocks above their 200-day moving average. All of this is good news for the sustainability of this bull market.

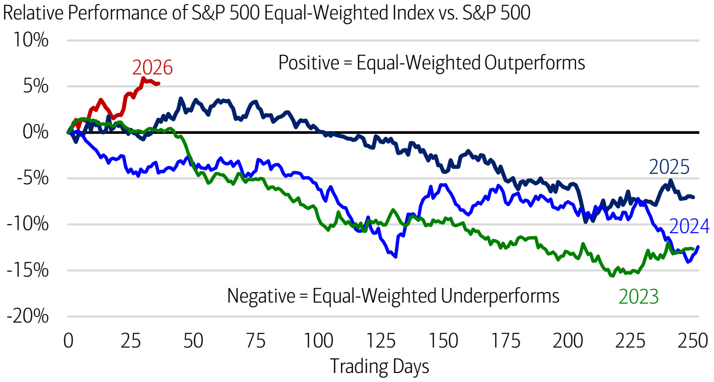
Portfolio Considerations

With U.S. Equities churning under the surface, we urge investors to take advantage of broadening fundamentals in portfolios, increasing exposure to areas like Small-caps and EMs for those who are underweight and maintaining diversified exposure to Value and Growth. Demand for U.S. securities should remain robust this year, and a gradual weakening rather than disorderly downfall of the dollar is likely.

Exhibit 2: The Broadening is Finally Here.

A) 2026: Year of the Average Stock?

Relative Performance of S&P 500 Equal-Weighted Index vs. S&P 500



B) Record Breadth After 3 Years of Ultra-Narrow Performance.

Number of Constituents Outperforming Broader S&P 500

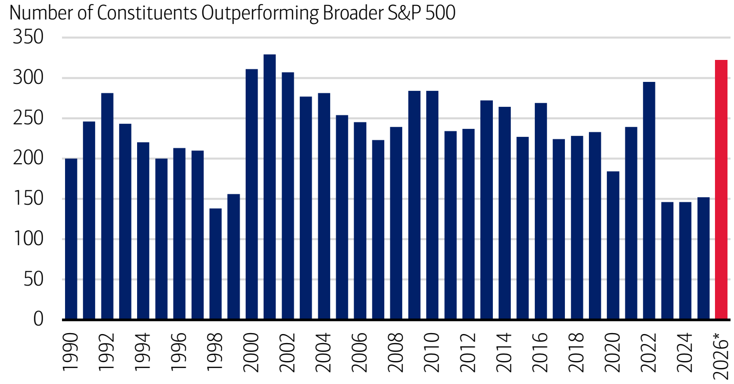


Exhibit 2A) Source: Bloomberg. Data as of February 24, 2026. Exhibit 2B) *Year-to-date. Source: Bloomberg. Data as of February 24, 2026. **Past performance is no guarantee of future results**. Please refer to index definitions at the end of this report. It is not possible to invest directly in an index.

On fear that renewed tariff uncertainty will cripple corporate America... With the Supreme Court's decision on February 20, IEEPA tariffs have been replaced with Section 122 tariffs for the next 150 days. While lower tariffs for countries like China and Brazil are good news in the near term for many companies, it's clear that tariff uncertainty will continue to be a feature of 2026. Alternative authorities to the International Emergency Economic Powers Act are likely to keep the effective tariff rate well above where it averaged prior to 2025 (around 2.2% over the prior 10 years[4]). Meanwhile, lengthy sector- and country-specific investigations will make tariff implementation more cumbersome.

With that said, it shouldn't be lost on investors that corporate America managed record profit margins and earnings growth through the Liberation Day (April 2) shakeout. Q4

[2] Refers to the first 36 trading days of the year. Bloomberg. Data as of February 24, 2026.

[3] Apple, Amazon, Alphabet, Nvidia, Meta, Microsoft, and Tesla

[4] U.S. International Trade Commission.

earnings growth for the S&P 500 is tracking at 14% year-over-year (YoY), marking the fifth straight quarter of double-digit earnings growth or its longest such streak since 2018. Well-diversified investors are also benefitting from a broadening in profits not only across sectors but also along the cap spectrum and to the rest of the world. Hence our preference in portfolios for Small-caps, EMs, and a balance of Value and Growth.

On fear that household balance sheets, particularly among lower-income consumers, are deteriorating… It's no secret that spending in the U.S. has been increasingly top-heavy, not only by income but also by education and age. Spending of college graduates has grown about 2.4% faster than that of nongraduates since 2023.[5] Meanwhile, those aged 55 and older now account for some 45% of overall U.S. consumption, up from less than 30% at the start of the century.[6] It's hardly an even playing field out there.

However, data from the Federal Reserve continues to suggest balance sheets are strong—not just in aggregate or among wealthier households but across income cohorts. To wit, debt as a share of household net worth among the bottom 20% of households by income currently stands at 16.1%, having gradually declined from 20% at the start of the decade and technically now at the lowest level since 1999. A similar pattern can be observed across income quintiles. In other words, though higher prices have weighed on lower-income households and while delinquency rates bear watching, consumer balance sheets across the income spectrum are still in historically solid shape.

And finally, on fear that foreign investors are bailing on the U.S.… Like in 2025, the narrative that foreign investors are abandoning U.S. assets on macro/geopolitical developments has gripped headlines this year. Yet there has been little evidence of this in the latest data from the Treasury Department, which showed that foreign investors purchased a record net $1.55 trillion of long-term U.S. financial assets in 2025—a stunning 31% increase from $1.18 trillion in 2024 (Exhibit 3A). Included were $720 billion of net equity purchases and $409 billion in Treasury notes and bonds. Foreign demand has proven strong to start the year too; 19% of January's note and bond auctions were allotted to foreign accounts, the highest share in three years.[7]

Indeed, the "sell America" trade has been more bark than bite. The decline in the dollar, now 8% below where it entered 2025 on a real trade-weighted basis, has primarily reflected foreign investors from Asia and Europe hedging their dollar exposure after a decade of robust U.S. returns. So far this year, the greenback has declined more than 1% in trade-weighted terms but remains overvalued (Exhibit 3B). We expect the dollar to strengthen in the near-term given conflict in the Middle East before resuming a slightly weaker path. Don't buy into the fear that foreigners have given up on U.S. assets.

Exhibit 3: Fade the Foreign Buyer Strike.

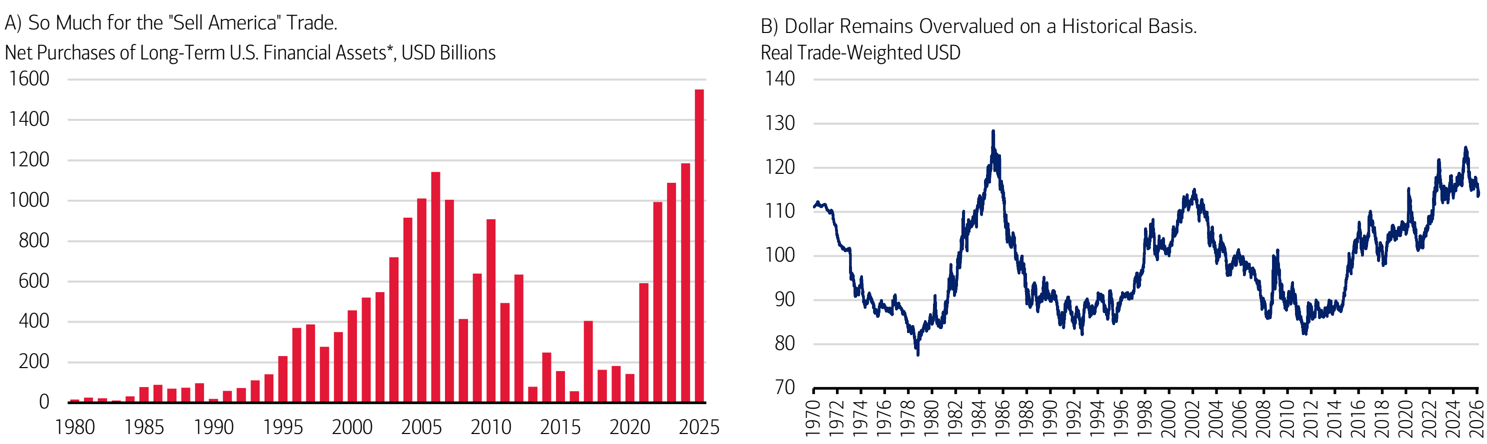


Exhibit 3A) *Includes Equities, Treasurys, Agencies, and Corporates. Source: U.S. Treasury. Data as of February 24, 2026. Exhibit 3B) Source: Bloomberg, Federal Reserve. Data as of February 24, 2026.

[5] Federal Reserve Bank of New York. Data through December 2025 as of February 3, 2026.

[6] Moody's Analytics. Q3 2025 data as of February 24, 2026.

[7] U.S. Treasury. Data as of February 24, 2026.

THOUGHT OF THE WEEK

The Sentiment-Spending Disconnect

Theadora Lamprecht, Assistant Vice President and Investment Strategist

The U.S. consumer backdrop is increasingly defined by a divergence between 'soft' data and 'hard' data: sentiment remains subdued, while spending continues to prove more resilient than expected.

Sentiment is cautious but may be nearing an inflection point for markets. Survey-based measures, such as the Conference Board Consumer Confidence Index and University of Michigan Consumer Sentiment Index, remain below pre-pandemic levels, reflecting persistent concerns about affordability. Households may be employed and earning but remain uneasy about real purchasing power.

Even so, there are emerging bright spots. The Conference Board's February reading came in above expectations at 91.2, up from the prior month's upwardly revised 89.0. Labor market perceptions remain constructive: a greater number of participants said that jobs were "plentiful" (28%) compared to "hard to get" (21%). For investors, periods of depressed sentiment have historically created favorable entry points for Equities. Across the past seven major peaks and troughs in the University of Michigan Index, average 12-month forward S&P 500 returns following a sentiment peak were roughly 4.3%, compared with a whopping 25.0% following a trough. In other words, when consumer confidence reaches extreme lows, subsequent equity market performance has tended to be meaningfully stronger (Exhibit 4).

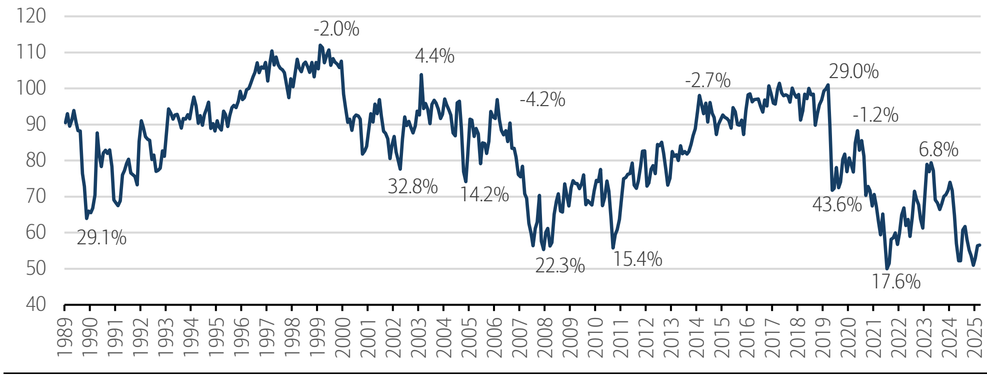
Spending remains strong. According to the Bureau of Economic Analysis, personal consumption expenditures continue to expand, with services spending providing notable support. Internal Bank of America Institute data tells a similar story: Total credit/debit card spending per household increased 2.6% YoY in January, the largest increase since February 2024. Additionally, consumption remains the largest contributor to GDP growth.

Positive after-tax wage growth and wealth effects have sustained higher-income discretionary spending. Wage growth dispersion between higher- and lower-income cohorts hasn't widened further from last fall's peak, and despite some uptick in credit-card delinquencies, median checking/savings balances remain above inflation-adjusted 2019 levels. Also, tax refunds are expected to be 26% higher compared to 2025, with over 36% of consumers[8] using refunds to pay down debts. This should shore up the consumer balance sheet and boost spending.

Looking ahead: The consumer outlook may prove more constructive than sentiment alone suggests. Historically, sentiment tends to lag underlying economic improvements, and we see many tailwinds for the consumer; the labor market remains stable, gas prices are around $3.00 per gallon, below their five-year average of $3.40, and a wave of fiscal stimulus is expected to hit accounts, all of which should broaden purchasing power across cohorts. These catalysts may allow perceptions to begin to catch-up with consumption.

Exhibit 4: Low Sentiment Leads to Positive 12-month Forward Returns.

University of Michigan Consumer Sentiment Index Peaks/Troughs and S&P 500 Index 12-month Forward Returns Percentage.



Source: Bloomberg; Fidelity Investments. Price returns used. Data as of February 28, 2026. **Past performance is no guarantee of future results.** Please refer to index definitions at the end of this report. It is not possible to invest directly in an index.

[8] Bank of America Institute. Survey conducted in early February 2026 of 1,007 individual owing more than two types of debt to gain insights into the types of debt owed and payment behavior, including how they prioritize debt payments.

Portfolio Considerations

With a resilient consumer base, a relatively solid job market, and additional fiscal stimulus expected in the first half of 2026, we remain slightly overweight the Consumer Discretionary sector. Households continue to adjust their budgets to prioritize experiences and essentials, with higher-income consumers further supported by wealth effects from rising home values and equity portfolios. Conversely, we maintain a slight underweight in Consumer Staples as ongoing trade-down behavior and rising preference for private-label products continue to pressure margins and profitability for branded manufacturers.

RETURN TO FIRST PAGE

Asset Class Weightings (as of 2/3/2026)

Asset Class	CIO View / Underweight		Neutral		Overweight
Global Equities				●	
U.S. Large-cap Growth				●	
U.S. Large-cap Value				●	
U.S. Small-cap Growth				●	
U.S. Small-cap Value				●	
International Developed		●			
Emerging Markets				●	
Global Fixed Income		●			
U.S. Governments		●			
U.S. Mortgages		●			
U.S. Corporates		●			
International Fixed Income		●			
High Yield		●			
U.S. Investment-grade Tax Exempt		●			
U.S. High Yield Tax Exempt		●			
Alternative Investments*					
Hedge Strategies			●		
Private Equity			●		
Private Credit			●		
Real Assets			●		
Cash					

CIO Equity Sector Views

Sector	CIO View / Underweight		Neutral		Overweight
Financials					●
Utilities				●	
Consumer Discretionary				●	
Industrials				●	
Communication Services			●		
Information Technology			●		
Healthcare			●		
Real Estate		●			
Consumer Staples		●			
Materials		●			
Energy	●				

*Many products that pursue Alternative Investment strategies, specifically Private Equity and Hedge Funds, are available only to qualified investors. CIO asset class views are relative to the CIO Strategic Asset Allocation (SAA) of a multi-asset portfolio. Source: Chief Investment Office as of February 3, 2026. All sector and asset allocation recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

Economic Forecasts (as of 2/27/2026)

	Q4 2025A	2025A	Q1 2026E	Q2 2026E	Q3 2026E	Q4 2026E	2026E
Real global GDP (% y/y annualized)	-	3.6*	-	-	-	-	3.5
Real U.S. GDP (% q/q annualized)	1.4*	2.2*	2.6	3.0	2.0	2.0	2.8
CPI inflation (% y/y)	2.7	2.7*	2.5	3.0	2.7	2.6	2.7
Core CPI inflation (% y/y)	2.7	2.9*	2.6	2.8	2.6	2.7	2.7
Unemployment rate (%)	4.5	4.3*	4.5	4.5	4.4	4.3	4.4
Fed funds rate, end period (%)	3.63	3.63	3.63	3.38	3.13	3.13	3.13

The forecasts in the table above are the base line view from BofA Global Research. The Global Wealth & Investment Management (GWIM) Investment Strategy Committee (ISC) may make adjustments to this view over the course of the year and can express upside/downside to these forecasts. Historical data is sourced from Bloomberg, FactSet, and Haver Analytics. **There can be no assurance that the forecasts will be achieved. Economic or financial forecasts are inherently limited and should not be relied on as indicators of future investment performance.**

A = Actual. E/* = Estimate. Data as of February 27, 2026.

Sources: BofA Global Research; GWIM ISC as of February 27, 2026.

Equities

	Total Return in USD (%)			
	Current	WTD	MTD	YTD
DJIA	48,977.92	-1.3	0.3	2.1
NASDAQ	22,668.21	-0.9	-3.3	-2.4
S&P 500	6,878.88	-0.4	-0.8	0.7
S&P 400 Mid Cap	3,575.27	-0.9	4.1	8.3
Russell 2000	2,632.36	-1.2	0.8	6.2
MSCI World	4,556.79	0.1	0.7	3.0
MSCI EAFE	3,179.91	1.2	4.6	10.1
MSCI Emerging Markets	1,610.70	2.8	5.5	14.8

Commodities & Currencies

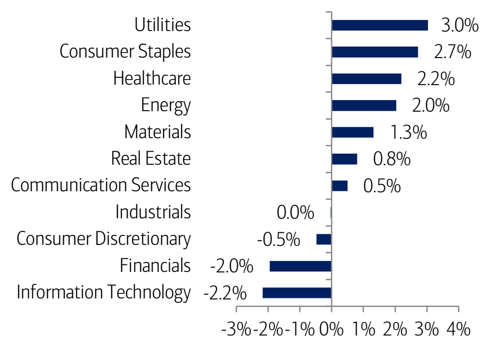
	Total Return in USD (%)			
Commodities	Current	WTD	MTD	YTD
Bloomberg Commodity	308.23	1.7	1.1	11.6
WTI Crude $/Barrel††	67.02	0.9	2.8	16.7
Gold Spot $/Ounce††	5278.93	3.4	7.9	22.2

	Total Return in USD (%)			
Currencies	Current	Prior Week End	Prior Month End	2024 Year End
EUR/USD	1.18	1.18	1.19	1.17
USD/JPY	156.05	155.05	154.78	156.71
USD/CNH	6.86	6.90	6.96	6.98

Fixed Income†

	Total Return in USD (%)			
	Current	WTD	MTD	YTD
Corporate & Government	4.09	0.52	1.64	1.64
Agencies	3.83	0.42	1.11	1.23
Municipals	3.29	0.33	1.25	2.20
U.S. Investment-Grade Credit	4.16	0.54	1.64	1.75
International	4.73	0.21	1.29	1.47
High Yield	6.71	-0.22	0.19	0.69
90 Day Yield	3.66	3.67	3.65	3.63
2 Year Yield	3.37	3.48	3.52	3.47
10 Year Yield	3.94	4.08	4.24	4.17
30 Year Yield	4.61	4.72	4.87	4.84

S&P Sector Returns



Sources: Bloomberg, Factset. Total Returns from the period of 2/23/2026 to 2/27/2026. †Bloomberg Barclays Indices. ††Spot price returns. All data as of the 2/27/2026 close. Data would differ if a different time period was displayed. Short-term performance shown to illustrate more recent trend. **Past performance is no guarantee of future results.**

RETURN TO FIRST PAGE

Index Definitions

Securities indexes assume reinvestment of all distributions and interest payments. Indexes are unmanaged and do not take into account fees or expenses. It is not possible to invest directly in an index. Indexes are all based in U.S. dollars.

S&P 500/Market-cap Weighted Index is a stock market index tracking the stock performance of 500 leading companies listed on stock exchanges in the United States.

S&P 500 Equal Weighted Index is the equal-weight version of the widely-used S&P 500. The index includes the same constituents as the capitalization weighted S&P 500, but each company in the S&P 500 EWI is allocated a fixed weight - or 0.2% of the index total at each quarterly rebalance.

Conference Board Consumer Confidence Index is a barometer of the health of the U.S. economy from the perspective of the consumer. The index is based on consumers' perceptions of current business and employment conditions, as well as their expectations for six months hence regarding business conditions, employment, and income.

University of Michigan Consumer Sentiment Index is a monthly survey of consumer confidence levels in the United States conducted by the University of Michigan.

Important Disclosures

Investing involves risk, including the possible loss of principal. Past performance is no guarantee of future results.

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Nonfinancial assets, such as closely-held businesses, real estate, fine art, oil, gas and mineral properties, and timber, farm and ranch land, are complex in nature and involve risks including total loss of value. Special risk considerations include natural events (for example, earthquakes or fires), complex tax considerations, and lack of liquidity. Nonfinancial assets are not in the best interest of all investors. Always consult with your independent attorney, tax advisor, investment manager, and insurance agent for final recommendations and before changing or implementing any financial, tax, or estate planning strategy.

RETURN TO FIRST PAGE

CHIEF INVESTMENT OFFICE

Capital Market Outlook

February 23, 2026

All data, projections and opinions are as of the date of this report and subject to change.

IN THIS ISSUE

Macro Strategy—*Japan in the New World Order:* Japan's stocks have substantially outperformed those in the U.S. over the past year. The recent national elections, which saw Sanae Takaichi, Japan's first female Prime Minister, carry her party to the biggest landslide majority since World War II (WWII), clearly separates Japan from most other rich industrial economies where the bitter political divide typical of prior fourth turnings[1] makes progress on key policy issues difficult to achieve. This strong Japan political consensus, along with the major reforms making the country's equity market more attractive, suggests a new secular bull market has begun after the lost decades of deflationary stagnation that began over 35 years ago. In our view, Japan is well poised to prosper in the new world order taking shape.

Market View—*Global Equity Markets and the Tech Turmoil:* After the post-April advance and double-digit gains of 2025, U.S. Equities have had a comparatively volatile start to 2026. Market weakness has been most concentrated in software and cloud hyperscalers. And Equity indexes have exhibited a similar pattern globally, with a few growth sectors lagging the rest of the market. This has favored non-U.S. Equities given their heavier tilt toward Value and cyclicals. We still view the Artificial Intelligence (AI) investment and deployment theme as fundamentally intact and therefore expect growth sectors to perform well with a favorable stance on U.S. Equities. But in our view strong global growth, a weaker dollar, higher commodity prices and extended technology valuations also create a favorable environment for a number of non-U.S. markets.

Thought of the Week—*A Bull Market in Hard Power*: The intensified geopolitical environment combined with a global modernization of military arms is fueling a broad acceleration in defense spending across major economies. Europe, for one, has made significant commitments to a rearmament cycle at the same time that China, Japan and South Korea are also pledging to meaningful increase their defense budgets. That's not unlike the U.S., still the world's biggest spender on defense. All this equates to a global arms race now underway.

[1] Fourth turnings are volatile periods of radical change in American history that have occurred every fourth generation (80 to 100 years) including the periods of the Revolutionary war, the Civil war and the Great Depression and World War II.

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MACRO STRATEGY ▶

MARKET VIEW ▶

THOUGHT OF THE WEEK ▶

MARKETS IN REVIEW ▶

Portfolio Considerations

With new highs expected for Equities ahead, investors should consider portfolio adjustments such as increasing exposure to Small-caps and Emerging Markets as well as diversified sector exposures where underweight, leveraging Fixed Income as a ballast while maintaining an Equity overweight, and adding to growth themes and Alternative Assets, for qualified investors, where appropriate.

We are constructive on Fixed Income overall but underweight in order to fund our Equity overweight. We continue to project range-bound yields given sticky inflation and real gross domestic product remaining near or above 2% for the next few years. However, we recognize potentially high volatility in either direction, especially given the expected change in Federal Reserve leadership later this year.

MACRO STRATEGY

Japan in the New World Order

Chief Investment Office, Macro Strategy Team

Japan was a major beneficiary of the old-world order that is currently being transformed by the political forces that have arisen from the old orders failure to address the needs of increasing numbers of people.

The old-world order was created in the ashes of the destruction from WWII. Arguably, nowhere was the devastation as widespread as in Japan after its wartime defeat.

The architects of the global institutions that framed the rules for the post-war recovery were especially focused on avoiding the problems that had arisen from the settlements after World War I, which were largely felt to have led to the conditions causing the Great Depression of the 1930s and WWII.

One of the main architects of the 1940s post-war framework, John Maynard Keynes, had predicted those problems in his famous book, The Economic Consequences of the Peace, written shortly after the Treaty of Versailles was finalized. Essentially, he argued the harsh treatment of Germany would lead to economic instability and make more conflict likely.

This experience caused the victors in WWII, mainly the U.S. and the U.K., to take a different approach with their defeated enemies, Japan and Germany. The new geopolitical order was created to help them recover and prosper with the belief that peaceful coexistence was more likely in a world of shared prosperity. The plan was wildly successful. In the next 45 years Japan and Germany rose from the ashes to become the second- and third-largest economies in the world.

The geopolitical order created during the 1940s included the Bretton Woods monetary arrangements supported by the creation of the International Monetary Fund and World Bank, the United Nations and the General Agreement on Tariffs and Trade (GATT) system for negotiating tariffs and other trade barriers. As with most major reforms tailored for a particular situation and time, these changes worked well especially for fostering economic recovery but have encountered more problems and grown less effective for changing times. Rather than solving problems, the old system has become the source of new problems over the past several decades.

Japan's experience illustrates both the successes and the shortcomings of the global arrangements set up in the 1940s. A major debate at the Bretton Woods Conference between Keynes and Harry Dexter White, the U.S. Treasury representative leading the negotiations, revolved around the new international monetary system. Keynes wanted to create a new international currency administered by a global central bank for settlement of international trade imbalances. The U.S. position which was adopted instead made the dollar the global currency for settlements fixing it to a $35 per ounce gold price. The debate foreshadowed the basic problem that had plagued the interwar period of how to deal with countries that run persistent trade surpluses as well as the high tariffs that hurt the global trading system in the 1930s.

While the GATT Treaty, which was eventually replaced by the World Trade Organization, lowered tariffs, it basically allowed other countries to have higher tariffs than the U.S. because of the U.S.'s superior position after WWII and the greater need for recovery and economic development elsewhere.

In any event, Japan was able to use this system to build massive trade surpluses until the 1980s when the Reagan administration took remedial actions such as forcing Japan's car production into the U.S. At its peak in the late 1980s, concerns of Japan taking over the world were rampant, Japan asset valuations were astronomical, and Japan was buying up trophy U.S. assets, like the Pebble Beach Golf Course. At the peak, the Imperial Palace Grounds in Tokyo, for example, were said to be more highly valued than all the real estate in California. Japan's stocks comprised the biggest share of global equity markets.

Investment Implications

Japan's stocks have started the year on a strong footing and have a number of tailwinds that warrant an overweight allocation in our view.

RETURN TO FIRST PAGE

This was the first major trade imbalance problem for the U.S. in the post-War system. Today's imbalances, with China, in particular, taking advantage of the system, is the latest reminder of the issue that the architects of the Bretton Woods system grappled with but did not solve. Instead, they bestowed the U.S. dollar with exorbitant privilege at the cost of the problems caused by persistent growing trade imbalances.

Since 1990, Japan has seen one of the biggest asset bubbles ever deflate and persistent weak economic growth. Nevertheless, despite this decades-long poor economic performance, today it remains one of the richest countries in the world. For example, it owns more U.S. Treasury securities than any other country, including China. Spurred by a weak yen and low interest rates, Japanese investors have provided massive capital outflows financing investments all around the world including with the yen carry trade.

The new world order is largely about restoring parity, with the U.S. taking away the advantages it gave to the rest of the world after the 1940s. For Japan like everywhere else this means focusing more on domestic growth, investment and development rather than relying on trade surpluses to grow.

This implied movement of capital back into Japan should help the yen gain back some of the value it's lost in recent years. Estimates of fair value for the yen are quite a bit higher than current levels. One of the disadvantages for U.S. trade in the old order according to its critics is a tendency for the dollar to be overvalued because of its reserve currency status under the system created after WWII. To earn dollar reserves countries run persistent trade surpluses with the U.S.

While there is fierce resistance to the emerging new world order, especially from Europe, Japan's new government appears to be on board. The new prime minister admires Margaret Thatcher, Britain's first female Prime Minister. She has signed a trade deal with the U.S. and committed billions of dollars to joint energy projects to be developed in the U.S. Her cooperation is likely to reap continued benefits from the U.S. in the global reordering process.

In the meantime, Japan has spent recent years making its corporate governance rules more shareholder-friendly and less bound by the old system that ignored shareholders. Significant reforms were included in the Corporate Governance Code adopted in 2015 and implemented since then. The Tokyo Stock Exchange has increased pressure on companies trading below book value to develop capital improvement plans. There has been increased protection for minority shareholders. In short, the old system that favored insiders has been reformed to make Japan's equity market more shareholder friendly for the public.

Finally, after a decades-long effort to escape its debt-deflation trap Japan's monetary policy has apparently succeeded in its goal to reach a 2% inflation target putting Japan more in line with the rest of the world's major economies.

As a result, the Bank of Japan has begun to raise interest rates. As interest rates normalize domestic investment becomes more attractive and Japan's massive capital holdings around the world can come back home. This should help to bolster the yen back toward fair value and finance the new AI economy transition.

Japan was the first economy to confront the aging issue spreading through the developed world. AI has the potential to solve a lot of the problems confronting aging societies. Japan is likely to be at the forefront developing those solutions.

Between a stronger currency and a secular bull market after decades of stagnation Japan's stocks appear attractive for a well-diversified portfolio. In a world where political consensus is rare, Japan's recent election suggests policies to adapt to the new world order may be easier to implement than elsewhere where resistance is strong.

RETURN TO FIRST PAGE

MARKET VIEW

Global Equity Markets and the Tech Turmoil

Ehiwario Efeyini, Director and Senior Investment Strategist

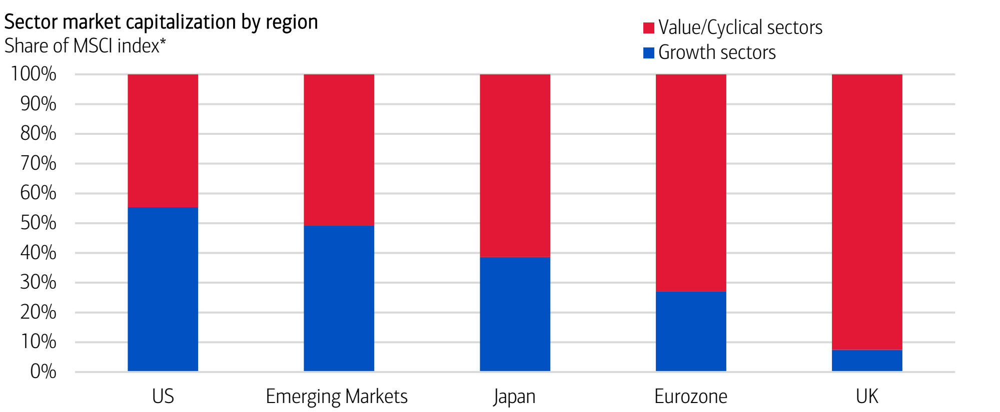
After the post-April advance and double-digit gains of 2025, U.S. Equities have had a comparatively volatile start to 2026. Leadership has shifted away from Growth to Value and cyclicals. A wide gap of 20-plus percentage points has opened between the highest-returning sectors (Materials, Energy, Consumer Staples) and the lowest-returning sectors (Information Technology (IT), Consumer Discretionary). And the cap-weighted U.S. index has treaded water. Market weakness has been most concentrated in the software segment of the IT sector and across the cloud hyperscalers in Consumer Discretionary and Communication Services, giving contradicting signals that the prospective return on AI infrastructure investment may not justify current spending levels, but could nonetheless be sufficient to displace the market for enterprise software services.

Equity indexes have exhibited a similar pattern globally, with a few growth sectors lagging the rest of the market. And this has favored non-U.S. Equities given their heavier tilt toward Value and cyclicals (Exhibit 1). The three technology-linked growth sectors of IT, Communication Services and Consumer Discretionary now account for the majority (55%) of S&P 500 exposure, above the share for Emerging Markets (EM) (49%) and well in excess of the shares for Japan (39%), Europe (27%) and the U.K. (8%). We maintain a preference for the U.S. over the rest of the world. But strong global growth, a weaker dollar, higher commodity prices and extended technology valuations also create a favorable environment for a number of non-U.S. markets. And respective differences in industry composition and local policy settings should also determine their relative direction over the course of the year.

Portfolio Considerations

Global Equities have been led by non-U.S. markets so far in 2026 as sector leadership has shifted away from Growth to Value and cyclicals. We remain favorable on the U.S. market and expect the AI theme to remain a key driver of returns over the period ahead. But strong global growth, a weaker dollar, higher commodity prices and extended technology valuations also create a favorable environment for a number of international markets. And alongside differences in industry composition and local policy settings we also retain a constructive view on Japan and Emerging Markets.

Exhibit 1: International Equities Tilted More Toward Value and Cyclicals Than Growth Sectors.



Source: MSC; Bloomberg. Data as of 2025. *U.S. is S&P 500. Growth sectors: Information Technology, Communication Services, Consumer Discretionary. Value/Cyclical sectors: Materials, Energy, Consumer Staples, Industrials, Financials, Healthcare, Utilities, Real Estate. Eurozone is euro-denominated markets within MSCI index. **Past performance is no guarantee of future results.** Please refer to index definitions at the end of this report. It is not possible to invest directly in an index.

Similar to U.S. Equities, EM has close to half of its market cap in growth sectors. But in contrast with the U.S. market, the EM index has not experienced the same valuation compression during the recent technology turmoil. From its late-January price peak the S&P 500 price-to-earnings multiple has contracted by a half point, while over the same period EM valuations have expanded. This has been driven in part by their lower starting point, but also due to EM growth composition at the industry level. Technology-related exposure in hardware enablers such as foundry, semiconductors and storage has been relatively well immunized from the disruption expected in software and services that has weighed on the U.S. market. And this has been a key reason for the ongoing leadership of heavyweight markets within EM Asia.

European markets have benefitted directly from being more exposed to value and cyclicals, and have also seen their valuations move higher over recent weeks. The shift in fiscal approach away from balanced budgets and toward a much less restrictive stance is still in progress, focused most closely on the European Union (EU) defense industry. And in the

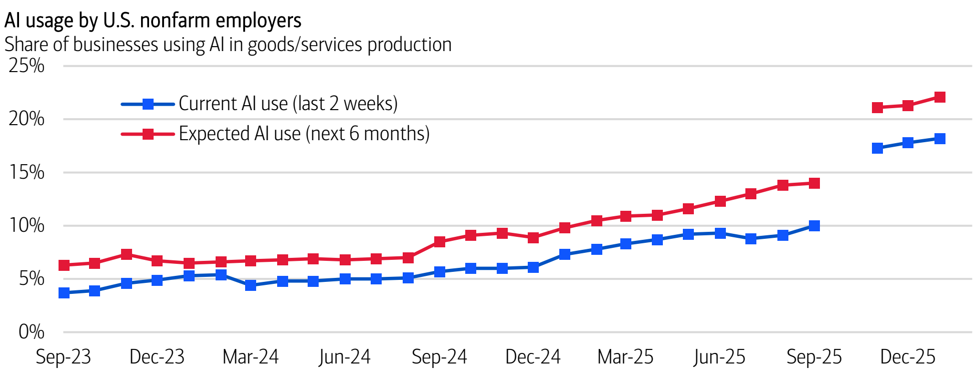
EU's largest economy Germany, broader spending plans also include increased outlays on clean energy, transportation and digital infrastructure. 2026 and 2027 are expected to be the peak growth impact years for Europe's fiscal expansion, and early signs of its effect have been visible in Germany's industrial manufacturing orders which grew by 5.7% in November and 7.8% in December. Indeed investment-led growth from both the public sector and private industry was referenced by the European Central Bank (ECB) in its decision to leave policy rates on hold at its latest meeting earlier this month, and this should continue to support cyclical sectors within the European equity market. Though at the same time investors should nonetheless retain a degree of caution over euro strength, weak exports, sub-2% inflation and a hawkish monetary policy stance.

Within Europe, the U.K. market has outpaced the eurozone so far this year with an even lower exposure of less than 10% to the three major growth sectors. But here we also remain cautious over higher domestic tax rates and increased political uncertainty. Unlike the ECB, the Bank of England is expected to cut rates further in 2026. But this is largely due to weakening expectations for economic growth over the coming quarters, which could ultimately act as a constraint on the home market later in the year.

Across international developed markets, our most constructive stance is on Japan which has been a global leader in 2026. Sustained positive inflation and corporate sector reforms to encourage more shareholder-friendly activity in the form of mergers, buybacks and higher payouts should remain sources of structural support. And particularly in the wake of the ruling party's lower house supermajority at recent parliamentary elections, growth expectations have risen on government pledges to suspend the consumption tax on food and implement a 21 trillion-yen investment program in 17 strategic domestic industries such as semiconductors, biotechnology, defense and clean energy. Latent investors' concern over the budgetary consequences of this fiscal expansion will bear watching. But so far the equity market has been able to shrug off the potential debt implications and government bond yields have in fact fallen in the weeks since the election, offsetting a portion of their 100 basis point rise over the prior 12 months. And though similar to developed European markets Japan is less directly concentrated in the extended growth sectors, it has a much higher degree of exposure to global AI infrastructure investment through manufacturing equipment, industrial chemicals and electrical components. We would therefore expect continuing strength in the local market beyond the near term.

For U.S. Equities, the recent volatility has echoed the DeepSeek episode of early 2025 when similar concerns over AI model competition from China unsettled the technology sector. We nonetheless still view the AI investment and deployment theme as fundamentally intact. Adoption trends are strong according to business survey data from the Census Bureau (Exhibit 2).

Exhibit 2: AI Adoption Rising Among U.S. Businesses.



Source: U.S. Census Bureau Business Trends and Outlook Survey. Data as of January 2026. Q4 2025 Data break resulting from government shutdown.

Earnings results from the technology majors have generally been robust, both in terms of capital spending plans and profitability. And on current consensus, the IT sector is still expected to deliver the strongest earnings growth within the S&P 500 for full-year 2026. The upshot is that we still expect Growth sectors to perform well and maintain our favorable stance on U.S. Equities. But on the back of strength in cyclical conditions globally and alongside local policy supports; we also see selective opportunities across Value sectors and non-U.S. markets in the current environment.

A Bull Market in Hard Power

Lauren Sanfilippo, Director and Senior Investment Strategist

This week marks the four-year anniversary of the Ukraine-Russia war, with little prospect of peace on the horizon based on the lack of progress in Geneva last week. Meanwhile, the U.S. military continues its massive buildup in both the Middle East and the Western hemisphere. Over in Asia, a regional arms race is underway as countries like Japan, South Korea and Taiwan prioritize defense spending in the face of China's rapid military modernization plans. As we have highlighted in the past, the world has entered an era of Great Power Rivalry. We live in a world where might makes right, which underpins our key theme: global defense and cybersecurity.

That begins to explain why defense budgets globally are rising at one of the fastest clips in decades. In fact, spending on defense globally has never been higher, reaching a record high of $2.7 trillion in 2024, the last year of data. The U.S., long the largest defense spender, has its sights set on building a "Dream Military," with a $1.5 trillion budget proposal. Already, the U.S. spends more on defense than the next nine countries combined (Exhibit 3A).

Under U.S. pressure, most North Atlantic Treaty Organization members have pledged to raise core military budgets to 3.5% of gross domestic product by 2035 on troops and weapons, with another 1.5% on defense-related items like critical infrastructure and cybersecurity. In coordination with those rising targets, the EU's revised Stability and Growth Pact allows member states to exceed deficit limits.

Order books and factory orders have been influenced: Germany's defense related factory orders unexpectedly surged over the final three months of 2025, driven by strong demand for heavy machinery, weapons systems and advanced electronics. Reflecting this momentum, Germany's largest arms manufacturer has seen its share price more than double over the past year.

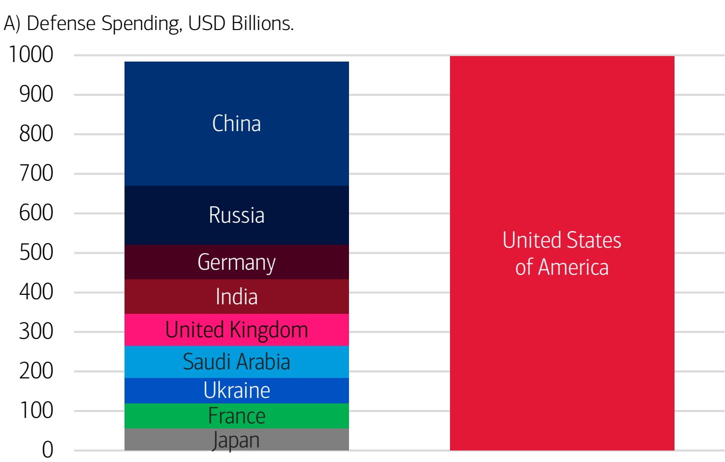
Performance of aerospace and defense proxies has followed, with impressive runs since the start of the Russia-Ukraine war (Exhibit 3B). Impressively, stocks within the STOXX European Defense Index are up 14% year-to-date (YTD), led by gains in a drone manufacturer and a shipbuilder. U.S. aerospace and defense names have also advanced, rising more than 12% so far this year, closely followed by an Asia Pacific defense aggregate, which is up 11% YTD.

And so, global defense spending on armaments, rearmament and advanced military technologies is in an upcycle, supported by shifting geopolitics and expanding national budgets. At the same time, demand is accelerating for next generation capabilities ranging from cybersecurity solutions to unmanned systems, AI enabled defense architectures, hypersonic technologies and satellite networks.

Portfolio Considerations

As wars grind on, the world is rearming. Defense spending targets pushing higher globally further supports the momentum the aerospace and defense industry has seen in recent years against a backdrop of unsettled geopolitics.

Exhibit 3: The Ramp Up: Defense Spending and Performance of Aerospace and Defense Since Russia's Invasion of Ukraine.



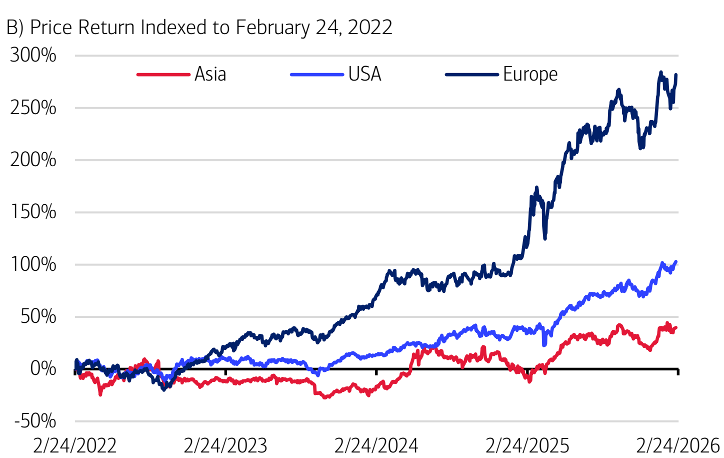


Exhibit 3A) Source: Stockholm International Peace Research Institute. Data refers to 2024, as of February 2026. Exhibit 3B) Source: Bloomberg Asia Pacific Aerospace/Defense Index, S&P 500 Aerospace & Defense Industry GICS Level 3 Index, and STOXX Europe Total Market Aerospace & Defense Index used. Source: Bloomberg. Data as of February 18, 2026. **Past performance is no guarantee of future results**. Please refer to index definitions at the end of this report. It is not possible to invest directly in an index.

Asset Class Weightings (as of 2/3/2026)

Asset Class	CIO View / Underweight		Neutral	Overweight	
Global Equities	•	•	•	⬤	•
U.S. Large-cap Growth	•	•	•	⬤	•
U.S. Large-cap Value	•	•	•	⬤	•
U.S. Small-cap Growth	•	•	•	⬤	•
U.S. Small-cap Value	•	•	•	⬤	•
International Developed	•	⬤	•	•	•
Emerging Markets	•	•	•	⬤	•
Global Fixed Income	•	⬤	•	•	•
U.S. Governments	•	⬤	•	•	•
U.S. Mortgages	•	⬤	•	•	•
U.S. Corporates	•	⬤	•	•	•
International Fixed Income	•	⬤	•	•	•
High Yield	•	⬤	•	•	•
U.S. Investment-grade Tax Exempt	•	⬤	•	•	•
U.S. High Yield Tax Exempt	•	⬤	•	•	•
Alternative Investments*					
Hedge Strategies			•		
Private Equity			|		
Private Credit			|		
Real Assets			•		
Cash					

CIO Equity Sector Views

Sector	CIO View / Underweight		Neutral	Overweight	
Financials	•	•	•	•	⬤
Utilities	•	•	•	⬤	•
Consumer Discretionary	•	•	•	⬤	•
Industrials	•	•	•	⬤	•
Communication Services	•	•	⬤	•	•
Information Technology	•	•	⬤	•	•
Healthcare	•	•	⬤	•	•
Real Estate	•	⬤	•	•	•
Consumer Staples	•	⬤	•	•	•
Materials	•	⬤	•	•	•
Energy	⬤	•	•	•	•

*Many products that pursue Alternative Investment strategies, specifically Private Equity and Hedge Funds, are available only to qualified investors. CIO asset class views are relative to the CIO Strategic Asset Allocation (SAA) of a multi-asset portfolio. Source: Chief Investment Office as of February 3, 2026. All sector and asset allocation recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

Economic Forecasts (as of 2/20/2026)

	Q4 2025A	2025A	Q1 2026E	Q2 2026E	Q3 2026E	Q4 2026E	2026E
Real global GDP (% y/y annualized)	-	3.6*	-	-	-	-	3.5
Real U.S. GDP (% q/q annualized)	1.4*	2.2*	2.6	3.0	2.0	2.0	2.8
CPI inflation (% y/y)	2.7	2.7*	2.5	3.0	2.7	2.6	2.7
Core CPI inflation (% y/y)	2.7	2.9*	2.6	2.8	2.6	2.7	2.7
Unemployment rate (%)	4.5	4.3*	4.5	4.5	4.4	4.3	4.4
Fed funds rate, end period (%)	3.63	3.63	3.63	3.38	3.13	3.13	3.13

The forecasts in the table above are the base line view from BofA Global Research. The Global Wealth & Investment Management (GWIM) Investment Strategy Committee (ISC) may make adjustments to this view over the course of the year and can express upside/downside to these forecasts. Historical data is sourced from Bloomberg, FactSet, and Haver Analytics. **There can be no assurance that the forecasts will be achieved. Economic or financial forecasts are inherently limited and should not be relied on as indicators of future investment performance.**
A = Actual. E/* = Estimate. Data as of February 20, 2026.
Sources: BofA Global Research; GWIM ISC as of February 20, 2026.

Equities

	Total Return in USD (%)			
	Current	WTD	MTD	YTD
DJIA	49,625.97	0.3	1.6	3.4
NASDAQ	22,886.07	1.5	-2.4	-1.5
S&P 500	6,909.51	1.1	-0.3	1.1
S&P 400 Mid Cap	3,606.95	1.2	5.0	9.3
Russell 2000	2,663.78	0.7	2.0	7.4
MSCI World	4,555.11	1.0	0.7	2.9
MSCI EAFE	3,141.50	0.9	3.3	8.7
MSCI Emerging Markets	1,567.23	0.8	2.6	11.7

Commodities & Currencies

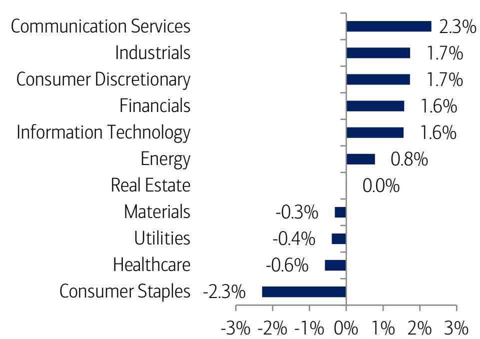
Commodities	Total Return in USD (%) Current	WTD	MTD	YTD
Bloomberg Commodity	302.97	2.1	-0.6	9.7
WTI Crude $/Barrel††	66.39	5.6	1.8	15.6
Gold Spot $/Ounce††	5107.45	1.3	4.4	18.2

Currencies	Total Return in USD (%) Current	Prior Week End	Prior Month End	2024 Year End
EUR/USD	1.18	1.19	1.19	1.17
USD/JPY	155.05	152.70	154.78	156.71
USD/CNH	6.90	6.90	6.96	6.98

Fixed Income†

	Total Return in USD (%)			
	Current	WTD	MTD	YTD
Corporate & Government	4.16	-0.07	1.11	1.11
Agencies	3.91	-0.03	0.69	0.81
Municipals	3.33	0.23	0.92	1.86
U.S. Investment-Grade Credit	4.24	-0.08	1.09	1.20
International	4.75	0.02	1.08	1.26
High Yield	6.56	0.18	0.41	0.92
90 Day Yield	3.67	3.67	3.65	3.63
2 Year Yield	3.48	3.41	3.52	3.47
10 Year Yield	4.08	4.05	4.24	4.17
30 Year Yield	4.72	4.69	4.87	4.84

S&P Sector Returns



Sources: Bloomberg, Factset. Total Returns from the period of 2/17/2026 to 2/20/2026. †Bloomberg Barclays Indices. ††Spot price returns. All data as of the 2/20/2026 close. Data would differ if a different time period was displayed. Short-term performance shown to illustrate more recent trend. **Past performance is no guarantee of future results.**

Index Definitions

Securities indexes assume reinvestment of all distributions and interest payments. Indexes are unmanaged and do not take into account fees or expenses. It is not possible to invest directly in an index. Indexes are all based in U.S. dollars.

S&P 500 Index is a stock market index tracking the stock performance of 500 leading companies listed on stock exchanges in the United States.

MSCI U.S. Index is designed to measure the performance of the large and mid cap segments of the US market. With 544 constituents.

MSCI Emerging Markets Index captures large and mid cap representation across 24 Emerging Markets (EM) countries.

MSCI Japan Index is designed to measure the performance of the large and mid cap segments of the Japanese market.

MSCI United Kingdom (U.K.) Index is designed to measure the performance of the large and mid cap segments of the UK market.

MSCI Eurozone Index seeks to track the investment results of an index composed of large- and mid-capitalization equities from developed market countries that use the Euro as their official currency.

S&P 500 sub-sectors and industry groups Global Industry Classification Standard (GICS®)/S&P 500 Total Return Index, including Information Technology Total Return (TR) USD; Consumer Discretionary TR USD; Industrials TR USD; Real Estate TR USD; Communication Services TR USD; Materials TR USD; Financials TR USD; Consumer Staples TR USD; Utilities TR USD; Energy TR USD; Healthcare TR USD.

Bloomberg Asia Pacific Aerospace/Defense Index are designed to measure the performance of narrow GICS® sub-industries. The S&P Aerospace & Defense Select Industry Index comprises stocks from the S&P Total Market Index that are classified in the GICS Aerospace & Defense sub-industry.

S&P 500 Aerospace & Defense Industry GICS Level 3 Index comprises stocks from the S&P Total Market Index that are classified in the GICS Aerospace & Defense sub-industry.

STOXX Europe Total Market Aerospace & Defense Index tracks armament producers at a time of heightened geopolitical tension and a historic upgrade of the continent's military capabilities.

Important Disclosures

Investing involves risk, including the possible loss of principal. Past performance is no guarantee of future results.

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Investments have varying degrees of risk. Some of the risks involved with equity securities include the possibility that the value of the stocks may fluctuate in response to events specific to the companies or markets, as well as economic, political or social events in the U.S. or abroad. Small cap and mid cap companies pose special risks, including possible illiquidity and greater price volatility than funds consisting of larger, more established companies. Investing in fixed-income securities may involve certain risks, including the credit quality of individual issuers, possible prepayments, market or economic developments and yields and share price fluctuations due to changes in interest rates. When interest rates go up, bond prices typically drop, and vice versa. Investments in high-yield bonds (sometimes referred to as "junk bonds") offer the potential for high current income and attractive total return, but involves certain risks. Changes in economic conditions or other circumstances may adversely affect a junk bond issuer's ability to make principal and interest payments. Income from investing in municipal bonds is generally exempt from Federal and state taxes for residents of the issuing state. While the interest income is tax-exempt, any capital gains distributed are taxable to the investor. Income for some investors may be subject to the Federal Alternative Minimum Tax (AMT). Treasury bills are less volatile than longer-term fixed income securities and are guaranteed as to timely payment of principal and interest by the U.S. government. Bonds are subject to interest rate, inflation and credit risks. Investments in foreign securities (including ADRs) involve special risks, including foreign currency risk and the possibility of substantial volatility due to adverse political, economic or other developments. These risks are magnified for investments made in emerging markets. Investments in a certain industry or sector may pose additional risk due to lack of diversification and sector concentration. There are special risks associated with an investment in commodities, such as gold, including market price fluctuations, regulatory changes, interest rate changes, credit risk, economic changes and the impact of adverse political or financial factors.

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Alternative investments are intended for qualified investors only. Alternative Investments such as derivatives, hedge funds, private-credit, private equity funds, and funds of funds can result in higher return potential but also higher loss potential. Changes in economic conditions or other circumstances may adversely affect your investments. Before you invest in alternative investments, you should consider your overall financial situation, how much money you have to invest, your need for liquidity and your tolerance for risk.

Nonfinancial assets, such as closely-held businesses, real estate, fine art, oil, gas and mineral properties, and timber, farm and ranch land, are complex in nature and involve risks including total loss of value. Special risk considerations include natural events (for example, earthquakes or fires), complex tax considerations, and lack of liquidity. Nonfinancial assets are not in the best interest of all investors. Always consult with your independent attorney, tax advisor, investment manager, and insurance agent for final recommendations and before changing or implementing any financial, tax, or estate planning strategy.

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CHIEF INVESTMENT OFFICE

Capital Market Outlook

February 17, 2026

All data, projections and opinions are as of the date of this report and subject to change.

IN THIS ISSUE

Macro Strategy—*Manufacturing Upcycle Broadens Earnings Growth:* Recent economic data and financial market patterns suggest we are in a mid-cycle expansion, with resilient demand sustained by rebounding manufacturing activity, full employment, and contained inflation pressures. For now, credit spreads remain narrow and the earnings outlook constructive, with market leadership changing to reflect improving manufacturing conditions. Yet, major equity market benchmark valuation metrics remain elevated, raising concerns about future returns. In our view, the key risk to valuations is not their elevated levels per se. Structural economic shifts, accounting distortions, and the inherent imprecision of valuation-based forecasting argue against deterministic conclusions about longer-term returns. Still, multiples are cyclical and interest-rate sensitive, so adverse shifts in real interest rates, liquidity or growth expectations would present more of a near-term risk.

Market View—*Yes, the U.S. Consumer is Truly Exceptional—Here's Why:* There is probably no more powerful economic force on the planet than the U.S. consumer. To wit, per the latest figures on global personal consumption from the United Nations (UN), the U.S. accounts for nearly 32% of global consumption—or more than the next six nations combined. U.S. consumers (340 million) spend more each year than the entire population of the emerging markets excluding China (5.5 billion). The list goes on. The bottom line is the U.S. and global economy rests on the shoulders of U.S. consumers. So too do earnings of foreign corporations, with major Equity indexes around the world relying heavily on revenues from the U.S. Meanwhile, the emerging market consumer which nearly doubled its share of consumption between 2000 and 2015 appears to have flatlined over the last decade. The good news is that the U.S. consumer has emerged to fill the void, remaining the world's uber-consumer and key generator of earnings for U.S. and foreign companies. With a still-low unemployment rate, incoming tax cuts, and the ongoing bull market in U.S. Equities, the outlook for the U.S. consumer remains solid. They remain exceptional.

Thought of the Week—*The 17% No One's Talking About*: Now four months into the fiscal year, the U.S. government has run a cumulative deficit of $697 billion—that's 17% lower than the same period in FY 2025. The early improvement reflects a 12% year-over-year increase in revenues, with income tax receipts suggesting a still-healthy labor market backdrop. Still, between trillion dollar interest payments, tax cuts from the One Big Beautiful Bill Act (OBBBA), and the push for affordability relief ahead of the midterms, Uncle Sam is likely looking at another year of the deficit running from 5% to 6% of gross domestic product (GDP). For now, the bond vigilantes have been quiet in the U.S. but could return should fiscal stimulus prove excessive.

Against this backdrop, we remind investors that America's future funding needs heavily depend on demand from investors overseas. We're not too worried, however, in part because 2025 taught us that foreign demand for U.S. assets is stickier than appreciated. Finally, the U.S. economy continues to grow above trend, keeping us sanguine on the U.S. fiscal situation.

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Portfolio Considerations

With new highs expected for Equities ahead, investors should consider portfolio adjustments such as increasing exposure to Small-caps and Emerging Markets as well as diversified sector exposures where underweight, leveraging Fixed Income as a ballast while maintaining an Equity overweight, and adding to growth themes and Alternative Assets, for qualified investors, where appropriate.

We are constructive on Fixed Income overall but underweight in order to fund our Equity overweight. We continue to project range-bound yields given sticky inflation and real gross domestic product remaining near or above 2% for the next few years. However, we recognize potentially high volatility in either direction, especially given the expected change in Federal Reserve leadership later this year.

MACRO STRATEGY

Manufacturing Upcycle Broadens Earnings Growth

Chief Investment Office, Macro Strategy Team

Government policies appear to have energized economic activity across a widening spectrum of industries and geographies, with U.S. economic data continuing to exceed expectations and the Citi Economic Surprise Index firmly in expansion territory both here and abroad. In the U.S., for example, lower interest rates, normalizing inflation, full employment, rising labor income, strong wealth effects, and a growing share of government social transfers in personal income (now roughly 20% and indexed for inflation) have buoyed consumer spending more than expected given tariff concerns and a weak hiring trend.

Upcoming fiscal stimulus under the OBBBA along with signs of a manufacturing upcycle are likely to help sustain the expansion. A softening dollar along with policy-driven incentives for domestic production and investment have engendered manufacturing "green shoots." After three years of contractionary readings, the January Institute for Supply Management manufacturing survey showed sharp gains in new orders and production back into expansion territory, consistent with our expectation for broadening growth and earnings beyond Technology and Interactive Media.

Stronger-than-expected demand for domestic product has led to sharp customer inventory drawdowns and rising new orders, setting in motion a positive industrial dynamic as production ramps up to meet demand. Manufacturing activity historically carries high multiplier effects on the economy, with upcycles thus typically accompanied by strengthening economic momentum, upward earnings revisions, and broadening earnings growth. Still narrow credit spreads seem to corroborate this constructive view.

Employment remains at full levels, and stronger-than-expected January hiring and wage and salary income growth are encouraging. Still, hiring was narrowly based and occurred within the context of generally soft labor demand data. Continued healthy wage-and-salary income growth is key for the sustainability of the expansion. While productivity gains support margins and profits, adequate labor-income growth is also necessary to keep demand aligned with burgeoning Artificial Intelligence (AI)-related supply capacity. Excessive labor displacement without offsetting job creation elsewhere would eventually weigh on demand, pricing power, and revenue growth. For now, personal income growth remains consistent with moderate consumer demand and growth, strong wealth effects are helping buoy consumption, and fiscal support is also on the way.

Taken together, conditions are consistent with a mid-cycle expansion—characterized by growth near potential, full employment, contained inflation pressures, and limited need for restrictive monetary policy. This backdrop extends the runway for earnings growth and equity prices. As demand grows, inventories normalize, and excess capacity is absorbed, manufacturing and business investment tend to expand, helping broaden earnings growth and market leadership—a pattern increasingly visible in recent months. Credit spreads have remained narrow, forward S&P 500 earnings expectations reached new highs, and Equity leadership has rotated across sectors, Growth and Value, market-capitalization segments, and geographies.

Still, seemingly stretched market valuations raise concerns that the equity market may be setting up for subpar future returns. In our view, several considerations are important when assessing valuation risks:

1. Structural changes suggest higher average valuation multiples than in the past. These include structurally higher profit margins driven by globally scalable asset-light business models, lower corporate tax rates, a lower interest rate environment under an explicit Federal Reserve (Fed) inflation target regime, reduced uncertainty due to greater Fed transparency, and a larger role of government in the economy enhancing earnings sustainability.
2. Accounting conventions complicate historical comparisons. Roughly 40% of business investment is in intellectual property—such as research & development, data, know-how and other intangibles—compared with just 14% in 1970s. Because much of this investment is expensed rather than capitalized under Generally Accepted Accounting Principles (GAAP), both reported earnings and book values tend to be understated

Investment Implications

Mid-cycles tend to support broader equity market participation and favor greater diversification. Unfavorable liquidity conditions and real rate dynamics would pose the most material risk to valuations and market stability.

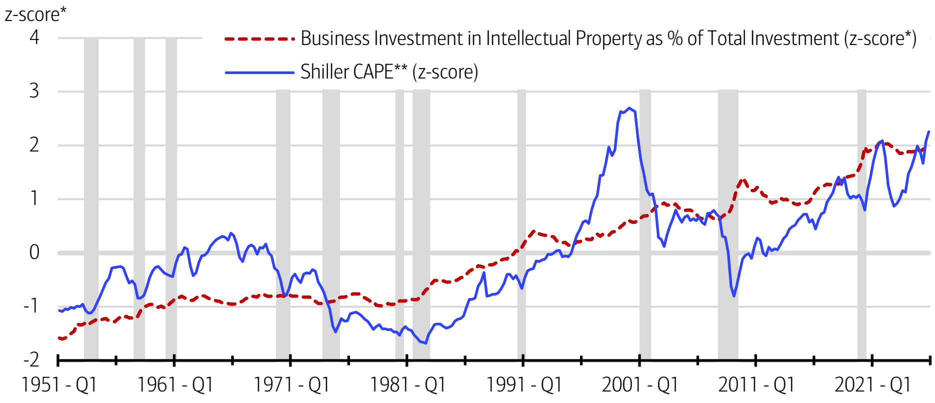
compared to the past. Thus, even as underlying profitability has become increasingly dependent on intellectual property and scalability, valuation metrics paradoxically appear excessive relative to historical averages. The economic value and future earnings power of these intangibles is also harder to measure and grasp but positively skewed because of rapid innovation, productivity, scalability and network effects, which tend to reflect in higher valuations than for old economy stocks (Exhibit 1).

3. Valuation-based forecasting is inherently imprecise and fraught with statistical problems. Thus, while valuation metrics remain directionally informative, they are not “deterministic,” especially in an economy that has undergone substantial structural change. Realized returns would ultimately depend on future growth, interest rates, margins, and risk sentiment rather than today’s valuation multiples alone.
4. Mid-cycles typically see less overall market valuation tailwinds as early-cycle boosts to multiples from liquidity, risk appetite, and interest rates fade. In the current context, leadership rotation into more cyclically-exposed sectors benefiting from broadening economic growth are likely to support market multiples and performance. Assuming stable margins, nominal global growth of 6% to 7%, and ongoing share buyback yields around 1.5%, high single-digit nominal S&P 500 returns remain highly achievable. In our view, stronger growth and productivity would enhance this baseline and so would lower non-recession interest rates.

These considerations undermine mechanical interpretations of elevated valuation metrics. Equilibrium valuations are likely higher than in the past, implying softer headwinds to returns than current near-record multiples suggest, especially if the expansion continues, as we expect. Still, a phase of heavy AI-related capital spending, higher electricity costs and increasing competition suggests constraints on Technology margins and valuations, with earnings and returns relying more on revenue expansion as global demand for AI and datacenter services increases. Absent a recession, policy disruptions, or other blows to risk sentiment, the market multiple adjustment is thus likely to occur primarily through leadership rotation and through time rather than abrupt benchmark repricing.

The interest rates versus growth dynamic remain critical though. As noted above, lower rates, unless caused by recession, would be supportive to multiples. Even higher rates wouldn’t be a major headwind if they tracked rising nominal growth without a recession. Beyond risks from unanchored inflation expectations and recession, a more serious risk to valuations and returns would stem from rising real interest rates due to fiscal stress, scarce liquidity (such as from aggressive quantitative tightening), or higher uncertainty about Fed policy. These would increase risk and raise interest-rate term premia, tighten financial conditions, increase volatility, and weigh on both profits growth and valuations, especially on long-duration, Growth stocks multiples, as recently observed.

Exhibit 1: Increasing Reliance on Intangible Assets Offers Greater Scalability and Growth Leverage, Which Has Tended To Reflect in Rising S&P 500 Multiples. Still, Valuations Remain Cyclical and Interest-rate Sensitive.



*z-score = number of standard deviations from the mean of a data set. **CAPE = Cyclically Adjusted S&P 500 Price to Earnings Ratio. Gray bars represent recessionary periods. Source: Shiller, Bureau of Economic Analysis/Haver Analytics. Data as of February 11, 2026.

RETURN TO FIRST PAGE

MARKET VIEW

Yes, the U.S. Consumer is Truly Exceptional—Here's Why

Joseph P. Quinlan, Managing Director and Head of Market Strategy

Ariana Chiu, Assistant Vice President and Investment Strategist

There is probably no more powerful economic force on the planet than the U.S. consumer. How powerful? Consider the latest figures on global personal consumption from the UN:

- With just 4.3% of the world's population, the U.S. consumer accounts for nearly 32% of global personal consumption expenditures (PCE) (Exhibit 2A).
- America's share of global PCE is greater than the next six nations combined (Exhibit 2A).
- U.S. consumers (340 million people) spend more each year ($20 trillion) than the entire population of the emerging markets excluding China (5.5 billion people) (Exhibit 2B).
- If the U.S. consumer were a standalone economy, it would be the second largest in the world.
- The developing nations' share of global PCE has basically flatlined over the past decade and currently hovers at roughly 39% of the global total (Exhibit 2C).
- Excluding China, the developing nation's share of global PCE was just 27% in 2024, basically unchanged from a decade ago.
- Whereas U.S. consumption accounts for over two-thirds of U.S. GDP, the comparable number in China is less than 40% (Exhibit 2D).

All the above speaks to the potency and importance of the U.S. consumer. To a large degree, the U.S. and world economies rest on the shoulders of U.S. shoppers—notably high-income U.S. households.

As we have noted in the past, U.S. consumption is bifurcated, with lower-income households squeezed by slower job growth, trailing wage gains and higher costs for basic staples. Also not helping matters: Lower-income earnings are absent from the wealth-creating U.S. equity market. Nearly 40% of U.S. households do not own—or can't afford—Equities and are therefore missing in action when it comes to reaping the benefits of a bull market in U.S. stocks. Bull or bear? It doesn't matter to many struggling households—both beasts are scary to anyone divorced from Wall Street.

In contrast, the raging bull market in Equities—and positive wealth effect—is not only cushioning the blow of elevated and sticky prices for essentials and nonessentials for high-income earners. It's also encouraging more spending on goods and services, with Bank of America Institute's latest internal credit and debit card data showing that higher-income households spent 2.5% more this January than the year prior, compared to 0.3% spending growth among lower-income households.

By various metrics, U.S. household finances are in sturdy shape as we enter the year. Household debt as a share of household net worth stood at just 11.7% as of Q3 2025, per latest data available from the Fed. Consumer balance sheets are far healthier now than they were at the start of the decade, with household assets growing by an annualized 7.7% and outpacing just 4.4% annualized growth on the liabilities side. In the end, our bullish case for U.S. earnings and Equities this year pivots in part on the underlying strength of the U.S. consumer.

Spreading the wealth: U.S. consumers are a key driver of global earnings. It's not just U.S. firms that are benefitting from the durability of U.S. consumption. Foreign firms are beneficiaries as well. Remember: Many automakers in Japan, luxury brands from France, electronic leaders in Korea and other foreign firms earn more revenue in the U.S. than in their home market given the omnipotence of the U.S. shopper. In other words, a substantial share of global earnings is leveraged to U.S. spenders.

For example, take Germany's main equity index, the DAX, consisting of 40 leading German firms. The top source of revenue for German firms is none other than the U.S., which accounts for nearly one-quarter of the DAX's total revenues versus a 18.2% share for Germany, according to data from FactSet. The number one source of revenue for companies listed on the France CAC: the U.S. (21.3%). Same for the MSCI United Kingdom (25.8%), the Amsterdam Exchange Index (19%), Swiss Market Index (34.8%) and Taiwan Stock Exchange Capitalization Weighted Stock Index (39%).

Investment Implications

Our bullish outlook on the U.S. economy and U.S. corporate earnings this year pivots on the strength of the consumer. We expect above-trend economic growth and 14% earnings growth for the S&P 500 for the year. Corporate profits overseas should also be supported by U.S. consumer resilience.

You get the picture: Access to U.S. shoppers matters tremendously to foreign corporations, which is why the world quaked when the Trump Administration imposed tariffs on various imports last year. The fact that the U.S. rolled back or rescinded many of the tariffs is a key reason why global earnings estimates have been revised upwards over the past year, fueling upside Equity returns around the world.

Wither the Emerging Market Consumer? It wasn't that long ago that the world's most potent shopper was the emerging market middle class. Remember those folks? And their insatiable appetite for cellphones, cars, fast food, travel, luxury goods, and many other goods and services?

At the start of this century, emerging market demand for Western products soared along with rising per capita incomes in places like China, India, Brazil and even Russia. As a new source of global demand, the developing nation's share of global consumption climbed from 20.2% in 2000 to nearly 37% by 2015. This decade-and-a-half spurt in consumption fueled rising revenues and profits for many western multinationals and supported the narrative that the arc of global consumption was unequivocally bending towards the younger, dynamic consumers in the emerging markets. Reality has proven to be different, however.

Consumption in China has been hamstrung for years by the nation's depressed property market and an insufficient healthcare system that begets more savings than spending. Consumption in India has accelerated in the past 10 years, but, with a per capita income of just $2,800, the Indian consumer just isn't a potent, global-needle-changing consumer. Russia used to have the most malls in Europe earlier this century, but the collapse in energy prices, the war in Ukraine and Western sanctions have all but decimated malling in Moscow and other parts of the country. The pandemic, rising barriers to immigration, trade and investment protectionism, climate change, civil wars, rejiggered global supply chains—all these variables have throttled, in some shape or form, consumption in the emerging markets this decade.

That is the bad news. The good news is that the U.S. consumer has emerged to fill the void—to remain the world's uber-consumer and key generator of earnings for numerous U.S. and foreign companies. With an unemployment rate hovering near 4%, with many American households on the verge of reaping extra cash from income tax cuts, and with many consumers feeling extra flush thanks to a three year+ bull market in U.S. Equities, the outlook for the U.S. consumer remains solid. They remain exceptional.

Exhibit 2: All Hail the U.S. Consumer.

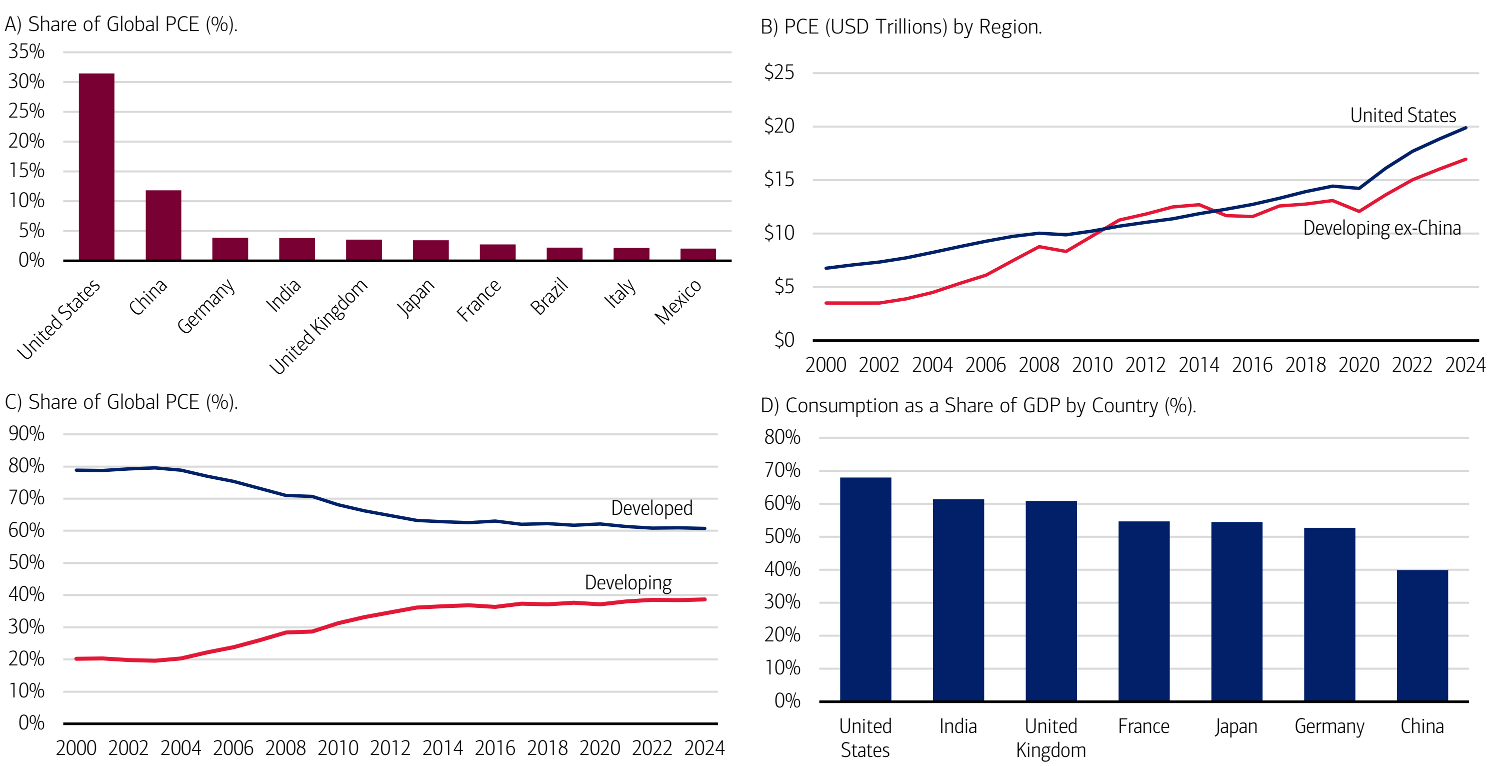


Exhibit 2A Source: UN. Data through 2024. Exhibit 2B) Source: UN. Data through 2024. Exhibit 2C) Source: UN. Data through 2024. Exhibit 2D) Source: UN. Data through 2024.

THOUGHT OF THE WEEK

The 17% No One's Talking About

Ariana Chiu, Assistant Vice President and Investment Strategist

Now four months into the fiscal year, the U.S. government has run a cumulative deficit of $697 billion. That's 17% lower than the same period in FY 2025—an early improvement ahead of tax refund season, per Exhibit 3A, and good news for a government managing debt as a share of GDP around 100%.

Driving the year-over-year (YoY) improvement in the budget deficit has been a 12% uptick in revenues, while outlays have risen by just 2%. Individual income taxes that contribute the lion's share of revenues rose by 12% YoY, pointing to a still-healthy labor market backdrop. Tariff revenues also helped the YoY comparison, averaging at around $30 billion per month over the October 2025–January 2026 period.

With that said, the deficit is still historically high for an economy with an unemployment rate of 4.3%. Trillion-dollar interest payments, tax cuts from the OBBBA, and the push for affordability relief ahead of the midterm elections suggest Uncle Sam is likely looking at another year of the budget deficit running from 5% to 6% of GDP. For now, the bond vigilantes have been quiet, though they could return should fiscal stimulus prove excessive (Exhibit 3B). The Supreme Court's ruling on Trump's International Emergency Economic Powers Act tariffs later this month also bears watching.

Ultimately, bringing the deficit closer to 3% of GDP would require sizable (unpopular) cuts to spending. We view this as unlikely in the near term. Against this backdrop, America's future funding needs will likely depend on foreign creditors who own over 30% of publicly held U.S. government debt. Already a theme of this year, U.S. protectionist measures matter insofar as marginal dollars of foreign investors that would otherwise be aimed at the U.S. are directed elsewhere.

We aren't too worried, however, given that a) the U.S. dollar remains the world's reserve currency at 57% of foreign exchange reserves, according to the latest data from the International Monetary Fund; and b) last year's events taught us that demand for U.S. assets from the rest of the world is stickier than appreciated. Despite endless talk of de-dollarization, foreign holdings of U.S. Equities and debt rose over the balance of the year.

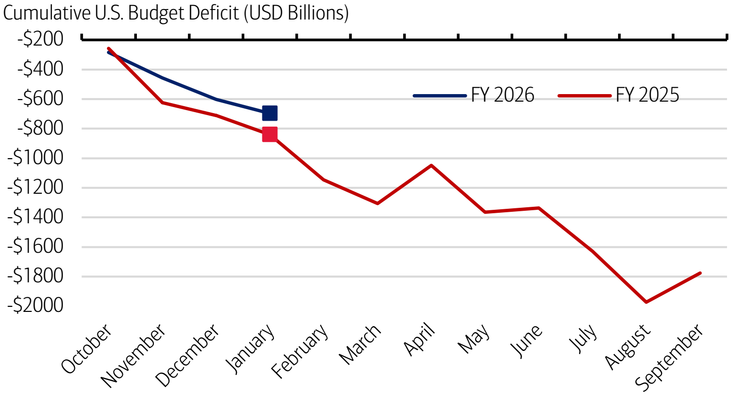
Finally, the U.S. fiscal situation has one not-so-secret weapon working in its favor: Real economic growth is tracking well above its 2% long-term average. Resilient consumption, an ongoing boom in investment, lower trade deficits, and improving manufacturing activity are all factors that we believe can continue to drive upside surprises in U.S. growth.

Investment Implications

Stronger-than-expected economic growth should keep gross public sector debt as a share of output at a manageable level this year. Waning foreign demand for U.S. government debt is unlikely, in our view.

Exhibit 3: Budget Deficit and Long-Term Yields On Watch.

A) Four Months Into FY 2026: U.S. Budget Deficit Running 17% Below Prior Fiscal Year.
Cumulative U.S. Budget Deficit (USD Billions)



B) Will the Bond Vigilantes Return to the U.S.?
Change in 30-year Government Bond Yield since January 2025 (basis points)

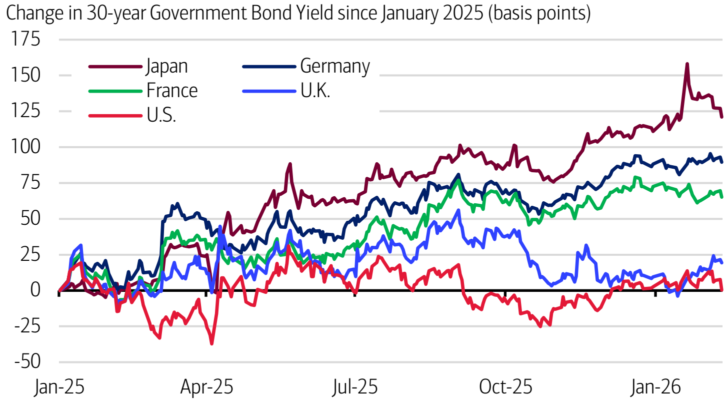


Exhibit 3A) Source: U.S. Treasury, Congressional Budget Office. Data through January 2026, as of February 10, 2026. Exhibit 3B) Source: Bloomberg. Data as of February 10, 2026.

Asset Class Weightings (as of 2/3/2026)

Asset Class	Underweight		Neutral	Overweight	
	CIO View /				
Global Equities				●	
U.S. Large-cap Growth				●	
U.S. Large-cap Value				●	
U.S. Small-cap Growth				●	
U.S. Small-cap Value				●	
International Developed		●			
Emerging Markets				●	
Global Fixed Income		●			
U.S. Governments		●			
U.S. Mortgages		●			
U.S. Corporates		●			
International Fixed Income		●			
High Yield		●			
U.S. Investment-grade Tax Exempt		●			
U.S. High Yield Tax Exempt		●			
Alternative Investments*					
Hedge Strategies			●		
Private Equity			●		
Private Credit			●		
Real Assets			●		
Cash					

CIO Equity Sector Views

Sector	Underweight		Neutral	Overweight	
	CIO View /				
Financials					●
Utilities				●	
Consumer Discretionary				●	
Industrials				●	
Communication Services			●		
Information Technology			●		
Healthcare			●		
Real Estate		●			
Consumer Staples		●			
Materials		●			
Energy	●				

*Many products that pursue Alternative Investment strategies, specifically Private Equity and Hedge Funds, are available only to qualified investors. CIO asset class views are relative to the CIO Strategic Asset Allocation (SAA) of a multi-asset portfolio. Source: Chief Investment Office as of February 3, 2026. All sector and asset allocation recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

Economic Forecasts (as of 2/13/2026)

	Q4 2025A	2025A	Q1 2026E	Q2 2026E	Q3 2026E	Q4 2026E	2026E
Real global GDP (% y/y annualized)	-	3.6*	-	-	-	-	3.5
Real U.S. GDP (% q/q annualized)	2.2*	2.2*	2.6	3.0	2.0	2.0	2.8
CPI inflation (% y/y)	2.8	2.7*	2.6	3.1	2.8	2.8	2.8
Core CPI inflation (% y/y)	2.7	2.9*	2.6	2.8	2.6	2.7	2.7
Unemployment rate (%)	4.5	4.3*	4.5	4.5	4.4	4.3	4.4
Fed funds rate, end period (%)	3.63	3.63	3.63	3.38	3.13	3.13	3.13

The forecasts in the table above are the base line view from BofA Global Research. The Global Wealth & Investment Management (GWIM) Investment Strategy Committee (ISC) may make adjustments to this view over the course of the year and can express upside/downside to these forecasts. Historical data is sourced from Bloomberg, FactSet, and Haver Analytics. **There can be no assurance that the forecasts will be achieved. Economic or financial forecasts are inherently limited and should not be relied on as indicators of future investment performance.**
A = Actual. E/* = Estimate. Data as of February 13, 2026.
Sources: BofA Global Research; GWIM ISC as of February 13, 2026.

Equities

	Total Return in USD (%)			
	Current	WTD	MTD	YTD
DJIA	49,500.93	-1.2	1.3	3.1
NASDAQ	22,546.67	-2.1	-3.9	-3.0
S&P 500	6,836.17	-1.3	-1.4	0.0
S&P 400 Mid Cap	3,563.45	-0.6	3.7	7.9
Russell 2000	2,646.70	-0.9	1.3	6.7
MSCI World	4,509.69	-0.4	-0.4	1.9
MSCI EAFE	3,116.61	1.9	2.5	7.8
MSCI Emerging Markets	1,555.12	3.2	1.8	10.8

Commodities & Currencies

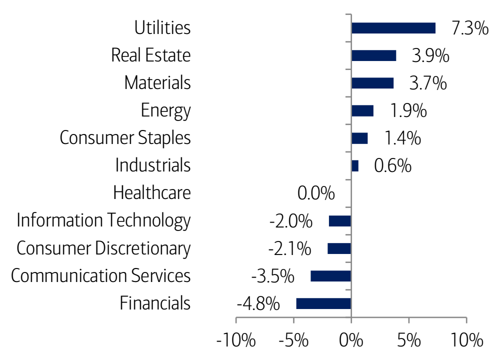
	Total Return in USD (%)			
Commodities	Current	WTD	MTD	YTD
Bloomberg Commodity	296.83	-0.4	-2.6	7.4
WTI Crude $/Barrel††	62.89	-1.0	-3.6	9.5
Gold Spot $/Ounce††	5042.04	1.6	3.0	16.7

	Total Return in USD (%)			
Currencies	Current	Prior Week End	Prior Month End	2024 Year End
EUR/USD	1.19	1.18	1.19	1.17
USD/JPY	152.70	157.22	154.78	156.71
USD/CNH	6.90	6.93	6.96	6.98

Fixed Income†

	Total Return in USD (%)			
	Current	WTD	MTD	YTD
Corporate & Government	4.13	0.87	1.18	1.18
Agencies	3.88	0.49	0.72	0.84
Municipals	3.35	0.38	0.69	1.63
U.S. Investment-Grade Credit	4.21	0.89	1.17	1.28
International	4.74	0.80	1.06	1.24
High Yield	6.62	0.12	0.22	0.73
90 Day Yield	3.67	3.67	3.65	3.63
2 Year Yield	3.41	3.50	3.52	3.47
10 Year Yield	4.05	4.21	4.24	4.17
30 Year Yield	4.69	4.85	4.87	4.84

S&P Sector Returns



Sources: Bloomberg, Factset. Total Returns from the period of 2/9/2026 to 2/13/2026. †Bloomberg Barclays Indices. ††Spot price returns. All data as of the 2/13/2026 close. Data would differ if a different time period was displayed. Short-term performance shown to illustrate more recent trend. **Past performance is no guarantee of future results.**

Index Definitions

Securities indexes assume reinvestment of all distributions and interest payments. Indexes are unmanaged and do not take into account fees or expenses. It is not possible to invest directly in an index. Indexes are all based in U.S. dollars.

S&P 500 Index is a stock market index tracking the stock performance of 500 leading companies listed on stock exchanges in the United States.

Citi Economic Surprise Index measures how recent economic data compares to consensus expectations.

German DAX Index is a stock market index consisting of the 40 major German blue chip companies trading on the Frankfurt Stock Exchange. It is a total return index.

France CAC Index represents a capitalization-weighted measure of the 40 most significant stocks among the 100 largest market caps on the Euronext Paris.

MSCI United Kingdom Index is designed to measure the performance of the large and mid cap segments of the UK market.

Amsterdam Exchange Index is a stock market index composed of Dutch companies that trade on Euronext Amsterdam.

Swiss Market Index is Switzerland's blue-chip stock market index, which makes it the most followed in the country.

Taiwan Stock Exchange Capitalization Weighted Stock Index is a benchmark to measure the aggregate performance of listed stocks on the Taiwan Stock Exchange

Important Disclosures

Investing involves risk, including the possible loss of principal. Past performance is no guarantee of future results.

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Alternative investments are intended for qualified investors only. Alternative Investments such as derivatives, hedge funds, private-credit, private equity funds, and funds of funds can result in higher return potential but also higher loss potential. Changes in economic conditions or other circumstances may adversely affect your investments. Before you invest in alternative investments, you should consider your overall financial situation, how much money you have to invest, your need for liquidity and your tolerance for risk.

Nonfinancial assets, such as closely-held businesses, real estate, fine art, oil, gas and mineral properties, and timber, farm and ranch land, are complex in nature and involve risks including total loss of value. Special risk considerations include natural events (for example, earthquakes or fires), complex tax considerations, and lack of liquidity. Nonfinancial assets are not in the best interest of all investors. Always consult with your independent attorney, tax advisor, investment manager, and insurance agent for final recommendations and before changing or implementing any financial, tax, or estate planning strategy.

RETURN TO FIRST PAGE

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Capital Market Outlook

February 9, 2026

All data, projections and opinions are as of the date of this report and subject to change.

IN THIS ISSUE

Macro Strategy—*The Reindustrialization of the U.S.—With Some Help from Others:* We believe the U.S. is on the cusp of an inbound foreign direct investment (FDI) boom that will likely result in numerous positive spillover effects for the U.S. economy. As more U.S. affiliates of foreign multinationals set up shop in the U.S., think more job creation, more manufacturing output, more spending on research & development (R&D) and, importantly, a boost to productivity and more globally competitive U.S. economy. Avoiding tariffs isn't the only reason firms have decided to relocate production to the U.S.—America has long been the number one destination for foreign investment, attracting some $5.8 trillion in FDI since the start of this century alone. We are in the early innings of a major industrial upgrade and structural capital expenditures (capex) cycle that will likely enable the revitalization of domestic supply chains, higher-value-added manufacturing and more Artificial Intelligence (AI)-driven productivity growth. All the above should translate to stronger U.S. economic growth, rising corporate earnings and higher Equity prices.

Market View—*What's in Your Portfolio? A More Nuanced Look at Index Exposures:* You may not own what you think you own. While headline index returns get their fair share of attention, it's what takes place under the hood that ought to matter more to investors expecting to build resilient portfolios. This week, we tackle three timely nuances that influence broader indexes today. One, protectionist U.S. policies doesn't mean that globalization is dead for corporate America—far from it, with the S&P 500 technically more levered to the rest of the world than it was at the start of the decade. Foreigners have a sizable stake in U.S. corporate profits, in other words, and a weaker dollar should aid S&P 500 earnings this year. Second, amid concerns that U.S. Equity returns are overly concentrated in a handful of technology stocks, remember that concentration in returns is far from being a technology-specific phenomenon. Sector returns tend to be uneven and favor the compounding of leaders over time. Third and finally, some 76% of the MSCI Emerging Markets (EM) Index is in just four countries—China, Taiwan, South Korea and India—with exposure to major themes differing by country and region. Within Equities, we favor an overweight to the U.S. and EM on improving fundamentals.

Thought of the Week—*More Rotation Than Retreat*: Market leadership has shifted meaningfully as parts of Technology have come under pressure. Yet the broader market remains resilient, with rotation into cyclical and value-oriented sectors and a sustained broadening in market breadth helping preserve the S&P 500's longer-term uptrend. With the AI buildout still in its early stages, return dispersion and leadership rotations are likely to persist, making diversification increasingly important.

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MACRO STRATEGY ▶

MARKET VIEW ▶

THOUGHT OF THE WEEK ▶

MARKETS IN REVIEW ▶

Portfolio Considerations

With new highs expected for Equities ahead, investors should consider portfolio adjustments such as increasing exposure to Small-caps and Emerging Markets as well as diversified sector exposures where underweight, leveraging Fixed Income as a ballast while maintaining an Equity overweight, and adding to growth themes and Alternative Assets, for qualified investors, where appropriate.

We are constructive on Fixed Income overall but underweight in order to fund our Equity overweight. We continue to project range-bound yields given sticky inflation and real gross domestic product remaining near or above 2% for the next few years. However, we recognize potentially high volatility in either direction, especially given the expected change in Federal Reserve leadership later this year.

MACRO STRATEGY

The Reindustrialization of the U.S.—With Some Help from Others

Joseph P. Quinlan, Managing Director and Head of CIO Market Strategy

We believe the U.S. is on the cusp of an inbound FDI boom that will likely result in numerous positive spillover effects for the U.S. economy. As more U.S. affiliates of foreign multinationals set up shop in the U.S., think more job creation across the country, more manufacturing output, more locally sourced purchases, more U.S. exports, more spending on R&D, and more tax revenue for local communities. And over the long run, think a more globally competitive U.S. economy.

According to the latest figures from the Bureau of Economic Analysis (BEA), FDI inflows totaled $88 billion in Q3 2025, a jump of over 35% from the same quarter of 2024. To put that number into perspective, most nations don't attract nearly $100 billion in investment in a year, let alone a quarter. The annualized run rate for inbound U.S. FDI was in excess of $350 billion in Q3, which is nearly the strongest on record.

Based on a surge in multibillion investment pledges/deals announced over the second half of 2025, investment inflows are expected to have remained quite robust over the balance of 2025. Some of the deals include the following: Taiwan Semiconductor Manufacturing Company and the company's $165 billion to build out advanced manufacturing in Arizona; Hyundai (Korea) and the company's $26 billion investment in strategic industries including steel, autos, and robotics; and Roche (Switzerland) and the company's $50 billion research and manufacturing expansion in the U.S. Also coming to America: Siemens (Germany-$285 million), AstraZeneca (UK-$50 billion), Stellantis (Netherlands-$13 billion) and a host of other foreign multinationals.

"Tariff-jumping" has driven some of these firms to relocate production to the U.S. in order to maintain market access. However, avoiding tariffs is just one part of the equation. There are multiple reasons why foreign firms have long counted on the U.S. as their number one destination for FDI.

To this point, since the start of this century alone (Exhibit 1A), some $5.8 trillion in FDI has flowed to the U.S., a figure representing 16.8% of the world total. That easily outdistances second place China (with an 8.1% global share) and third place the United Kingdom (5.0%).

Most new foreign investment in the U.S. is via acquisitions rather than building new facilities from scratch. However, in the past few years, greenfield investments—or investment in new plants and equipment—have increased, with the U.S. accounting for over 18% of new greenfield investment on a global basis. Most of this new investment has gone into manufacturing sectors like electrical equipment, computers, appliances and batteries, and originated from Asia and Europe.

Why America? Multiple factors underpin America's dominance in FDI flows. Think a large and wealthy consumer base, a sizeable skilled labor force, advanced technological readiness and an unmatched entrepreneurial culture, a respect for intellectual property rights and a strong rule of law, deep and sophisticated capital markets, and a world-class higher education system second to none. In other words, it's not one thing that attracts foreign capital to the U.S. but many things—an unsurpassed bundle of characteristics that are highly desirable to foreign firms.

The icing on the cake: The administration's aggressive U.S. policies to promote inward foreign investment as one way to gain access to the U.S. market.

That said, what does the U.S. get in return? Answer: Plenty.

Although largely invisible to the average U.S. investor, the activities of U.S. affiliates of foreign multinationals are substantial and competitive- and growth-enhancing. To this point, and based on the latest data from the BEA, foreign affiliates in the U.S. employed nearly 8.7 million U.S. workers in 2023. That represents 6.2% of total private sector employment, with manufacturing and retail the two most prominent sectors of employment. Roughly 18% of all manufacturing jobs in the U.S. are from foreign subsidiaries. In terms of pay, U.S. workers

Investment Implication

More investment in U.S. manufacturing and R&D from foreign multinationals should translate to greater productivity and innovation in the U.S. This underpins our conviction that U.S. economic growth and corporate earnings can surprise to the upside this year. Consider the boom in inbound FDI another reason to hold the U.S. at the core of portfolios.

at these firms make $89,000 annually, 7% higher than the national average, according to the Global Business Alliance.

Foreign affiliates also contributed some $1.5 trillion to U.S. gross domestic product, comprised some 15.7% of total U.S. private sector investment, accounted for 11.6% of total U.S. R&D expenditures, paid roughly 20% of all U.S. federal taxes, and made up 21.7% of U.S. exports and 26.8% of U.S. imports.[1] These are the direct effects of U.S. subsidiaries of foreign companies operating in the U.S. The indirect effects are even greater in terms of more income, jobs, growth and tax revenue—all bolstering the long-term competitive advantage of the U.S.

All the above is another way of saying that FDI inflows matter to the U.S.—a fact never truer than today given Washington's strategic objective of "friendshoring" and its industrial push to ramp up production of semiconductors, automobiles, steel, aluminum, pharmaceuticals and other strategic industrial products.

The bulk of foreign investment comes from Europe, followed by Japan and Canada (Exhibit 1B). Notably absent from the U.S. market: China companies, which have been either discouraged or incentivized to skip the U.S. market due to U.S.-Sino geopolitical tensions.

The coming boom in FDI inflows is supportive of our thesis that the U.S. stands on the cusp of a major industrial upgrade. We are in the early innings of a structural—not cyclical—capex cycle that will lead to the rebuilding of domestic supply chains, higher-valued added manufacturing, and more AI-driven productivity growth. Foreign firms, in our opinion, will be part of this process.

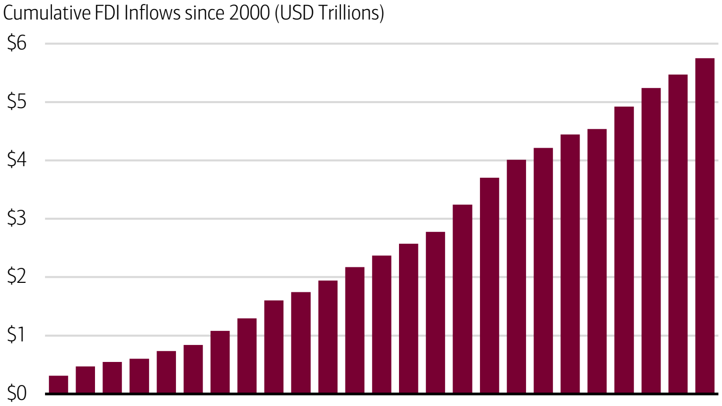
That is important to recognize because remember the following: When a foreign company builds a factory, a R&D facility, or expands its existing manufacturing capacity right here in the U.S., good things happen. Demand for U.S. goods and services goes up (as does demand for construction, materials, logistics, and professional services). New jobs are created, boosting incomes of U.S. workers, while supporting more local spending and consumption. And because many foreign firms often bring advanced manufacturing technologies when investing in the U.S., the end results include a boost in productivity and innovation in various sectors of the economy.

All the above, of course, are the secret ingredients to stronger U.S. economic growth, rising corporate earnings and higher equity prices. With a little help from our friends, America's industrial renewal is gaining strength and momentum.

Exhibit 1: The State of FDI Flows into the U.S.

A) U.S. FDI Inflows Total $5.8 Trillion This Century

Cumulative FDI Inflows since 2000 (USD Trillions)



B) Where Does Foreign Investment in the U.S. Come From?

Share of Total U.S. FDI Inflows by Country or Region, 2024

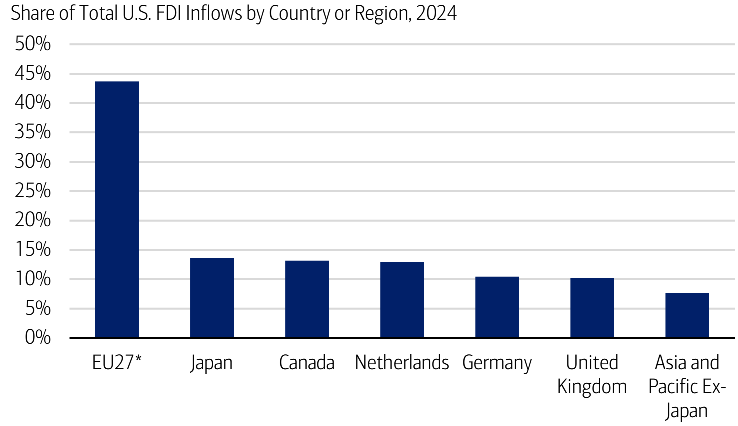


Exhibit 1A) Source: United Nations Conference on Trade and Development. Data through 2024. Exhibit 2B) Source: BEA. *European Union (EU)27 refers to the 27 member states of the European Union following the United Kingdom's departure (Brexit) on February 1, 2020. Data refers to 2024.

[1] "Activities of U.S. Affiliates of Foreign Multinational Enterprises, 2023" Bureau of Economic Analysis, December 2025

MARKET VIEW

What's in Your Portfolio? A More Nuanced Look at Index Exposures

Ariana Chiu, Assistant Vice President and Investment Strategist

Much like news headlines, headline index levels can mask what's really going on beneath the surface. Put differently: You may not own what you think you own—and with the popularity of index investing comes the risk that investors ignore or underappreciate the nuances that influence broader indexes and portfolio performance. Below we dig into three such nuances and their implications for investors.

One: Even as the U.S. policy backdrop turns inward, corporate America continues to look outward with the S&P 500 heavily reliant on foreign revenues. Expect a weaker dollar to benefit internationally exposed sectors like Technology and Materials. Yes, the S&P 500 is levered to the U.S. consumer and U.S. economy. But remember that 42% of the index's revenues come from outside of the U.S., per FactSet. In fact, the S&P 500 is technically more exposed to the rest of the world today than it was at the start of the decade (38%). In other words, despite calls for the end of globalization, U.S. multinationals have become more levered to the foreign consumer over the last few years, not less.

Where is this revenue coming from? Dig further beneath the hood and you'll find that 20% of revenues come from the Asia Pacific region, while 13% come from Europe. Asia's rise as a key stakeholder in corporate America (Exhibit 2A) has been driven by China, which makes up around 7% of the benchmark's total sales (that's up from between 1% and 2% 20 years ago). It's worth noting too that while most of the companies in the S&P 500 still count the U.S. as their top engine of sales, nearly one-third of the index relies on China as its first- or second-largest revenue source. That's another reminder that geopolitical frictions between the U.S. and China can have meaningful consequences for U.S. corporates and, by extension, U.S. Equity performance.

Of course, international exposure isn't equal across the index. Technology (56%), Materials (52%) and Communication Services (49%) led in international exposure while the Utilities sector is nearly entirely levered to the domestic economy (Exhibit 2B). What does this mean? With the dollar expected to continue to weaken gradually from here, companies and sectors that earn a larger portion of their sales in foreign currency would receive a boost to their dollar-denominated revenues and earnings. In a weakening dollar environment, U.S. products also become more competitive versus their international counterparts, which should boost demand for exports and thus benefit more globally oriented parts of the market.

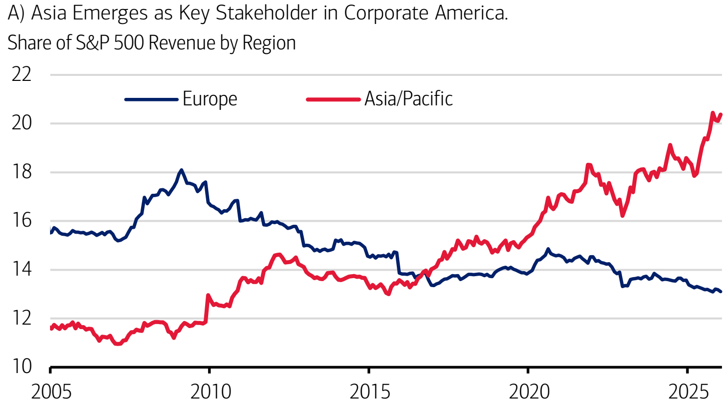
Bottom line: The S&P 500 is much more "global" than investors often appreciate. Foreigners have a sizable stake in U.S. corporate profits. A weaker dollar should be another tailwind to earnings growth already expected to land in double-digit territory this year.

Portfolio Considerations

We expect the dollar to continue to gradually weaken this year, benefitting S&P 500 earnings and boosting returns in EMs given EM Asia currencies still undervalued versus the greenback. Investors should consider increasing exposure to EM if underweight. Diversification both within the U.S. and abroad can help portfolios mitigate market volatility and concentration concerns.

Exhibit 2: S&P 500 is More "Global" Than Investors May Appreciate.

A) Asia Emerges as Key Stakeholder in Corporate America.



B) Technology and Materials Among Most Globally Exposed Areas of the Market.

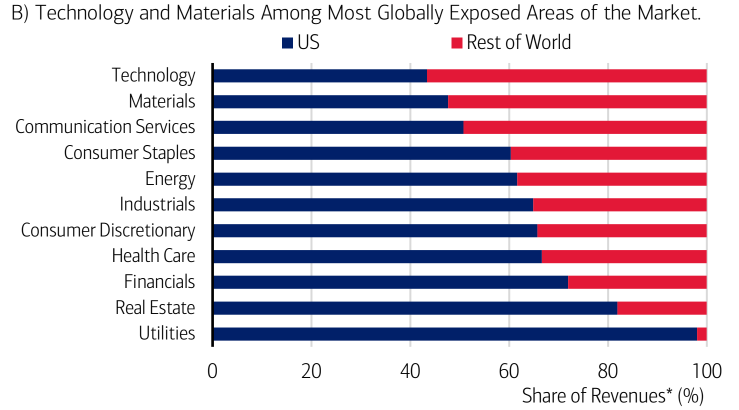


Exhibit 2A) Source: FactSet. Data as of February 2, 2026. Exhibit 2B) *Refers to last 12 months. Source: FactSet. Data as of February 2, 2026. **Past performance is no guarantee of future results.** Please refer to index definitions at the end of this report. It is not possible to invest directly in an index.

Two: Concentration in returns is not a technology-specific phenomenon. Equity returns tend to be lumpy across sectors. Much has been made about the Magnificent 7[2]

[2] Apple, Amazon, Alphabet, Nvidia, Meta, Microsoft and Telsa.

driving a significant share of the S&P 500's ascent over the last few years. After all, the cohort is responsible for over half of the S&P 500's 79% total return since the release of ChatGPT in November 2022.

But concentrated returns aren't exclusive to technology—it's a broader feature of equity markets. Across sectors, a handful of companies routinely account for an outsized share of performance. For instance, three companies drove 43% of returns in Financials last year versus 44% in Industrials and 71% in Healthcare. Even more so for Energy where the largest stock drove some 53% of the sector's return in 2025. And a similar story plays out over time; 60% of Consumer Staples' returns over the last 10 years have been driven by three names, for example. Sector returns tend to be inherently lumpy, in other words, favoring dominant companies that scale, reinvest excess cash, and sustain competitive advantages over time.

Bottom line: Concentrated returns tend to be a feature across sectors and the broader market. Passive[3] investors thus benefit from the compounding of winners over time. With that said, concentration can also amplify volatility, reinforcing our emphasis on broad exposure.

Three: Know what you own in "EMs." Four countries dominate, and exposure to major themes (AI, commodities, etc.) differs by country and region. While the MSCI EM Index is home to 24 countries across Asia, Latin America, the Middle East and Europe, it's really a game of four markets: China (26%), Taiwan (21%), South Korea (16%) and India (14%). (Note that owing to its recent outperformance, South Korea has surpassed India to become the third-largest weighted market.) The four countries now make up around 76% of the index which per Exhibit 3A has become increasingly concentrated in EM Asia over time. Today, Latin America makes up just 8% of the index while countries in eastern Europe account for 2.6%. (At more than 12% of the index, Taiwan Semiconductor Manufacturing Company alone accounts for more than the two regions combined.)

Together with the asset class's heavy tilt toward Asian markets is a considerable bias toward Technology (31% of the index) and Financials (22%). That's not including the swath of large technology companies in China that are technically considered Communication Services or Consumer Discretionary companies. Indeed, seven of the top 10 companies in the MSCI EM Index are technology or technology-adjacent, collectively accounting for nearly 30% of the broader index. India is the notable exception, levered more to the domestic economy. Meanwhile, though small weights in the index, Latin America provides exposure to commodities via real-asset sectors and large resource producers while Eastern European markets tend to be dominated by financials and manufacturing/industrial plays.

Bottom line: When it comes to EM, four countries should come to mind as dominant players: China, Taiwan, South Korea, and India. Combine the region's exposure to the AI theme, strong positive earnings revisions (Exhibit 3B), dollar weakness, cheap valuations, and underweight positioning, and we'd expect EM to outperform this year. Hence our slight overweight to the region in portfolios. Like in the U.S., concerns around the AI boom are a risk to watch for the region given elevated technology exposure.

Exhibit 3: Pieces Falling into Place for Emerging Market Equities.

A) MSCI EM Index Increasingly Concentrated in Largest Emerging Asia Markets.

B) EM Earnings Estimates for 2026 and 2027 Have Inflected Higher.

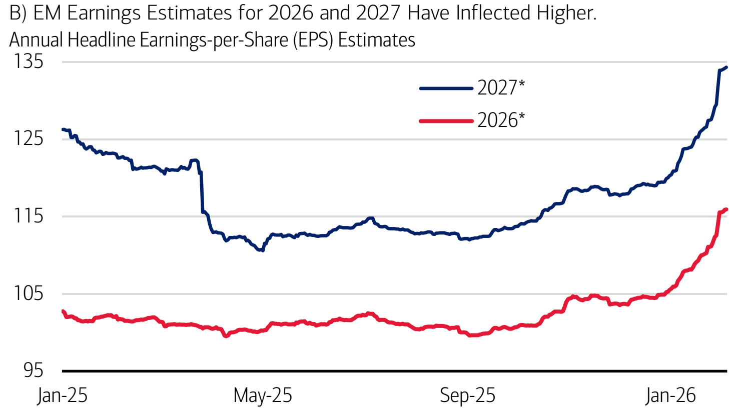


Exhibit 3A) Source: FactSet. Data as of February 3, 2026. Exhibit 3B) Refers to MSCI EM Index. *Estimate. Source: Bloomberg. Data as of February 3, 2026. **Past performance is no guarantee of future. Please refer to index definitions at the end of this report. It is not possible to invest directly in an index.**

[3] Passive investing is a long-term investment strategy that focuses on buying and holding investments for the long term.

RETURN TO FIRST PAGE

THOUGHT OF THE WEEK

More Rotation Than Retreat

Kirsten Cabacungan, Vice President and Investment Strategist

For years, the Magnificent 7 stocks dominated investor attention and collectively powered index level returns. That era has clearly shifted. Only two of these mega cap giants outperformed the S&P 500 in 2025, and some of that unevenness has persisted into 2026, with five trailing the index year to date. The widening divergence within the Magnificent 7 reflects a growing evolution in the AI trade. The days of Technology stocks indiscriminately benefitting from broad AI enthusiasm have faded as investors grow increasingly discerning—particularly given crowded positioning and, perhaps, fatigue over premium valuations.

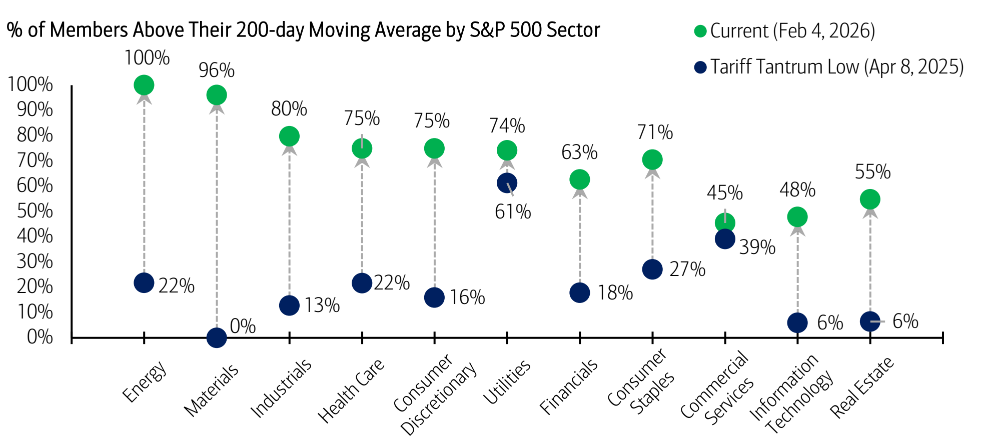
The recent drawdowns in key areas of Technology have made this shift even more evident. Software stocks fell after the announcement of a new AI tool sharpened worries over potential disruption to their established business models. The S&P 500 Software and Services Sub Index fell more than 17% over seven sessions—its steepest seven-session decline since 2020—and now sits nearly 26% below its October high. Pressure also mounted among semiconductor stocks, as more subdued earnings results fell short of the increasingly high bar investors have set for AI-related companies.

Notably, this market turbulence has not broken the broader index level uptrend, as the Technology selloff has largely been offset by a substantial rotation into other areas of the market. Any technical damage to the S&P 500 has been limited, with the index back above its 50-day moving average and less than 1% below its recent all-time high. Meanwhile, the index's equal weight counterpart rose last week and even hit a new record high. That strength reflects a rotation that has broadly favored cyclical, value-oriented sectors and areas that have been out of favor for several years, a shift supported by improving macro conditions and stronger than expected growth.

Importantly, this rotation is not a new development; rather, it reflects growing momentum behind a broader trend of strengthening market breadth that took hold late last year. Market internals across sectors have improved in a more synchronized way over the last several months, with strength spreading well beyond the former mega cap leaders. A growing share of stocks within every major sector has reclaimed long term uptrends, with the percentage of constituents trading above their 200 day moving averages for each sector now meaningfully higher compared to the April 8, 2025 tariff tantrum market low (Exhibit 4). This expanding participation suggests the bull market has developed a stronger and more durable foundation, reinforcing the overall positive outlook.

Even so, bouts of AI-related volatility are likely to continue. With the AI buildout still only in the early to middle stages of a multiyear investment cycle, leadership is likely to change hands repeatedly. The latest volatility episode, paired with the widening divergence among AI leaders, underscores the potential for higher return dispersion and further rotations ahead. For investors, that raises the stakes of identifying the long-term leaders. Ultimately, at this stage of the cycle, diversification matters more than ever.

Exhibit 4: Market Breadth Has Been Building.



Source: Bloomberg. Data as of February 4, 2026.

Portfolio Considerations

Diversification across styles, sectors, and size will likely be increasingly important in 2026 as market leadership broadens and with the rise of return dispersion and volatility. Avoiding over-exposure to any one area of the market remains prudent.

Asset Class Weightings (as of 2/3/2026)

Asset Class	Underweight		Neutral	Overweight	
Global Equities				●	
U.S. Large-cap Growth				●	
U.S. Large-cap Value				●	
U.S. Small-cap Growth				●	
U.S. Small-cap Value				●	
International Developed		●			
Emerging Markets				●	
Global Fixed Income		●			
U.S. Governments		●			
U.S. Mortgages		●			
U.S. Corporates		●			
International Fixed Income		●			
High Yield		●			
U.S. Investment-grade Tax Exempt		●			
U.S. High Yield Tax Exempt		●			
Alternative Investments*					
Hedge Strategies			●		
Private Equity			●		
Private Credit			●		
Real Assets			●		
Cash					

CIO View / Underweight Neutral Overweight

CIO Equity Sector Views

Sector	Underweight		Neutral	Overweight	
Financials					●
Utilities				●	
Consumer Discretionary				●	
Industrials				●	
Communication Services			●		
Information Technology			●		
Healthcare			●		
Real Estate		●			
Consumer Staples		●			
Materials		●			
Energy	●				

*Many products that pursue Alternative Investment strategies, specifically Private Equity and Hedge Funds, are available only to qualified investors. CIO asset class views are relative to the CIO Strategic Asset Allocation (SAA) of a multi-asset portfolio. Source: Chief Investment Office as of February 3, 2026. All sector and asset allocation recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

Economic Forecasts (as of 2/6/2026)

	Q4 2025A	2025A	Q1 2026E	Q2 2026E	Q3 2026E	Q4 2026E	2026E
Real global GDP (% y/y annualized)	-	3.6*	-	-	-	-	3.5
Real U.S. GDP (% q/q annualized)	2.2*	2.2*	2.6	3.0	2.0	2.0	2.8
CPI inflation (% y/y)	2.8	2.7*	2.6	3.1	2.8	2.8	2.8
Core CPI inflation (% y/y)	2.7	2.9*	2.6	2.8	2.6	2.7	2.7
Unemployment rate (%)	4.5	4.3*	4.5	4.5	4.4	4.3	4.4
Fed funds rate, end period (%)	3.63	3.63	3.63	3.38	3.13	3.13	3.13

The forecasts in the table above are the base line view from BofA Global Research. The Global Wealth & Investment Management (GWIM) Investment Strategy Committee (ISC) may make adjustments to this view over the course of the year and can express upside/downside to these forecasts. Historical data is sourced from Bloomberg, FactSet, and Haver Analytics. **There can be no assurance that the forecasts will be achieved. Economic or financial forecasts are inherently limited and should not be relied on as indicators of future investment performance.**
A = Actual. E/* = Estimate. Data as of February 6, 2026.
Sources: BofA Global Research; GWIM ISC as of February 6, 2026.

Equities

	Total Return in USD (%)			
	Current	WTD	MTD	YTD
DJIA	50,115.67	2.5	2.5	4.3
NASDAQ	23,031.21	-1.8	-1.8	-0.9
S&P 500	6,932.30	-0.1	-0.1	1.4
S&P 400 Mid Cap	3,587.01	4.4	4.4	8.6
Russell 2000	2,670.34	2.2	2.2	7.6
MSCI World	4,528.99	0.0	0.0	2.3
MSCI EAFE	3,057.92	0.5	0.5	5.8
MSCI Emerging Markets	1,506.38	-1.4	-1.4	7.3

Commodities & Currencies

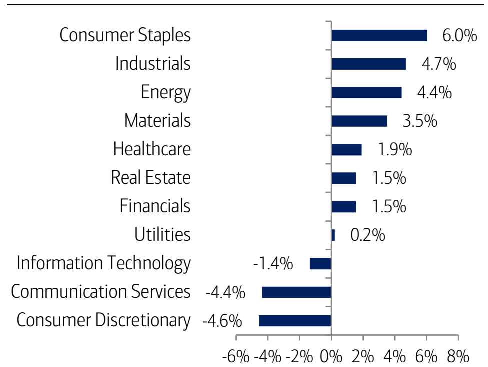
	Total Return in USD (%)			
Commodities	Current	WTD	MTD	YTD
Bloomberg Commodity	298.16	-2.2	-2.2	7.9
WTI Crude $/Barrel††	63.55	-2.5	-2.5	10.7
Gold Spot $/Ounce††	4964.36	1.4	1.4	14.9

	Total Return in USD (%)			
Currencies	Current	Prior Week End	Prior Month End	2024 Year End
EUR/USD	1.18	1.19	1.19	1.17
USD/JPY	157.22	154.78	154.78	156.71
USD/CNH	6.93	6.96	6.96	6.98

Fixed Income†

	Total Return in USD (%)			
	Current	WTD	MTD	YTD
Corporate & Government	4.24	0.31	0.31	0.31
Agencies	3.97	0.23	0.23	0.35
Municipals	3.41	0.30	0.30	1.24
U.S. Investment-Grade Credit	4.33	0.28	0.28	0.39
International	4.83	0.26	0.26	0.44
High Yield	6.58	0.11	0.11	0.62
90 Day Yield	3.67	3.65	3.65	3.63
2 Year Yield	3.50	3.52	3.52	3.47
10 Year Yield	4.21	4.24	4.24	4.17
30 Year Yield	4.85	4.87	4.87	4.84

S&P Sector Returns



Sources: Bloomberg, Factset. Total Returns from the period of 2/2/2026 to 2/6/2026. †Bloomberg Barclays Indices. ††Spot price returns. All data as of the 2/6/2026 close. Data would differ if a different time period was displayed. Short-term performance shown to illustrate more recent trend. **Past performance is no guarantee of future results.**

RETURN TO FIRST PAGE

Index Definitions

Securities indexes assume reinvestment of all distributions and interest payments. Indexes are unmanaged and do not take into account fees or expenses. It is not possible to invest directly in an index. Indexes are all based in U.S. dollars.

S&P 500 Index is a stock market index tracking the stock performance of 500 leading companies listed on stock exchanges in the United States.

MSCI Emerging Markets Index captures large and mid cap representation across 24 Emerging Markets (EM) countries.

S&P 500 Software and Services Sub Index comprises of stocks in the S&P Total Market Index that are classified in the GICS Application Software, Interactive Home Entertainment, IT Consulting & Other Services and Systems Software sub-industries.

S&P 500 Index Equal Weight includes the same constituents as the capitalization weighted S&P 500, but each company in the S&P 500 EWI is allocated a fixed weight - or 0.2% of the index total at each quarterly rebalance.

S&P 500 sub-sectors and industry groups Global Industry Classification Standard (GICS®) including Information Technology Total Return (TR) USD; Consumer Discretionary TR USD; Industrials TR USD; Real Estate TR USD; Communication Services TR USD; Materials TR USD; Financials TR USD; Consumer Staples TR USD; Utilities TR USD; Energy TR USD; Healthcare TR USD.

Important Disclosures

Investing involves risk, including the possible loss of principal. Past performance is no guarantee of future results.

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Investments have varying degrees of risk. Some of the risks involved with equity securities include the possibility that the value of the stocks may fluctuate in response to events specific to the companies or markets, as well as economic, political or social events in the U.S. or abroad. Small cap and mid cap companies pose special risks, including possible illiquidity and greater price volatility than funds consisting of larger, more established companies. Investing in fixed-income securities may involve certain risks, including the credit quality of individual issuers, possible prepayments, market or economic developments and yields and share price fluctuations due to changes in interest rates. When interest rates go up, bond prices typically drop, and vice versa. Investments in high-yield bonds (sometimes referred to as "junk bonds") offer the potential for high current income and attractive total return, but involves certain risks. Changes in economic conditions or other circumstances may adversely affect a junk bond issuer's ability to make principal and interest payments. Income from investing in municipal bonds is generally exempt from Federal and state taxes for residents of the issuing state. While the interest income is tax-exempt, any capital gains distributed are taxable to the investor. Income for some investors may be subject to the Federal Alternative Minimum Tax (AMT). Treasury bills are less volatile than longer-term fixed income securities and are guaranteed as to timely payment of principal and interest by the U.S. government. Bonds are subject to interest rate, inflation and credit risks. Investments in foreign securities (including ADRs) involve special risks, including foreign currency risk and the possibility of substantial volatility due to adverse political, economic or other developments. These risks are magnified for investments made in emerging markets. Investments in a certain industry or sector may pose additional risk due to lack of diversification and sector concentration. There are special risks associated with an investment in commodities, such as gold, including market price fluctuations, regulatory changes, interest rate changes, credit risk, economic changes and the impact of adverse political or financial factors.

Alternative Investments are speculative and involve a high degree of risk.

Alternative investments are intended for qualified investors only. Alternative Investments such as derivatives, hedge funds, private-credit, private equity funds, and funds of funds can result in higher return potential but also higher loss potential. Changes in economic conditions or other circumstances may adversely affect your investments. Before you invest in alternative investments, you should consider your overall financial situation, how much money you have to invest, your need for liquidity and your tolerance for risk.

Nonfinancial assets, such as closely-held businesses, real estate, fine art, oil, gas and mineral properties, and timber, farm and ranch land, are complex in nature and involve risks including total loss of value. Special risk considerations include natural events (for example, earthquakes or fires), complex tax considerations, and lack of liquidity. Nonfinancial assets are not in the best interest of all investors. Always consult with your independent attorney, tax advisor, investment manager, and insurance agent for final recommendations and before changing or implementing any financial, tax, or estate planning strategy.